



**Management Board Activity
Report for Dino Polska S.A.
and the Dino Polska S.A. Group
in 2017**

Dino Polska Spółka Akcyjna

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. Taxpayer Identification Number [NIP]: 6211766191, Statistical Number [REGON]: 300820828. The Company's share capital as at 31 December 2017 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each ("Shares").

This document contains the Management Board Report for Dino Polska S.A. ("Dino Polska", "Company", "Parent Company") on the Activity of the Dino Polska S.A. ("Group", "Dino Polska Group") in 2017 and the Management Board Report on the Parent Company's Activity. The Group includes the parent company and subsidiaries over which Dino Polska exercises total control ("Subsidiaries"). Unless specified otherwise, the data in this Report comes from Dino Polska. This document was prepared on 19 March 2018 ("Report Date").

Whenever the term Consolidated Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2017 prepared in accordance with the International Financial Reporting Standards approved for use in the EU.

Whenever the term Company's Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2017 prepared on the basis of the Accounting Act.

Unofficial translation. Only the original Polish text is binding.

TABLE OF CONTENTS

1.	Letter from the CEO of Dino Polska	4
2.	Dino Polska Group's financial highlights	6
3.	Dino Polska's financial highlights	7
4.	Operations of Dino Polska and the Group	8
4.1.	Business profile	8
4.2.	Description of the Group	9
4.3.	Operating activity in 2017	11
4.4.	Growth strategy	15
4.5.	Competitive advantages and growth prospects	16
5.	Economic and financial standing	22
5.1.	Recap of the Dino Polska Group's results	22
5.2.	Structure of the Group's assets and liabilities	25
5.3.	Group's Statement of cash flows	28
5.4.	Capital expenditures	29
5.5.	Recap of Dino Polska's results	30
5.6.	Dividend policy	32
5.7.	Drivers of the operating and financial result	33
5.8.	Ratio analysis	36
5.9.	Financial risk management	39
5.10.	Significant agreements, loans, borrowings, guarantees and sureties	40
5.11.	Transactions with related parties	42
5.12.	Legal proceedings	42
5.13.	Auditor	42
5.14.	Other information	43
6.	Risks and threats	44
7.	Corporate Governance	61
7.1.	Representation on the application of corporate governance	61
7.2.	The internal control and risk management systems in the process of preparing financial statements	62
7.3.	Share capital, shares and shareholders of Dino Polska	63
7.4.	Dino Polska bonds	65
7.5.	Management Board of Dino Polska	66
7.6.	Shareholder Meeting and rights vested in the shareholders	70
7.7.	Supervisory Board and its committees	71
8.	Non-financial report of Dino Polska and the Dino Polska Group	73
8.1.	Business model	73
8.2.	Employees	74
8.3.	Natural environment	80
8.4.	Social impact	85
8.5.	Respecting human rights	87
8.6.	Combating corruption	88
8.7.	Risks	88
9.	Dino Polska Management Board's representations	92

1. LETTER FROM THE CEO OF DINO POLSKA

Dear Investors, Employees and Shareholders,

2017 was another year of pursuing ambitious plans and rapid growth in the operations of the Dino Polska Group. The Dino store network expanded by 147 new stores and at the end of 2017 it numbered 775 stores. The total selling area on 31 December 2017 was 295.2 thousand square meters, up 23.8% from one year ago.



High like-for-like top line sales growth in existing stores is accompanying the geographic expansion of our stores. In 2017 it was 16.2%. This was the outcome of persistently working on the product assortment we offer to our clients. We monitor their preferences and we adjust our offer while devoting a lot of attention to fresh and branded products. Our network maturation process and Dino's growing brand recognition are also partially responsible for the like-for-like sales growth. Over the last three years we have increased the number of stores by 365, representing 47% of all the Dino stores at the end of 2017.

The significant like-for-like sales growth combined with the Dino network roll-out led to 34% higher consolidated revenue up to PLN 4.5 billion in 2017 from PLN 3.4 billion in 2016. The rising economies of scale and operational leverage have made it possible to enhance the profitability of the business we conduct. EBITDA shot up 39% in 2017 to PLN 401 million.

The total value of the investments we completed in 2017 was PLN 457 million, up 20% from the year before. That enabled us to create nearly 2.5 thousand new jobs. At the end of the year, the Dino Group had 13.1 thousand employees. The main areas of investment, on top of the Dino store network roll-out involved in particular the expansion of distribution centers and the extension of the production capacity of the Agro-Rydzyna meat processing plant. In 2018 we will continue to follow our investment program. We estimate its value to be roughly PLN 650 million. We intend to open a larger number of stores than in 2017 and commission a fourth distribution center. We will also kick off the construction of a second Agro-Rydzyna meat processing plant.

The market context, including Poles' growing purchasing power ensuing from the improving economic standing coupled with rising consumer prices are conducive to the retail grocery trade. I believe that the positive trends visible on the consumer market this year will also persist in the upcoming quarters. This, when combined with the attractiveness of the Dino format – modern supermarkets located close to clients' residences and offering a wide range of food products at

competitive prices should be conducive to further growth in the scale of operations and improved like-for-like sales.

Dino Polska's initial public offering took place in early 2017. During the IPO, one of our shareholders at the time, the Enterprise Investors private equity fund sold its entire stake (49%) during the IPO. Dino Polska did not obtain any proceeds during the IPO. Nevertheless, taking the company public on the Warsaw Stock Exchange has meant that we have become a much more credible and transparent company in the eyes of our business partners, among others, the suppliers of products as well as, for instance, banks, which is producing tangible benefits.

We continue to follow the Dino Polska Group's strategy focusing on making our network denser coupled with gradual expansion into new areas. Our organization is well-prepared for further growth and the pursuit of goals that are no less ambitious than thus far.

Yours faithfully,

Szymon Piduch

CEO of Dino Polska S.A.

2. DINO POLSKA GROUP'S FINANCIAL HIGHLIGHTS

	<i>Year ended 31 December</i>		<i>Year ended 31 December</i>	
	<i>2017</i>	<i>2016</i>	<i>2017</i>	<i>2016</i>
	<i>PLN '000</i>		<i>EUR '000*</i>	
under IFRS, audited				
Sales	4,515,933	3,369,517	1,060,676	772,382
Operating profit	303,242	215,589	71,224	49,419
Profit before tax	266,016	186,455	62,480	42,740
Net profit for the year	213,604	151,210	50,170	34,661
Basic / Diluted earnings per share (PLN, EUR)	2.18	1.54	0.51	0.35
Net cash flows from operating activities	497,204	324,323	116,780	74,343
Net cash flows from investing activities	(402,143)	(310,180)	(94,453)	(71,101)
Net cash flows from financing activities	41,137	18,365	9,662	4,210
Net increase/(decrease) in cash and cash equivalents	136,198	32,508	31,989	7,452

*Based on average annual EUR/PLN exchange rate published by the National Bank of Poland (1 EUR = 4,2576 PLN in 2017 and 1 EUR = 4,3625 PLN in 2016)

	<i>As at 31 December</i>		<i>As at 31 December</i>	
	<i>2017</i>	<i>2016</i>	<i>2017</i>	<i>2016</i>
	<i>PLN '000</i>		<i>EUR '000**</i>	
under IFRS, audited				
Total assets	2,451,329	1,856,840	575,754	425,637
Total non-current assets	1,807,964	1,457,146	424,644	334,016
Total current assets	643,365	399,694	151,110	91,620
Total equity	904,493	683,476	212,442	156,671
Share capital	9,804	9,804	2,303	2,247
Total long-term liabilities	575,883	459,378	135,260	105,302
Total current liabilities	970,953	713,986	228,052	163,664

**Based on the average EUR/PLN exchange rate of the National Bank of Poland as at 31.12.2017 (1 EUR = 4,1709 PLN) and 31.12.2016 (1 EUR = 4,424 PLN)

3. DINO POLSKA'S FINANCIAL HIGHLIGHTS

	<i>Year ended 31 December</i>		<i>Year ended 31 December</i>	
	<i>2017</i>	<i>2016</i>	<i>2017</i>	<i>2016</i>
under PFRS, audited	<i>PLN '000</i>		<i>EUR '000*</i>	
Sales	4,501,266	3,357,936	1,057,231	769,727
Operating profit	163,305	102,337	38,356	23,458
Profit before tax	125,532	296,030	29,484	67,858
Net profit for the year	92,504	279,448	21,727	64,057
Basic / Diluted earnings per share (PLN, EUR)	0.94	2.85	0.22	0.65
Net cash flows from operating activities	405,755	264,788	95,301	60,696
Net cash flows from investing activities	(339,640)	(189,760)	(79,773)	(43,498)
Net cash flows from financing activities	65,261	(46,652)	15,328	(10,694)
Net increase/(decrease) in cash and cash equivalents	131,376	28,375	30,857	6,504

*Based on average annual EUR/PLN exchange rate published by the National Bank of Poland (1 EUR = 4,2576 PLN in 2017 and 1 EUR = 4,3625 PLN in 2016)

	<i>As at 31 December</i>		<i>As at 31 December</i>	
	<i>2017</i>	<i>2016</i>	<i>2017</i>	<i>2016</i>
under PFRS, audited	<i>PLN '000</i>		<i>EUR '000**</i>	
Total assets	2,251,673	1,722,477	539,853	389,348
Total non-current assets	1,540,524	1,237,533	369,350	279,732
Total current assets	711,149	484,944	170,503	109,617
Total equity	658,158	558,154	157,798	126,165
Share capital	9,804	9,804	2,351	2,216
Total long-term liabilities	492,041	377,622	117,970	85,358
Total current liabilities	1,064,007	755,462	255,102	170,765

**Based on the average EUR/PLN exchange rate of the National Bank of Poland as at 31.12.2017 (1 EUR = 4,1709 PLN) and 31.12.2016 (1 EUR = 4,424 PLN)

4. OPERATIONS OF DINO POLSKA AND THE GROUP

4.1. Business profile

Dino Polska is a leading player in the growing segment with strong prospects of medium-sized supermarkets located close to clients' place of residence. The Company is one of the fastest growing food retail grocery networks in Poland measured by the number of stores and revenues.

Dino Polska's business model combines the advantages of medium-sized stores in convenient locations for clients, in most cases close to their places of residence or featuring much more traffic with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 31 December 2017, the Dino store network consisted of 775 stores located predominantly in western Poland with a total selling area of 295,226 square meters. The Dino Group has many years of experience and a proven capacity to open new stores using its own properties, enabling it to grow its number of stores by 371 in the 3 years up to 31 December 2017. Its network expansion has been accompanied by significant (LFL) revenue growth in its existing store network, which in 2017 stood at 16.2% compared to 2016. Dino Polska continues to develop its network rapidly, consistently looking for new sites for its stores. In accordance with its strategy, Dino Polska plans to exceed 1,200 stores by the end of 2020.

Dino stores have a uniform format. Most stores have a selling area of roughly 400 square meters and are located mainly in small communities, small and medium cities and in the suburbs of large cities. Dino's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week (except for Sundays). Ownership of most land and construction of own stores allow the Dino Polska Group to implement a uniform store format and make it possible to open stores quickly in locations where the availability of suitable space for lease is limited.

Each store offers its customers approx. 5,000 stock keeping units (SKUs), mostly well-known branded products with emphasis placed on its fresh product offering. The Dino Group offers key products at competitive prices. One of the most important attributes that differentiate Dino stores from discount networks is that every store has a meat counter with counter staff.

The Dino Polska Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on three distribution centers and the transportation network managed by Dino Polska. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers consistently enhance the Dino Group's profitability.

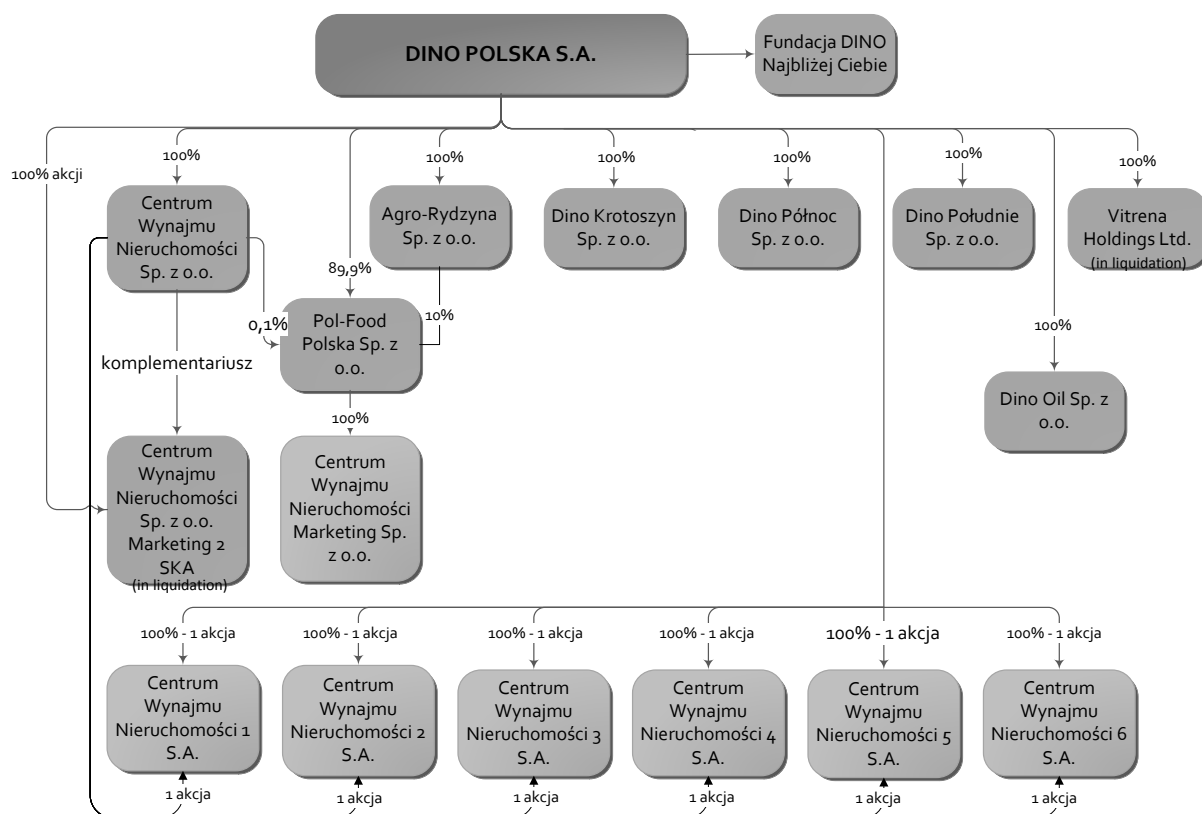
In 2017 the Dino Group generated revenue of PLN 4,515.9 million. Dino Polska's standalone revenue was PLN 4,501.3 million.

4.2. Description of the Group

The Company is the parent company of the Dino Polska Group. The Company conducts the operating activity including the management of Dino store network. The Company manages, among others, the logistics of supply to the stores, sales, selection of the product range offered in the stores and supports other Subsidiaries in the execution of investment processes related to the selection and purchase of land on which new stores will be built and also manages the store construction process itself. Dino Polska also owns some of the real properties on which the stores are located.

The Dino Polska Group has made a strategic decision to purchase the properties, on which its stores will be located, among others to ensure quick organic growth of the store network, uniform store format in all locations, to build the Dino brand image in the customers' perception and to increase cost effectiveness.

The chart below depicts the Dino Polska Group's structure.



Neither Dino Polska nor any Subsidiary holds shares and interest in other entities than the ones specified on the chart above, nor does it have any financial instruments that may exert a material impact on its operations, an assessment of its assets and liabilities, financial standing and statement of profit or loss. Neither the Company nor any Subsidiary made any equity investments outside the Group in 2017. Dino Polska did not buy any treasury stock or shares in 2017 or in prior years.

In connection with the Group's reorganization aimed at sorting out its structure, Sezam XI Fundusz Inwestycyjny Zamknięty Aktywów Niepublicznych was liquidated in 2017. Dino Polska's main investments are linked to buying property, plant and equipment in connection with the expansion of

the Dino Polska Group's stores (especially land to build stores). They are effected in the territory of Poland only and financed with own resources earned on operations and from external sources, such as interest-bearing bank loans, bonds and financial leases.

Subsidiaries

The fundamental information concerning companies belonging to the Dino Polska Group is presented below, in other words, the Company's direct or indirect subsidiaries. All the direct or indirect subsidiaries are subject to consolidation. The Company does not have any branches (units). The Subsidiaries do not have any branches (units), except for Agro-Rydzyna.

Centrum Wynajmu Nieruchomości sp. z o.o. („CWN”)

The Company holds 100% of the shares in the share capital of CWN, entitling it to exercise 100% of the votes at CWN's shareholder meeting. CWN is one of the companies within the Dino Polska Group that is responsible for investment activity involving the purchase of real estate on which Dino stores are subsequently built. After the construction of the buildings CWN leases the retail commercial space to the Company for the purpose of running stores. CWN conducts solely investing activity and it does not conduct any activity related to store management. The following Group companies conduct corresponding activity: **CWN 1, CWN 2, CWN 3, CWN 4, CWN 5, CWN 6.**

Agro-Rydzyna sp. z o.o.

The Company holds 100% of the shares in the share capital of Agro-Rydzyna, entitling it to exercise 100% of the votes at the shareholder meeting of Agro-Rydzyna. Agro-Rydzyna runs a meat processing plant that produces cold cuts and fresh meat.

Dino Krotoszyn sp. z o.o.

The Company holds 100% of the shares in the share capital of Dino Krotoszyn, entitling it to exercise 100% of the votes at the shareholder meeting. Dino Krotoszyn owns part of the warehouse space used by the Group and it renders warehouse services in favor of the Group.

Dino Północ sp. z o.o.

The Company holds 100% of the shares in the share capital of Dino Północ, entitling it to exercise 100% of the votes at the shareholder meeting. Dino Północ does not conduct operating activity.

Dino Południe sp. z o.o.

The Company holds 100% of the shares in the share capital of Dino Południe, entitling it to exercise 100% of the votes at the shareholder meeting. Dino Południe does not conduct operating activity.

Dino Oil sp. z o.o.

The Company holds 100% of the shares in the share capital of Dino Oil, entitling it to exercise 100% of the votes at the shareholder meeting. Dino Oil does not conduct operating activity.

Vitreina Holdings Limited

The Company holds 100% of the shares in the share capital of Vitrena Holdings, entitling it to exercise 100% of the votes at the shareholder meeting. As at the Date of the Report Vitrena Holdings was in the process of liquidation and did not conduct operating activity.

Pol-Food Polska sp. z o.o.

The Company, Agro-Rydzyna and CWN are shareholders in Pol-Food. They hold 89.9%, 10.0% and 0.1%, respectively of the shares in the share capital of Pol-Food, entitling them to exercise 89.9%, 10.0% and 0.1%, respectively of the votes at the shareholder meeting of Pol-Food. Pol-Food deals with marketing activity, it manages the Group's proprietary brands and trademarks.

The Company's indirect subsidiaries

Centrum Wynajmu Nieruchomości Marketing sp. z o.o.

Pol-Food holds 100% of the shares in the share capital of CWN Marketing, entitling it to exercise 100% of the votes at the shareholder meeting. CWN Marketing does not conduct operating activity.

Centrum Wynajmu Nieruchomości sp. z o.o. Marketing 2 SKA in liquidation

CWN is the general partner of CWN Marketing 2, while the Company is a shareholder holding 100% of the shares in the share capital of CWN Marketing 2, entitling it to exercise 100% of the votes at the shareholder meeting. As at the Report Date CWN Marketing 2 does not conduct operating activity. On 22 December 2016 the extraordinary shareholder meeting of CWN Marketing 2 adopted a resolution to dissolve the company. On 18 January 2017 an application to liquidate the company was filed with the court of registration.

4.3. Operating activity in 2017

The Dino Polska Group's operations are conducted in Poland. The Group runs a modern network consisting of medium-sized grocery supermarkets located close to clients' place of residence. As at 31 December 2017, Dino's network consisted of 775 stores located predominantly in western Poland with a total selling area of 295,226 square meters.

The table below shows the number of the Dino stores and the total selling area at the end of each year (since 2008) in the periods specified in the table.

	As at 31 December									
	2017	2016	2015	2014	2013	2012	2011	2010	2009	2008
Total number of stores	775	628	511	410	324	234	154	111	90	81
Sales area (thousand square meters)	295	238	192	151	119	81	50	32	25	20

Products

The Dino Polska Group sells solely in Poland. Dino offers its clients roughly 5 thousand stock keeping units (SKUs) chiefly consisting of branded and fresh products. Fresh products accounted for nearly 37% of sales revenue in 2017. In the Company's opinion, its offering of good quality fresh products, especially meat and cold cuts, is perceived by Dino clients as an indispensable part of daily shopping, which in turn acts as an incentive to pay regular visits to Dino stores.

Dino focuses on offering branded products to clients at competitive prices. In 2017 branded products accounted for the decisive majority of revenue (net of fresh products, including the products of the Agro-Rydzyna meat processing plant).

Product categories

The Dino Polska Group's (and Dino Polska's) major product categories include the following: (i) fresh groceries, including the meat products supplied by Agro-Rydzyna; (ii) dry grocery products, beverages, alcohol and cigarettes; and (iii) non-grocery products. These products represented 37%, 51% and 12%, respectively of revenue in 2017.

The following table shows the structure of sales revenues by product in individual periods.

	Year ended 31 December			
	2017	2016	2015	2014
Fresh food products, of which:	37	36	37	38
Meat, poultry and cold cuts	16	16	16	17
Dry grocery products, beverages, alcohol and cigarettes	51	51	51	50
Non-grocery products	12	13	12	12

Fresh food products

In 2017 fresh products accounted for nearly 37% of sales revenue in the Dino Polska Group. In this category the Dino Polska Group offers a wide array of products, including meat, poultry and cold cuts, fruit and vegetables, dairy products and bread. Fresh products are delivered to stores every day of the week except for Sundays from the meat processing plant run by Agro-Rydzyna, from the Group's distribution centers or, in the case of bread, from local bakeries.

The proprietary meat processing plant run by Agro-Rydzyna makes it possible to offer a wide array of meat and cold cuts in Dino stores. In 2017 fresh meat and cold cuts, as well as poultry, which Agro-Rydzyna supplies for the Group's needs, accounted for 43% of the revenue on fresh products and 16% of the Group's entire revenue.

Dry grocery products, beverages, alcohol and cigarettes

In 2017 dry fresh products, beverages, alcohol and cigarettes accounted for 51% of revenue in the Dino Polska Group. Most of the dry grocery products offered by the Dino Polska Group are branded FMCG products with a high level of recognition. These products are delivered to the stores two to three times a week on average.

Non-grocery products

In 2017 non-grocery products accounted for 12% of sales revenue in the Dino Polska Group. These products include cleaning agents, sanitary articles and small household appliance products.

Procurement of products

The Dino Polska Group has a diversified supplier base including mostly producers and their main representatives. Dino Polska believes that on account of its size and the expansion of its operating activity it is one of the largest and fastest growing clients for many suppliers of grocery articles in Poland. The Dino Polska Group has also adopted a policy of closely cooperating with the producers of regional brands to give clients a less expensive alternative to the leading domestic and global brands. Private label products (with the exception of the Agro-Rydzyna products), just as in 2016 accounted for 2% of sales revenue in the Dino Polska Group in 2017.

Suppliers

The Dino Polska Group collaborates with many suppliers from the FMCG industry. These relations make it possible to secure discounts depending on the amount of purchases while giving suppliers an

opportunity to participate in offers and promotions driving the Dino Polska Group's overall profit margin. In 2017, the top 10 suppliers (excluding Agro-Rydzyna) accounted for 18% of the Dino Polska Group's purchases, while the largest supplier from outside the Dino Polska Group accounted for less than 5% of the Dino Polska Group's purchases.

Dino store network roll-out has contributed to growing the economies of scale in the form of continuing to improve the terms of purchase offered by suppliers. The Dino Polska Group has shared to a large extent the discounts and promotions obtained from suppliers with its clients, thereby augmenting the price competitiveness of the product assortment in Dino stores.

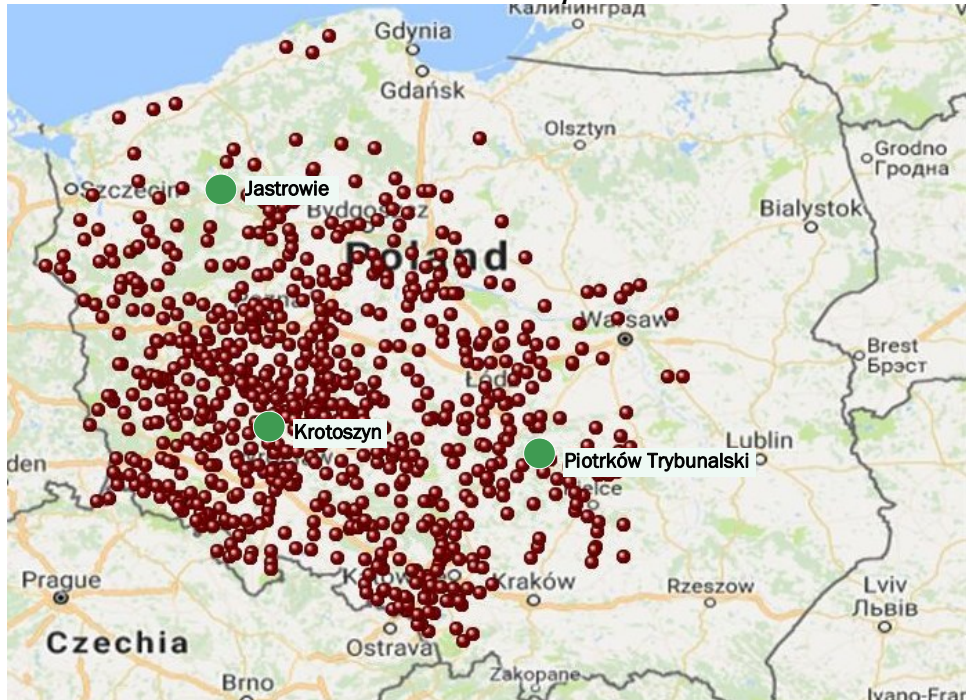
Agro-Rydzyna

Agro-Rydzyna, a subsidiary wholly controlled by the Company, is the sole supplier of high quality fresh meat to Dino stores and the primary supplier of cold cuts. Moreover, Agro-Rydzyna supplies poultry meat to Dino stores. The whole production of the meat processing plant operated by Agro-Rydzyna is sold through the Dino store network. In 2017 Agro-Rydzyna generated 16% of sales revenue in Dino Polska and the Dino Polska Group.

Store network

As at 31 December 2017, the Dino store network consisted of 775 stores with a total selling area of 295,226 square meters.

The map pictures the store network and the Dino Polska Group's distribution centers as at 31 December 2017.



The typical Dino store is a free-standing building located in a small or medium-sized town or on the outskirts of a large city, open from 7:00 a.m. to 10:00 or 11:00 p.m. Most stores have a sales floor area of approx. 400 square meters and are located on plots of approx. 3,000 square meters with a parking lot for 10-30 vehicles. The store locations are diligently selected so that they are situated in sites with a large intensity of footfall or automobile traffic.

In most cases, the Dino Polska Group owns the land on which the store buildings are located, most of which are also owned by the Dino Polska Group (as at 31 December 2017, the Group owned 663 of the 775 buildings hosting its stores in total).

The table below shows information on the total number of stores in the Dino Polska Group and the total selling area in the Dino Polska Group's stores (in thousands of square meters).

	As at 31 December			
	2017	2016	2015	2014
Total number of stores, including:	775	628	511	410
own.....	663	522	406	317
leased.....	99	94	94	83
franchise.....	13	12	11	10
Total selling area (thousand square meters), including:	295	238	192	152
own.....	256	201	156	122
leased.....	34	32	31	26
franchise.....	5	5	4	4

As at 31 December 2017 the Dino Polska Group had 495 locations secured for new stores, including 99 plots of land acquired (on 54 of them work was underway to build stores there) and 396 signed preliminary land purchase agreements. For the sake of comparison, as at 31 December 2016 and 31 December 2015, the Dino Polska Group had 338 and 280 secured locations for new stores, respectively.

During the most recent 10 years the Dino Polska Group has not closed a single store it has built, while in the period from 2014 to 2017, no Dino Polska Group store has been closed save for five stores leased by the Dino Group, where four were relocated to newly-opened own stores in the same location and to PIK stores (in connection with the end of the program to test new store formats).

Warehousing and distribution

The Dino store network is supported by an efficient warehousing and distribution system managed centrally from three distribution centers and by a network of independent transportation companies.

Distribution centers

The products offered in Dino stores are distributed by three distribution centers that are capable of ensuring deliveries to a total of approx. 800-900 stores, depending on a store's sales volume.

The table below shows the total area and the number of stores served by the Dino Polska Group's distribution centers as at 31 December 2017.

	Total warehouse space (thousand square meters)	Number of stores
Facility in Krotoszyn.....	50.6	379
Facility in Piotrków Trybunalski	29.6	239
Facility in Jastrowie	31.7	157
Total	111.9	775

Logistics

Most products are delivered by the suppliers to distribution centers and subsequently they are distributed to the various Dino stores on the basis of demand forecasts for each store generated by the Company's information system. Fresh food, including meat, poultry and cold cuts from Agro-Rydzyna is delivered to the stores every day of the week except for Sundays, while dry grocery products and non-food products are distributed on average two to three times a week. Bread is

delivered to stores from local bakeries with which the Dino Polska Group cooperates every day of the week except for Sunday.

The Dino Polska Group outsources the distribution of products from distribution centers to stores to tens of independent contractors that own their own trucks and trailers. In addition, the Dino Polska Group is the owner of 132 trailers (as at 31 December 2017), thereby augmenting its flexibility in reference to managing the distribution of products. The Dino Polska Group manages the entire logistics process.

4.4. Growth strategy

The Dino Polska Group's strategy calls for continued growth by focusing on three key areas: (i) continuation of rapid organic growth in the number of stores, (ii) continued growth in LFL sales revenue in the existing store network and (iii) consistent improvement in profitability. Dino Polska's intention is to execute its growth strategy by further utilization of the Dino Polska Group's strengths and its competitive advantages.

Continuation of rapid organic growth in the number of stores

Dino Polska's objective is to exceed the number of 1,200 open stores by the end of 2020. The Company is of the opinion that the potential of the Polish market allows for at least 2,700 Dino stores to operate. This estimate relies on Dino Polska's analysis of the current competitive environment and the density of penetration by the competitors' stores in each of the regions in Poland.

The Dino Polska Group intends to continue the strategy of maintaining the ownership of most properties where the stores are located and take advantage of opportunities to organically grow the network in the existing form through: (i) increasing penetration in existing areas, and (ii) gradual expansion in the northern and eastern parts of Poland.

As at 31 December 2017 the Dino Polska Group had 495 locations secured for ongoing store rollout, including 99 plots of land acquired (on 54 of them work was underway to build stores there) and 396 signed preliminary land purchase agreements.

Continued growth in LFL sales revenue in the existing store network

Dino Polska anticipates that it will be able to continue growing LFL sales revenue in the existing store network. For this purpose, the Company will undertake efforts to increase the number of clients doing their shopping in Dino stores and the value of purchases per client.

Dino Polska is aware of the key trends contributing to a change in the lifestyle led by consumers and the customs concerning the purchases of groceries, also including the following:

- (i) looking for stores close to the place of residence and striving for convenience when making purchases;
- (ii) demanding higher quality and branded products; and
- (iii) ever higher health awareness and greater interest in fresh and healthy food, including Polish products.

The model adopted by the Dino Polska Group of having modern small-sized supermarkets situated close to peoples' place of residence is aligned to the consumer trends described above. The Company

expects that this will continue to translate into the ability to sustain a high growth rate of opening new stores and to sustain a high pace of sales growth in the existing store network (LFL) compared to the overall market.

The Dino Group's ability to utilize (i) direct access to reputable domestic and regional producers of branded products, (ii) its own meat processing plant Agro-Rydzyna and (iii) efficient logistics network to make daily deliveries of fresh products as needed enables the Dino Polska Group to derive benefit from these trends, which will support revenue growth in the existing store network (LFL).

Consistent improvement in profitability

In past years the Dino Polska Group has generated long-lasting growth in its gross margin on sales and its EBITDA margin and it expects that it will be capable of improving its profitability by increasing the magnitude of its operations, the favorable nature of its business model and several strategic initiatives. They comprise:

- (i) benefits of scale leading to further gross margin growth due to the rapid store network expansion and the sales growth in the existing store network, and consequently, the rapidly growing volume of purchased products, making it possible to enhance the commercial conditions with business partners;
- (ii) greater cost effectiveness at the individual store level thanks to the systematically conducted actions to cut the costs of running a store;
- (iii) high operational leverage pushing up the EBITDA margin on account of relatively fixed costs rising more slowly than revenue;
- (iv) planned investments to optimize the logistics network by opening a fourth distribution center by the end of 2018, thereby shortening the supply routes and this should make it possible to reduce the costs of transport even further in relationship to revenue;
- (v) continuing the current HR policy involving the usage of a motivational compensation system; and
- (vi) continuing the Dino Polska Group's effective and savings-minded marketing policy (marketing costs in 2017 were below 0.2% of revenue).

Dino Polska anticipates that all these strategic initiatives and characteristic attributes of its business model will contribute to further improvement in the Dino Polska Group's profitability.

4.5. Competitive advantages and growth prospects

The following competitive advantages constitute key success factors making it possible for the Dino Polska Group's development to date. According to the Company, they will continue to contribute to the further rapid expansion of Dino and the Dino Polska Group in upcoming years.

Leading position in the rapidly growing segment of smaller supermarkets in Poland

The segment consisting of smaller supermarkets with a selling area ranging from 200 m² to roughly 500 m² in which the Dino Polska Group operates is one of the fastest growing ones measured by the number of stores in the retail grocery market segments in Poland. This segment is expected to be the fastest growing segment from 2015 to 2020 measured by the CAGR for the number of stores and this ratio should be in the double digits (source: *Roland Berger*).

Smaller supermarkets are successfully growing in Poland for the following reasons:

- (i) they have an advantage over large stores, including in particular hypermarkets and large supermarkets ensuing from their location, which is more convenient for clients and the ability to do shopping much more quickly;
- (ii) they offer a more extensive product assortment compared to discount networks and convenience stores; and
- (iii) they have an advantage over independent grocery stores ensuing from centralized logistics and the magnitude of purchases.

The Dino stores are well aligned to demographic trends and client preferences in Poland, enabling the Dino Polska Group to derive benefits from rising consumer spend, especially in smaller communities and from the trend toward suburbanization and to benefit from the overall growth in the Polish retail grocery trade.

The Dino Polska Group is one of the fastest growing networks in Poland in terms of the number of new stores and revenue CAGR that were 31% and 35%, respectively from 2011 to 2017.

Proven capacity to open new stores rapidly and its own properties

In 2015-2017 the Dino Polska Group opened on average more than 120 new stores per annum, thereby becoming one of the fastest growing networks in the overall grocery retail market in Poland.

The Dino Polska Group employs a standard store design and retains full control over the process of preparing and building the commercial outlets in its network. Owning most of the land and building its own stores enable the Dino Polska Group to achieve uniformity, quality and cost effectiveness and facilitate rapid store network expansion, ensuring the execution of new investments in locations with limited accessibility to suitable space for lease, i.e. satisfying the criteria for a favorable site, or the lack thereof (i.e. in small communities, in small and medium-sized towns and in the peripheries of large cities).

The following factors provide for favorable economic effects of opening and building new stores:

- (i) internal resources, know-how and long-term relations with tried and tested and credible creditors have enabled the Dino Polska Group to build new stores at an average cost per store in 2016-2017 (giving consideration to the costs of buying land and outfitting a store) in the amount of PLN 24 million.
- (ii) stores are highly profitable, as demonstrated by the Dino Polska Group's EBITDA margin of 8.9% in 2017 and the Dino Polska Group's ROIC of 33.9% in 2017;
- (iii) the fact that the Dino Polska Group is the owner of the vast majority of the properties in which it runs its business means the Group is able to open new stores in places where there is a shortage of suitable facilities available for lease, which enables the Group to minimize the risk of rent hikes or other unfavorable changes in the provisions of lease agreements;
- (iv) the real properties owned by the Dino Group are recognized in the accounting ledgers at purchase price or construction price. If the value of these properties rises, the Dino Polska Group may derive benefits from that;
- (v) during the most recent 10 years the Dino Polska Group has not closed a single store it has built (in the period from 2014 to 2017, no Dino Polska Group store has been closed save for five stores leased by the Dino Group, where four were relocated to newly-opened own stores in the same location and to PIK stores (in connection with the end of the program to test new store formats));

- (vi) by building new stores and outfitting them with new equipment the Dino Polska Group is leveraging the relatively low costs of maintenance and renovation.

The Dino Polska Group is steadfastly building a portfolio of attractive locations in venues where it expects a suitable amount of client footfall and car traffic. As at 31 December 2017 the Dino Polska Group had 99 locations (on 54 of them work was underway to build stores there) and 396 signed preliminary land purchase agreements (which after satisfying certain conditions related to administrative decisions such as building permits will become binding agreements).

Outstanding offer of fresh and branded products and competitive prices

Dino stores offer their customers roughly 5 thousand carefully selected stock keeping units (SKUs), chiefly consisting of branded products and fresh products.

Owing to the broad, competitive and properly selected product range, Dino stores are an attractive place for daily purchases by Poles. Dino offers twice the number of SKUs than the largest discount networks in Poland. In 2017, sales of fresh products represented 37% of the Group's sales revenue.

Moreover, contrary to discount networks, every Dino store has a meat counter with counter staff to which products (meat, poultry and cold cuts) are delivered on all days of the week (except Sundays) from a meat processing plant operated by Agro-Rydzyna, a wholly owned subsidiary of Dino Polska.

The ownership of Agro-Rydzyna's meat processing plant enables the Dino Polska Group to wield direct control over the quality and freshness of meat and cold cuts, which is an important distinguishing feature of Dino stores' offering vis-à-vis their competition and which is decisive for many customers when it comes to selecting a Dino store as a place for everyday purchases. In 2017, meat, poultry and cold cuts accounted for 16% of sales revenue in the Dino Polska Group.

As regards products other than fresh food, the Dino Polska Group's strategy is concentrated on branded products. Dino Polska's private labels, other than Agro-Rydzyna, accounted for less than 2% of the Dino Polska Group's sales revenue in 2017.

Dino Polska keeps monitoring the prices of its products in relation to those offered by the competition, as a result of which they can be sold at prices that are on average the same as those in stores of the largest food retail networks in Poland. To complement its competitive pricing, the Dino Polska Group applies a consistent and transparent approach to promotions advertised in its advertising newsletters and on billboards placed in front of most Dino stores.

Business model that is both cost-effective and scalable

In the running of its business, the Dino Polska Group applies a cost-effective and scalable business model founded on a uniform store formula, an extensive logistics network, centralized management, appropriate IT infrastructure and an active and effective store oversight. These features of the adopted business model and the achieved economies of scale enable the Dino Polska Group to tread a path of a steady increase in profitability, as demonstrated by the increase in EBITDA margin by 1.9 p.p., from 7.0% in 2014 to 8.9% in 2017.

The control exercised over the selection of both the location and the construction process means that it is possible to create every new store very similar to the others. A typical store has an average sales floor area of 400 m², 10-30 parking spaces and appropriate access for trucks permitting, on an as-

needed basis, daily deliveries of fresh products and regular deliveries of the remaining product assortment in a cost-effective manner and without disrupting customer purchases.

As at 31 December 2017, the Dino Polska Group's logistics network consisted of three distribution centers: in Krotoszyn, Jastrowie and Piotrkow Trybunalski. In parallel with the store rollout, the Dino Polska Group intends to build additional distribution centers to supporting further expansion. In 2017, approximately 95% of all SKUs were delivered to Dino stores directly from the Group's distribution centers and from Agro-Rydzyna.

The logistics network managed by the Dino Polska Group enables regular deliveries of fresh products to all stores. The Group outsources the distribution of products to tens of independent contractors that own their own trucks and trailers. In addition, the Dino Polska Group is the owner of 132 trailers (as at 31 December 2017), thereby augmenting its flexibility in reference to managing the distribution of products. The Dino Polska Group manages the entire logistics process.

The Dino Polska Group has rolled out a centralized management model supported by appropriate IT systems. This enables ongoing monitoring of the profitability of each store and react swiftly to any changes. The distribution of products in each store as well as order tracking and loss management are handled and supervised from the head office.

The Dino Polska Group has a highly diversified supplier base including mostly producers and above all their main representatives. The largest supplier from outside the Dino Polska Group accounted for less than 5% of the Group's purchases in 2017. The large and constantly growing volumes of orders placed with suppliers accrue benefits in the form of economies of scale enabling the Dino Polska Group to make purchases on favorable terms. The continued rapid store rollout will drive the volume of customer purchases upward, which will enable the Dino Polska Group to improve its purchase terms also in the future. This permits the Dino Polska Group to obtain advantageous discounts and ensure the participation of suppliers in campaigns and promotions, which in turn translate into higher profitability.

Robust historical performance

The Dino Polska Group has a proven track record of robust financial performance in terms of growth, profitability and generation of cash. Every year, sales revenue keeps growing continuously, from PLN 2.1 billion in 2014 to PLN 4.5 billion in 2017, which corresponds to a CAGR of 28.9%. This rate of growth is a consequence of both the fast pace at which new stores are opened and an increase in sales revenue in the existing store network (LFL). Dino Polska kept up this fast pace of new store openings in 2017, expanding by 147 stores compared to the previous year and generating an increase in sales revenue in the existing store network (LFL) of 16.2% year-on-year.

The Dino Polska Group's EBITDA surged from PLN 147.7 million in 2014 to PLN 401.0 million in 2017, which corresponds to a CAGR of 39.5%. In the same period, the gross margin on sales increased by 1 p.p. from 22.0% in 2014 to 23.0% in 2017 and the EBITDA margin increased 1.9 p.p. from 7.0% in 2014 to 8.9% in 2017.

Simultaneously, the Dino Polska Group generated a large amount of net cash from operating activity, which was another driver of its growth. In 2017, the Dino Polska Group's cash generated from operating activity reached PLN 497.2 million, which enabled the Group to cover its purchases of

property, plant and equipment and intangible assets totaling PLN 402.1 million. Moreover, owing to the rapid growth of EBITDA and generated cash, the Dino Polska Group decreased its net debt to EBITDA ratio from 2.6x in 2014 to 1.2x in 2017.

Seasoned management

The Dino Polska Group is run by an experienced management team, headed by Szymon Piduch, President of the Management Board, and Michał Krauze, Chief Financial Officer and Management Board Member. Both of them have been with Dino Polska since 2002, when the Company operated fewer than twenty stores with a total sales floor area of 5,000 m² and was only beginning to open its first distribution center. The following years marked the Dino Polska Group's expansion into a leading network of 775 stores with a total selling area of 295,226 m², operating predominantly in western Poland (as at 31 December 2017).

The Dino Polska Group is led by an experienced team of managers heading its key departments, such as purchasing, accounting, logistics, warehousing, expansion, technical and IT, procurement and operational control. The majority of management staff have spearheaded the development of the Dino Polska Group for many years, having successfully overseen the rapid expansion of the Group's business. The acumen of the Dino Polska Group's management and the knowledge and commitment of its employees provide the Group with robust foundations and managerial skills necessary for continued successful pursuit of its proven growth strategy.

Growth prospects

The objective of the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The following trends and events will affect the Dino Polska and Group's business until the end of 2018:

- favorable economic situation in Poland resulting in increasing disposable income and consumption expenditures of customers;
- changing trends and habits among consumers (in particular an active lifestyle, less leisure time, higher frequency and shortened duration of shopping, attaching greater attention to the convenient location of stores) which lead to a stagnation of sales in hypermarkets and growth of sales in those market segments that bring stores closer to customers and enable less time-consuming purchases;
- changes in the regulatory environment: (i) a higher minimum wage, which on one hand translates into an increase in the general level of employee compensation in the Dino Polska Group and on the other hand provides Dino's customers with additional disposable income, and (ii) a gradual introduction of the prohibition of trade on Sundays.

Due to uncertainty about future economic conditions, the Company's expectations and projections are subject to a high dose of uncertainty. Moreover, the following factors will have a significant impact on the development of the Company and the Group in the future:

- improved efficiency of operations, benefits resulting from economies of scale and optimization of operating expenses;
- improved efficiency of logistics services provided to all stores;
- accessibility of funding sources;
- competition from other retail sales networks;
- changing legal regulations and standards, including tax burdens on business operators;

- costs of operating retail trade business caused by the introduction of new provisions of consumer law, labor law, sanitary law and environmental law;
- unstable and uncertain situation on the labor market in various regions of the country;
- higher prices of fuels and other energy carriers, translating into higher operating expenses for the Group's companies, including higher costs of merchandise purchases.

5. ECONOMIC AND FINANCIAL STANDING

The objective of Dino Polska and the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The Company expects to run a profitable business in the foreseeable future.

5.1. Recap of the Dino Polska Group's results

In 2017, the Dino Polska Group generated sales revenue of PLN 4,516 million and EBITDA of PLN 401.4 million, with a CAGR of sales revenue and EBITDA for 2014-2017 of 28.9% and 39.6%, respectively. The Group's gross margin on sales and EBITDA margin in 2017 stood at 23.0% and 8.9%, respectively, representing an increase by 1.0 p.p. and 1.9 p.p., respectively, compared to 2014.

The table below presents selected line items from the consolidated statement of profit or loss in 2014-2017

	For the year ended 31 December				Change	
	2017 ⁽¹⁾	2016 ⁽¹⁾	2015	2014	2017/ 2016	CAGR 2014-2017
	(PLN thousand)				(%)	
Sales revenue	4,515,933	3,369,517	2,589,576	2,107,984	34.0	28.9
Cost of sales	(3,475,297)	(2,599,005)	(2,004,710)	(1,644,080)	33.7	28.3
Gross profit on sales	1,040,636	770,512	584,866	463,904	35.1	30.9
Other operating income	3,671	2,616	3,120	1,522	40.3	-
Sales and marketing expenses	(678,687)	(505,855)	(391,580)	(324,634)	34.2	27.9
General administration expenses	(60,025)	(49,434)	(35,354)	(31,338)	21.4	24.2
Other operating expenses	(2,353)	(2,250)	(998)	(3,667)	4.6	-
Operating profit	303,242	215,589	160,054	105,787	40.7	42.1
Financial income	655	473	99	168	38.5	-
Financial costs	(37,881)	(29,607)	(24,922)	(26,662)	27.9	-
Profit before tax	266,016	186,455	135,231	79,293	42.7	49.7
Income tax	(52,412)	(35,245)	(13,059)	(13,156)	48.7	58.5
Net profit	213,604	151,210	122,172	66,137	41.3	47.8

⁽¹⁾ Data unadjusted for non-recurring IPO-related costs of PLN 7.5 million incurred in 2016 and PLN 12.232 million in 2017.

Sales revenue

In 2017, sales revenue grew by PLN 1,146.4 million, or 34.0%, to PLN 4,515.9 million as compared to PLN 3,369.5 million in 2016. This increase was driven predominantly by growth in revenue on sales of goods and materials by PLN 1,003.1 million, or 34.1%, to PLN 3,944.4 million in 2017, as compared to PLN 2,941.3 million in 2016. In the same period, revenue on sales of products and services surged by PLN 143.3 million, or 33.5%, to PLN 571.5 million in 2017, as compared to PLN 428.2 million in 2016. The increase in sales revenue was driven mainly by the higher magnitude of the Dino Polska Group's business, i.e. predominantly: (i) growth in the number of stores by 23.4%, and (ii) higher LFL sales in the existing store network by 16.2%.

Cost of sales

In 2017, cost of sales represented 77.0% of sales revenue, whereas in 2014-2016 it stood at 78.0%, 77.4% and 77.1% of sales revenue, respectively. Cost of sales increased by PLN 876.3 million, or 33.7%, from to PLN 3,475.3 million in 2017 from PLN 2,599.0 million in 2016, with a 34% increase in

sales revenue. This growth was caused mainly by the Dino Polska Group's growing business size in connection with the expansion of the Dino store network and rising sales in existing stores (LFL).

Sales and marketing expenses

Sales and marketing costs increased by PLN 172.8 million, or 34.2%, to PLN 678.7 million in 2017 compared to PLN 505.9 million in 2016, representing a 34% increase in sales revenue. This growth was mainly driven by the Dino Polska Group's growing business size and the related expansion of the Dino Polska Group's store network and rising sales in existing stores (LFL), thereby necessitating higher costs associated with store upkeep, storage of merchandise and marketing. The ratio of sales and marketing expenses to sales revenues in 2017 was 15.0%, the same as in 2016.

General administration expenses

General administration expenses increased by PLN 10.6 million, or 21.4%, to PLN 60.0 million in 2017 as compared to PLN 49.4 million in 2016. Net of the non-recurring costs incurred in 2016 and 2017 in connection with Dino Polska's IPO, they increased by PLN 5.8 million, or 13.9%, to PLN 47.8 million in 2017, as compared to PLN 41.9 million in 2016. This was caused mainly by the expansion of the Dino Polska Group's network (some administrative functions expanded in line with the Dino Group Polska's store network rollout). The ratio of general administration expenses (net of the non-recurring costs incurred in 2016 and 2017) to sales revenue in 2017 was slightly below 1.1%, whereas in 2016 it was more than 1.2%.

Costs by nature

The following table presents costs by nature from 2014 to 2017.

	For the year ended 31 December				Change	
	2017 ⁽¹⁾	2016 ⁽¹⁾	2015	2014	2017/ 2016	CAGR 2014-2017
	(PLN thousand)				(%)	
Depreciation and amortization	85,872	65,202	50,177	41,880	31.7	27.0
Consumption of materials and energy	444,107	331,610	263,779	232,664	33.9	24.0
External services	168,090	135,959	107,874	94,130	23.6	21.3
Taxes and fees	23,908	17,129	13,197	9,824	39.6	34.5
Employee benefits	466,694	336,139	255,104	207,470	38.8	31.0
Other costs by nature	16,894	12,641	11,271	15,710	33.6	2.5
Cost of goods and materials sold	2,996,907	2,249,878	1,730,102	1,399,805	33.2	28.9
Total costs by type, including:	4,202,472	3,148,558	2,431,504	2,001,483	33.5	28.1
Items captured in cost of sales	3,475,297	2,599,005	2,004,710	1,644,080	33.7	28.3
Items captured in sales and marketing costs	678,687	505,855	391,580	324,634	34.2	27.9
Items captured in general administration expenses	47,753	41,934	35,354	31,338	13.9	15.1
Movement in products	735	1,764	140	1,431	-58.3	-19.9

⁽¹⁾ Data for 2016 and 2017 adjusted for non-recurring IPO-related events: in 2016 by PLN 1,816 thousand as external services, PLN 5,666 thousand as costs of employee benefits, PLN 18 thousand as other costs by nature; in 2017 by PLN 1,493 thousand as external services, PLN 10,334 thousand as costs of employee benefits, PLN 445 thousand as other costs by nature

Total costs by nature, net of the non-recurring costs incurred in 2016 and 2017 in connection with Dino Polska's IPO, increased by PLN 1,053.9 million, or 33.5%, to PLN 4,202.5 million in 2017, compared to PLN 3,156.1 million in 2016, mainly as a result of increases in: (i) cost of merchandise and materials sold (by PLN 747.0 million), (ii) costs of employee benefits (by PLN 130.6 million), (iii)

consumption of materials and energy (by PLN 112.5 million) and (iv) external services (by PLN 32.1 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the existing store network (LFL).

Employee benefits

Employee benefits, net of the non-recurring costs incurred in connection with Dino Polska's IPO (of PLN 5,666 thousand in 2016 and PLN 10,334 thousand in 2017), increased by PLN 130.6 million, or 38.8%, to PLN 466.7 million in 2017 as compared to PLN 336.1 million in 2016. This growth resulted primarily from the higher number of Dino Polska Group employees from 10,640 as at 31 December 2016 to 13,129 as at 31 December 2017 in connection with the Dino Polska Group's expanding business size and the related expansion of the Dino store network as well as rising sales in the existing stores (LFL) and, to a lesser extent, from the higher average employee compensation in the Dino Polska Group and the minimum wage hike (from PLN 1,850 to PLN 2,000). In 2017 and 2016, the cost of employee benefits was 10.3% and 10.0% of sales revenue, respectively.

External services

External services, comprising predominantly of transportation services, lease and rental services and repair and maintenance services, net of the non-recurring costs incurred in connection with Dino Polska's IPO (of PLN 1,816 thousand in 2016 and PLN 1,493 thousand in 2017), increased by PLN 32.1 million, or 23.6%, to PLN 168.1 million in 2017 from PLN 136.0 million in 2016. This growth was caused mainly by the Dino Polska Group's growing business size and the related expansion of the Dino store network and rising LFL sales in the existing store network. The growth rate of the costs of external services was lower than the growth rate of sales revenue generated by the Dino Polska Group. The costs of external services represented 3.7% of sales revenue in 2017, as compared to 4.0% in 2016.

Consumption of materials and energy

Consumption of materials and energy increased by PLN 112.5 million, or 33.9%, to PLN 444.1 million in 2017 from PLN 331.6 million in 2016. This growth was caused mainly by higher consumption of materials and raw materials in connection with the expanding business size and the expansion of the store network and rising LFL sales in the existing store network. The costs associated with the consumption of materials and energy represented 9.8% of sales revenue in 2017, as compared to 9.8% in 2016.

Financial costs

Financial expenses of the Dino Polska Group increased by PLN 8.3 million, or 27.9%, to PLN 37.9 million in 2017 from PLN 29.6 million in 2016. This growth was caused mainly by (i) the higher amount of interest on trade payables (by PLN 4.2 million or 40.4%) as a result of the Group's growing business and the related expansion of the store network and rising LFL sales in the existing store network, (ii) financial expenses on account of finance leases (by PLN 1.4 million or 41.0%) due to the higher value of assets funded by finance leases, and (iii) the higher amount of interest on bank loans (by PLN 1.4 million or 9.2%) in connection with taking out new bank loans.

Income tax

In 2017, the Dino Polska Group recorded a tax expense of PLN 52.4 million, as compared to PLN 35.2 million in 2016. The effective tax rate of the Dino Polska Group was 19.7% and 18.8% in 2017 and 2016, respectively.

5.2. Structure of the Group's assets and liabilities

Assets

The table below shows information on the Dino Polska Group's assets as at 31 December 2017, 2016, 2015 and 2014, respectively

	As at 31 December				Change
	2017	2016	2015	2014	2017/ 2016
	(PLN thousand)				(%)
Non-current assets					
Property, plant and equipment	1,697,600	1,337,207	1,024,199	798,948	27.0
Intangible assets	92,774	93,072	92,253	90,700	-0.3
Other non-financial assets (non-current)	30	-	-	1,885	-
Deferred tax assets	17,560	26,867	34,311	37,049	-34.6
Total non-current assets	1,807,964	1,457,146	1,150,763	928,582	24.1
Current assets					
Inventories	368,262	276,541	212,146	182,286	33.2
Trade and other receivables	37,991	33,665	21,687	18,796	12.9
Income tax receivables	77	613	105	48	-87.4
Other non-financial assets	34,409	22,447	20,742	13,515	53.3
Cash and cash equivalents	202,626	66,428	33,920	23,739	205.0
Total current assets	643,365	399,694	288,600	238,384	61.0
Total assets	2,451,329	1,856,840	1,439,363	1,166,966	32.0

Total assets increased by PLN 594.5 million, i.e. 32.0%, from PLN 1,856.8 million as at 31 December 2016 to PLN 2,451.3 million as at 31 December 2017.

In 2014-2017, the main components of assets included: (i) property, plant and equipment representing 69.3%, 72.0%, 71.2% and 68.5% of total assets as at 31 December 2017, 2016, 2015 and 2014, respectively; (ii) inventories representing 15.0%, 14.9%, 14.7% and 15.6% of total assets as at 31 December 2017, 2016, 2015 and 2014, respectively; (iii) intangible assets representing 3.8%, 5.0%, 6.4% and 7.8% of total assets as at 31 December 2017, 2016, 2015 and 2014, respectively, and (iv) cash and cash equivalents representing 8.3%, 3.6%, 2.4% and 2.0% of total assets as at 31 December 2017, 2016, 2015 and 2014, respectively.

As at 31 December 2017, 2016, 2015 and 2014, non-current assets represented, respectively, 73.8%, 78.5%, 79.9% and 79.6% of total assets, while current assets amounted to 26.2%, 21.5%, 20.1% and 20.4% of total assets.

Non-current assets increased by PLN 350.9 million, or by 24.1% from PLN 1,457.1 million as at 31 December 2016 to PLN 1,808.0 million as at 31 December 2017. This increase was caused mainly by an increase in property, plant and equipment (by PLN 360.4 million, or 27.0%) which in turn was

caused primarily by the growth of the Dino Group sales chain (new stores) and an increased scale of business (launch or completion of construction of new Dino stores, capital expenditures for technical equipment and machinery, vehicles and other property, plant and equipment), partially offset by depreciation and amortization or liquidation of property, plant and equipment.

The largest current asset items are: (i) inventories (which represented 57.2%, 69.2%, 73.5% and 76.5% of current assets as at 31 December 2017, 2016, 2015 and 2014, respectively), (ii) cash and cash equivalents representing 31.5%, 16.6%, 11.8% and 10.0% of current assets as at 31 December 2017, 2016, 2015 and 2014, respectively, and (iii) trade and other receivables (which constituted 5.9%, 8.4%, 7.5% and 7.9% of current assets as at 31 December 2017, 2016, 2015 and 2014, respectively).

Current assets increased by PLN 243.7 million, or 61.0%, from PLN 399.7 million as at 31 December 2016 to PLN 643.4 million as at 31 December 2017. This increase was caused mainly by the increase in: (i) cash and cash equivalents (by PLN 136.2 million, or 205%) driven by an increase in the scale of business, scheduling arrangements and extinguishment of short-term loans in favor of long-term ones (ii) inventories (by PLN 91.8 million or 33.2%), driven mainly by an increase in the scale of Dino Polska Group's business, and (iii) other non-financial assets (by PLN 12.0 million, or 53.3%) in connection with the increased scale of business.

Liabilities

The table below shows information on the Dino Polska Group's liabilities as at 31 December 2017, 2016, 2015 and 2014, respectively

	As at 31 December				Change
	2017	2016	2015	2014	2017/ 2016
	(PLN thousand)				(%)
Non-current liabilities					
Interest-bearing loans and borrowings and finance lease liabilities	470,590	452,378	361,774	285,962	4.0
Liabilities under issued securities	99,749	0	0	0	-
Other liabilities	270	300	0	0	-10.0
Provisions for employee benefits	1,231	1,115	758	533	10.4
Provision for deferred tax liability	3,495	5,498	588	1,572	-36.4
Accruals and deferred revenue	548	87	73	76	529.9
Total non-current liabilities	575,883	459,378	363,193	288,143	25.4
Current liabilities					
Trade and other payables	811,322	574,426	429,195	337,620	41.2
Current part of interest-bearing loans and borrowings and finance lease liabilities	117,074	110,173	101,504	118,187	6.3
Other financial liabilities	654	0	0	0	0
Income tax liabilities	20,729	10,268	3,368	4,608	101.9
Accruals and deferred revenue	20,824	13,227	9,796	8,286	57.4
Provisions for employee benefits and other provisions	350	5,892	72	49	-94.1
Total current liabilities	970,953	713,986	543,935	468,750	36.0
Total liabilities	1,546,836	1,173,364	907,128	756,893	31.8

IN 2014-2017, the main components of liabilities were: (i) trade and other payables representing 52.5%, 49.0%, 47.3% and 44.6% of liabilities as at 31 December 2017, 2016, 2015 and 2014,

respectively; (ii) interest-bearing loans, borrowings and finance lease liabilities (non-current part) representing 30.4%, 38.6%, 39.9% and 37.8% of liabilities as at 31 December 2017, 2016, 2015 and 2014, respectively; and (iii) current part of interest-bearing loans and finance lease liabilities representing 7.6%, 9.4%, 11.2% and 15.6% of liabilities as at 31 December 2017, 2016, 2015 and 2014, respectively. Total liabilities increased by PLN 373.5 million, or 31.8%, from PLN 1,173.4 million as at 31 December 2016 to PLN 1,546.8 million as at 31 December 2017.

Non-current liabilities

As at 31 December 2017, 2016, 2015 and 2014, non-current liabilities represented, respectively, 37.2%, 39.2%, 40.0% and 38.1% of total liabilities.

Non-current liabilities increased by PLN 116.5 million, or 25.4%, from PLN 459.4 million as at 31 December 2016 to PLN 575.9 million as at 31 December 2017, predominantly as a result of: (i) an increase in other liabilities of PLN 99.7 million due to the issue of 3-year bonds of Dino Polska with a nominal value of PLN 100 million, and (ii) the value of interest-bearing loans and borrowings and finance lease liabilities (by PLN 18.2 million, or 4.0%). The bond issue and additional loans were used to finance the expansion of the Dino store network and expenditures related to the extension of distribution centers in Krotoszyn and Jastrowie.

Current liabilities

As at 31 December 2017, 2016, 2015 and 2014, current liabilities represented, respectively, 62.8%, 60.8%, 60.0% and 61.9% of total liabilities.

Current liabilities increased by PLN 257.0 million, or 36.0%, from PLN 714.0 million as at 31 December 2016 to PLN 971.0 million as at 31 December 2017, predominantly as a result of: (i) an increase in trade and other liabilities (by PLN 236.9 million, or 41.2%, driven mainly by an increase in the scale of business of Dino Polska Group); (ii) an increase in income tax liabilities (by PLN 10.5 million, or 101.9%, primarily due to the increasing scale of the Group's business) and (iii) an increase in accruals and deferred revenue (by PLN 7.6 million, or 57.4%, mainly as a result of an increase in expenses related to unused holidays).

Equity

The table below shows information on Dino Polska Group's equity as at 31 December 2017, 2016, 2015 and 2014, respectively

	As at 31 December				Change
	2017	2016	2015	2014	2017/ 2016
	(PLN thousand)				(%)
Share capital	9,804	9,804	9,804	9,804	0.0
Supplementary capital	1,111,860	510,720	393,019	316,048	117.7
Retained earnings	-224,671	162,952	129,412	84,221	-
Other equity	7,500	0	0	0	-
Non-controlling interests	0	0	0	0	-
Total equity	904,493	683,476	532,235	410,073	32.3

As at 31 December 2017, total equity was PLN 904.5 million, increasing by PLN 221.0 million, or 32.3% compared to PLN 683.5 million as at 31 December 2016.

Liquidity and capital resources

The Dino Polska Group finances its liquidity and capital needs mainly through: (i) cash generated in its operating activities, (ii) loans (overdrafts and investment loans), (iii) the issue of debt securities (bonds), and (iv) finance leases of trailers, means of transport, shop equipment and devices. The Company plans to continue financing its future capital needs from the above-mentioned sources and expects to gradually reduce finance leases.

The principal capital needs of the Dino Polska Group are related to its operating activities, financing of capital expenditures (related in particular to further development of the Dino store network) and repayment of debt and trade and other payables. The financial strategy of the Dino Polska Group is to secure, to the greatest extent possible, financial resources and liquidity allowing it to repay its liabilities when they fall due, both in the normal course of business and in extraordinary circumstances, to protect the Dino Polska Group against the risk of losses or damage to its reputation. The capital expenditures required for further Dino store network roll-out are financed mainly from the Dino Polska Group's own funds from current operating activities.

As at 31 December 2017, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where most of the sales are carried out in cash, inventories are minimized and suppliers offer deferred terms of payment. At the same time, the Company and the Group intensively develop its network using free cash and funding from bank loans and bond issues to increase the number of its operational stores. The covenants related to the loan agreements and outstanding bonds are monitored on an ongoing basis. As at the balance sheet date of 31 December 2017, there was no default on the terms and conditions of loan agreements and bonds and the Management Board of Dino believes there is no risk that banks may terminate such agreements or bondholders request early redemption of the bonds within 12 months of the balance sheet date of 31 December 2017. As at the Report Date, no circumstances have been found that would indicate a threat for Dino Polska and other Group companies to continue as a going concern.

The Company believes that the level of working capital, the financing available to the Dino Group and its ability to generate positive cash flows from operating activities are sufficient to cover its current needs and conduct its business for at least 12 months from the Report Date.

5.3. Group's Statement of cash flows

The following table presents information on the Dino Polska Group's cash flows for the specified years
For the year ended 31 December

	2017	2016	2015	2014
	<i>(PLN thousand)</i>			
Net cash from operating activities	497,204	324,323	245,394	188,478
Net cash from investing activities	(402,143)	(310,180)	(242,502)	(170,195)
Net cash from financing activities	41,137	18,365	7,289	(12,060)
Net increase in cash and cash equivalents	136,198	32,508	10,181	6,223
Cash at the beginning of the period	66,428	33,920	23,739	17,516
Cash at the end of the period	202,626	66,428	33,920	23,739

Net cash flows from operating activities

In 2017, the Dino Polska Group generated PLN 497.2 million of net cash from its operating activities, which was PLN 172.8 million more than in 2016.

The increase in net cash from operating activities was driven mainly by the higher magnitude of the Dino Polska Group's business, i.e. predominantly the growing top line following from expansion of the store network and rising LFL sales in the existing store network. Top line growth was higher than the corresponding increase in operating expenses and the related expenditures, leading to higher proceeds on operating activity. The factors also affected the working capital of the Dino Polska Group.

In 2017, Dino Polska Group's cash flows from operating activities stood at PLN 497.2 million. This amount includes the 2017 profit before tax (PLN 266.0 million) and positive cash flows (in the total amount of PLN 379.7 million) resulting mainly from: (i) movement in liabilities (PLN 239.7 million), (ii) depreciation and amortization (PLN 85.9 million) and (iii) interest expense (PLN 38.1 million). Cash inflows were partly offset by cash expenditures (totaling PLN 148.5 million) which in 2017 comprised mainly: (i) movement in inventories (PLN 91.7 million), (ii) income tax paid (PLN 34.1 million) and (iii) movement in receivables (PLN 16.8 million).

Net cash flows from investing activities

In 2017, Dino Polska's cash flow from investing activities was negative at PLN (402.1) million. The negative cash flows were caused mainly by the expenditures on the purchase of property, plant and equipment and intangible assets.

Net cash flows from financing activities

In 2017, Dino Polska Group's cash flows from financing activities stood at PLN 41.1 million. Cash flows included mainly inflows from loans and borrowings (PLN 117.3 million) granted to the Dino Polska Group in 2017 and inflows from a Dino Polska bond issue (PLN 100 million). Cash inflows were partly offset by cash expenditures (totaling PLN 176.2 million) which in 2017 comprised mainly: (i) repayment of loans and borrowings (PLN 86.8 million), (ii) repayment of finance lease liabilities (PLN 51.9 million) pertaining to trailers, means of transport, store and warehouse equipment and devices, as well as (iii) interest paid (PLN 37.4 million).

5.4. Capital expenditures

The following table presents information about Dino Polska Group's capital expenditures (defined as the sum of purchases of the value of non-current assets and intangible assets) for the specified periods

	For the year ended 31 December				Change
	2017	2016	2015	2014	2017/ 2016
	(PLN thousand)				(%)
Expenditures on stores	360,978	287,312	238,459	186,347	25.6
Expenditures on logistics	41,783	71,379	18,625	7,828	-41.5
Expenditures to the Agro-Rydzyna meat processing plant	14,679	14,117	5,776	8,418	4.0
Expenditures on the head office	7,624	7,735	6,411	2,342	-1.4
Investments in progress*	31,944	1,778	8,446	-6,417	1,696
Total capital expenditures	457,008	382,322	277,718	198,517	19.5

* including disposals and liquidations of PPE

All the expenditures were incurred in Poland and financed by the Dino Group from its own funds earned on the operating activity, interest-bearing bank loans, bonds issued and finance leases.

In 2017, capital expenditures were PLN 457.0 million and comprised mainly: (i) expenditures on expansion of Dino store network (purchase price of real estate and costs associated with purchase, including costs of the expansion department, cost of construction and fit-out of the stores and purchase of equipment and fittings) (PLN 361.0 million), (ii) expenditures on logistics (PLN 41.8 million), including expenditures related to the increase of the warehouse space in Jastrowie and Krotoszyn, purchase of refrigerated semi-trailers and purchase of equipment (forklifts) and (iii) expenditures on extension and modernization of Agro-Rydzyna's meat processing plant (PLN 14.7 million), mainly on the purchase of meat processing machinery. The remaining part of capital expenditures of PLN 7.6 million was spent on the purchase of computer hardware and software. Moreover, the value of non-current assets purchased as investments in progress, was PLN 31.9 million as at 31 December 2017.

5.5. Recap of Dino Polska's results

Statement of profit or loss (selected line items)

	For the year ended 31 December			Change
	2017	2016	2015	2017/ 2016
	(PLN thousand)			%
Net revenues on sales and equivalents	4,501,266	3,357,936	2,578,237	34.0
Operating expenses	(4,338,802)	(3,255,699)	(2,509,252)	33.3
Sales profit / (loss)	162,464	102,237	68,985	58.9
Other operating income	2,765	2,080	3,014	32.9
Other operating expenses	(1,924)	(1,980)	(858)	-2.8
Operating profit / (loss)	163,305	102,337	71,141	59.6
Financial income	5,944	232,264	704	-97.4
Financial costs	(43,717)	(38,571)	(31,820)	13.3
Gross profit / (loss)	125,532	296,030	40,025	-57.6
Income tax	(33,028)	(16,582)	(5,598)	99.2
Net profit (loss)	92,504	279,448	34,427	-66.9

In 2017 the Company recorded sales revenues at PLN 4,501.3 million, or 34% higher than in 2016. This increase is attributable to net revenue on sales of goods and materials conducted in the Dino store network, which, in turn, resulted from both a higher number of stores and higher yoy revenues in the existing stores.

Operating expenses increased by 33.3% to PLN 4,338.8 million. This growth was caused mainly by Dino Polska's growing business size in connection with the expansion of the network and rising sales in the existing store network (like-for-like).

The decrease in net profit between 2016 and 2017 results from posting in 2016 the profit on account of a share in the Subsidiary (dividend) equal to PLN 229.2 million, resulting in the increase in the standalone financial income to PLN 232.3 million.

The increase in financial expenses by 13.3% yoy up to PLN 43.7 million was caused by the increasing scale of Dino Polska's business and therefore higher level of interest and fees.

Balance sheet (selected line items)

	As at 31 December			Change
	2017	2016	2015	2017/ 2016
	(PLN thousand)			(%)
Total non-current assets	1,540,524	1,237,533	848,301	24.5
Intangible assets	10,284	10,439	9,832	-1.5
Property, plant and equipment	773,768	456,604	235,488	69.5
Non-current investments	738,809	727,151	522,397	1.6
Non-current prepayments and accruals	17,663	43,339	80,584	-59.2
Total current assets	711,149	484,944	336,913	46.6
Inventories	358,573	270,798	209,431	32.4
Current receivables	62,821	49,827	28,331	26.1
Current investments	257,052	121,914	55,158	110.8
Current prepayments and accruals	32,703	42,405	43,993	-22.9
Total assets	2,251,673	1,722,477	1,185,214	30.7
Equity	658,158	558,154	278,706	17.9
Share capital	9,804	9,804	9,804	0.0
Supplementary capital	548,350	268,902	234,475	103.9
Net profit (loss)	92,504	279,448	34,427	-66.9
Liabilities and provisions for liabilities	1,593,515	1,164,323	906,508	36.9
Provisions for liabilities	18,219	19,323	8,820	-5.7
Non-current liabilities	492,041	377,622	345,461	30.3
Current liabilities	1,064,007	755,462	543,703	40.8
Accruals and deferred revenue	19,248	11,916	8,524	61.5
Total liabilities and equity	2,251,673	1,722,477	1,185,214	30.7

As at 31 December 2017, the Company's assets amounted to PLN 2,251,673 thousand and consisted of the following:

- non-current assets of PLN 1,540,524 thousand,
- current assets of PLN 711,149 thousand.

In 2017, 2016 and 2015, total assets consisted mainly of: non-current investments (which represented 32.8%, 42.2% and 44.1%, respectively, of total assets), property, plant and equipment (34.4%, 26.5% and 19.9%, respectively, of total assets) and inventories (15.9%, 15.7% and 17.7%, respectively, of total assets).

Non-current assets rose by PLN 303.0 million, or 24.5% in 2017. This growth was caused mainly by higher property, plant and equipment (by PLN 317.2 million or 69.5%) which, in turn, was caused primarily by the Dino Polska Group's network rollout (new Dino stores) and capital expenditures.

The largest current asset items are: (i) inventories (which represent 50.4%, 55.8% and 62.2% of current assets as at 31 December 2017, 2016 and 2015, respectively), (ii) short-term investments (36.1%, 25.1% and 16.4% of current assets as at 31 December 2017, 2016 and 2015, respectively).

Current assets rose by PLN 226.2 million, or 46.6%. This increase was caused mainly by the increase in: (i) short-term investments (by PLN 135.1 million, or 110.8%) driven by an increase in cash and other cash assets by PLN 131.4 million, (ii) inventories (by PLN 87.8 million or 32.4%), driven mainly by an increase in the scale of Dino Polska Group's business.

As at 31 December 2017, equity was positive at PLN 658.2 million, including:

- share capital of PLN 9.8 million,
- supplementary capital of PLN 548.4 million.

Other funding sources of the assets, i.e. liabilities and provisions, were as follows as at 31 December 2017:

- provisions for liabilities of PLN 18.2 million,
- non-current liabilities of PLN 492.0 million,
- current liabilities of PLN 1,064.0 million,
- accruals of PLN 19.2 million.

Non-current liabilities rose by PLN 114.4 million, or 30.3%, chiefly due to the bond issue with the nominal value of PLN 100 million, while current liabilities increased by PLN 308.5 million and were 40.8% higher than the year before. The increase in current liabilities was driven mainly by growth in trade payables, which in turn was caused by the expanding scale of business of the Dino store network and rising liabilities to related parties due to an increase in business (deliveries from Agro-Rydzyna) and construction of new stores.

Statement of cash flows

The net cash from operating activities generated by Dino Polska in 2017, 2016 and 2015 was PLN 405.8 million, PLN 264.8 million and PLN 202.4 million, respectively. The increase in net cash from operating activities was driven mainly by the increased scale of Dino Polska Group's business.

In 2017, Dino Polska's cash flow from investing activities was negative at PLN (319.6) million. The negative cash flows were caused mainly by the expenditures on the purchase of property, plant and equipment and intangible assets (PLN 337.5 million).

5.6. Dividend policy

Taking into account the quick organic growth strategy for the Dino Group store network, the Management Board of the Company does not plan to recommend payment of a dividend for 2017 to the Shareholder Meeting. The Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

As at the Date of the Report, the Management Board has not made any decision whether to recommend a dividend payment to the Shareholder Meeting and its possible amount for the future years. Decisions in this respect will be made at appropriate time after the end of each financial year.

However the dividend policy in the future will be revised by the Management Board as necessary depending on the circumstances, and decisions will be made taking into account a variety of factors relating to the Company, including business prospects, future profits, demand for cash, financial standing, indebtedness, expansion plans and legal requirements in this respect.

Historical data on dividend

The Company has not paid the dividend for 2016 and for the earlier years.

5.7. Drivers of the operating and financial result

General drivers of the operating and financial result

Key drivers of the Company's and Dino Polska Group's operating and financial results in 2016-2017 are discussed below. These factors may still impact the business activity, operating and financial results, financial standing, cash flows and growth prospects of the Dino Polska Group and present the trends which, in the Company's opinion, will apply to Poland's grocery retail market over the next few years.

The Dino Polska Group's operating and financial results are impacted primarily by: (i) the business environment in Poland and the trends and customs among consumers, (ii) the pace of opening new stores by the Dino Group and increase of revenue in the existing store network (LFL), (iii) the purchasing power of the Dino Polska Group and (iv) the level of debt and interest rates.

Business environment in Poland and trends and customs among consumers

The Dino Polska Group does business solely in Poland. For this reason, Poland's macroeconomic conditions, driven by the economic environment in the region and the global economy, have significant importance for the activity of the Dino Polska Group. All changes in the macroeconomic conditions, such as GDP growth rate, unemployment rate, wages (including minimum wages), individual consumption, customer trust ratio or interest rates and inflation/deflation rates, impact the overall affluence of the society, consumers' purchasing power and propensity to spend money, thus shaping the customers' habits as regards disposal of income. The above factors also influence the Dino Polska Group's product prices and the value of sales, and thus have significant impact on Dino Polska Group's financial performance.

The Polish economy is the eighth largest economy in the EU. It is believed that Poland's economic growth and the government's pro-social programs, such as the Family 500+ Program introduced in 2016, and the increase in minimum wages by 8.1% in 2017 and 5% in 2018, have brought or will bring in the nearest future more affluence and higher consumption expenditures, which translates among others into a higher demand for Dino Polska Group's products.

Additionally, Dino Polska Group's financial results were driven by the consumers' habits, such as, for example, increased shopping frequency, which resulted in more frequent choice of stores with a convenient location near home. Increased shopping frequency has led to stagnation of sales in

hypermarkets and increase in sales in the segments offering proximity of the stores and quick shopping.

Pace of opening new stores and growth in LFL sales revenues in the existing store network

Dino Polska Group's financial performance is influenced by: (i) pace of opening new stores by the Dino Group and (ii) growth in LFL sales revenues in the existing store network.

Opening new stores

As part of implementation of its growth strategy, the Dino Polska Group quickly expands its operations through growing its store network and increasing sales in the existing store network (LFL). In 2014-2017, the Dino Polska Group increased the total number of stores by 451, from 324 as at 1 January 2014 to 775 as at 31 December 2017. The Company's strategy provides for further expansion of its store network in Poland to exceed 1,200 by the end of 2020.

The following table presents information on the Dino Polska Group's number of stores as at specified dates

	Number of stores as at 31 December				Change	
	2017	2016	2015	2014	2017/ 2016	CAGR 2014-2017
					(%)	
Own stores	663	522	406	317	27.0	27.9
Leased stores	99	94	94	83	5.3	6.1
Franchise stores	13	12	11	10	8.3	9.1
Total number of stores	775	628	511	410	23.4	23.6

The Company's strategy pertaining to opening new stores influenced the Dino Polska Group's performance in particular through (i) quicker increase of sales revenues than cost of sales in connection with purchase and sale of products in newly opened stores and increasing purchasing power of the Dino Polska Group, (ii) increase of capital expenditures associated with the costs of purchasing land and constructing and equipping new stores and (iii) reducing the net debt in relation to EBITDA despite the nominal increase in debt.

Sales in the existing store network (LFL)

Sales revenues in Dino's existing store network (LFL) depend on the sales volume and value, and customer preferences regarding the purchased products.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's existing store network.

%	2017				2016				2017	2016	2015	2014
	Q4	Q3	Q2	Q1	Q4	Q3	Q2	Q1				
Inflation (deflation).....	2.2	1.9	1.8	2.0	0.2	-0.8	-0.9	-0.9	2.0	-0.6	-0.9	0.0
Food price inflation.....	5.6	4.6	3.4	3.4	1.3	0.9	0.8	0.4	4.2	0.8	-1.7	-0.9
Dino's LFL.....	18.8	16.1	16.5	12.6	13.5	10.8	12.0	8.4	16.2	11.3	5.1	4.2

*stores are included in the calculation of the LFL ratio starting from the 13th full month of their existence

** source: Central Statistical Office of Poland (GUS), Dino Polska

In 2014-2017, the Dino Polska Group had increasing revenues in the existing store network (LFL), although the consumer price index in Poland was zero in 2014 and negative in 2015 and 2016. In

2017, the increase in revenues in the existing store network was 16.2% year on year, while inflation amounted to 2% and the food and soft drink price ratio was 4.2%. In 2016, sales in like-for-like terms was 11.3%.

Purchasing power

Together with the increasing scale of business, also the purchasing power of the Dino Polska Group increases. In 2014-2017, the Dino Polska Group sourced most products directly from producers or their main representatives. The large volumes of orders placed with suppliers accrued benefits in the form of economies of scale. They enabled the Dino Polska Group to make purchases on increasingly favorable terms. These factors resulted in 2014-2017 in improvement of the Dino Polska Group's profitability, which translated into increased gross margin and EBITDA margin. The gross margin on sales increased by 1.0 p.p. from 22.0% in 2014 to 23.0% in 2017 and the EBITDA margin increased 1.9 p.p. from 7.0% in 2014 to 8.9% in 2017.

Capital expenditures

Implementation of the Dino Polska Group's strategy of the Dino store network roll-out, its accompanying logistic infrastructure and expansion of production capacity of the Agro-Rydzyna meat processing plant requires significant capital expenditures. The Company plans to incur in total capital expenditures in the range of PLN 650 million in 2018.

Debt and changes in interest rates

In 2014-2017, to finance the store rollout, the Dino Polska Group used external financing, mainly in the form of loans and finance leases. As at 31 December 2017, interest-bearing loans and borrowings, bonds issued and finance lease liabilities of the Dino Polska Group amounted to PLN 688, compared to PLN 563 million as at 31 December 2016. In the past the Dino Polska Group cooperated with numerous financial institutions and entered into a number of loan agreements. In connection with the significant increase in the scale of business of the Dino Polska Group and the stable credit history, the Company will consider consolidation of its debt in the future (in part or in full).

In connection with the existing debt of the Dino Polska Group, volatility of interest rates and other ratios have had and still may have influence on the Dino Polska Group's operations. In 2014-2017, most of the Dino Polska Group's financial debt (including loans, bonds and leases) bore interest based on WIBOR 1M or WIBOR 3M, as a result of which each change of the interest rates caused a change of the Dino Polska Group's financial expenses. In connection with the interest rate cuts in the past few years, increase of the Dino Polska Group's debt did not translate into any major rise in the Dino Polska Group's financial expenses which, in the year ended 31 December 2017 amounted to PLN 37.9 million, compared to PLN 29.6 million in the year ended 31 December 2016.

Special drivers of the operating and financial result

Initial public offering of Dino Polska's shares

2017 saw the execution of the initial public offering of Dino Polska's shares ("IPO"), which started to be prepared in 2016. As a result, the Company incurred additional non-recurring expenses, which should not occur in the years to come. These expenses included: i) costs of preparation and execution of the IPO; ii) costs of consulting and preparation of the prospectus; iii) costs of promotion of the IPO.

In addition, in connection with the IPO, Dino Polska's managers participated in the incentive program and received compensation from the shareholder selling the Shares in the IPO which, according to the regulations in IFRS 2 "Share-based Payments", was recognized as costs of salaries in correspondence with the Company's other equity. The total amount of the above costs shown in the Company's general administration expenses and classified as non-recurring expenses, amounted to PLN 7.5 million in 2016 and PLN 12.272 million (out of which PLN 7.5 million was of a non-pecuniary nature).

5.8. Ratio analysis

The Management Board assesses the Dino Polska Group's performance using key profitability, debt and financial liquidity ratios which do not come from the Consolidated Financial Statements but have been calculated on the basis of the financial information found in the Consolidated Financial Statements. The ratios presented in this section should be treated as measures of the financial results or operating cash flows and treated as alternative to profit. The ratios are not defined in a uniform manner and calculated by other entities and, as a result, may not be comparable to the ratios presented by other entities, including entities conducting activity in the same sector as the Dino Polska Group.

The table below shows the main Alternative Performance Measurements used by the Management Board in the analysis of Dino Polska Group's activity in the specified periods.

	As at or for the period of 12 months ended 31 December			
	2017	2016	2015	2014
Gross margin on sales (%)	23.0	22.9	22.6	22
EBITDA (thousands of PLN)	401,386	288,291	210,231	147,667
EBITDA margin (%)	8.9	8.6	8.1	7
ROIC (%)	33.9	30.3	28.2	25.7
Net debt (thousands of PLN)	485,944	496,123	429,358	380,410
Net debt/EBITDA	1.2	1.7	2	2.6
Current liquidity ratio	0.66	0.56	0.53	0.51
Quick liquidity ratio	0.28	0.17	0.14	0.12
Days receivable	3.1	3.6	3.1	3.3
Days inventory	38.7	38.8	38.6	40.5
Days payable	85.2	80.7	78.1	75
Capex (thousands of PLN)	457,008	382,322	277,718	198,517
OCF / (CAPEX + financial expenses)	1.01	0.79	0.81	0.84

Alternative Performance Measurement and justification for their application.

Name of the Alternative Performance Measurement	Definition	Justification for application of the given Alternative Performance Measurement
Gross margin on sales (%)	The Dino Polska Group defines and calculates the gross margin on sales as gross profit on sales/sales revenue.	The gross margin on sales defines the amount of profit earned on sales, after deducting the costs of sold products, services, goods and materials. It makes it possible to calculate the Dino Polska Group's gross margin on sales and, consequently, measures the ability to generate profit on the Dino Polska Group's core business.
EBITDA (thousands of PLN)	The Dino Polska Group defines EBITDA as operating profit plus depreciation and amortization and adjusted by non-recurring events described in the section "Special drivers of the operating and financial result – Initial public offering of Dino Polska's shares".	EBITDA is also a measure of the Dino Polska Group' operating results not taking into account the impact of non-recurring events and depreciation and amortization of fixed assets and intangible assets, which makes it possible to compare the results, regardless of the changes in the level of fixed assets held, that may impact other performance measures through depreciation and amortization.
EBITDA margin (%)	The Dino Polska Group defines and calculates the EBITDA margin as EBITDA/ sales revenue.	The EBITDA margin is a measure of the Dino Polska Group's ability to generate cash on core business (operational efficiency).
ROIC (%)	The Dino Polska Group defines and calculates ROIC as EBITDA / (average value of property, plant and equipment ¹ for the given period + average net working capital ² for the period).	ROIC shows how effectively the Dino Polska Group uses the invested money to generate profits, i.e. the effectiveness (profitability) of the capital invested in the Dino Polska Group.
Net debt (thousands of PLN)	The Dino Polska Group defines and calculates net debt as interest-bearing loans and borrowings and liabilities under financial lease agreements + current part of interest-bearing loans and borrowings and finance lease liabilities minus cash and cash equivalents.	The net debt ratio is a measure of the Dino Polska Group's debt minus cash and cash equivalents.

Name of the Alternative Performance Measurement	Definition	Justification for application of the given Alternative Performance Measurement
Net debt/EBITDA	The Dino Polska Group defines and calculates the net debt/EBITDA ratio as net debt as at the end of the period / EBITDA.	The net debt/EBITDA ratio shows the Dino Polska Group's ability to repay its interest-bearing debt with cash generated on the operating level.
Current liquidity ratio	The Dino Polska Group defines and calculates the current liquidity ratio as current assets at the end of the period / current liabilities at the end of the period.	The current liquidity ratio shows Dino Polska Group's potential ability to repay current liabilities using current assets.
Quick liquidity ratio	The Dino Polska Group defines and calculates the quick liquidity ratio as (current assets at the end of the period – inventories at the end of the period) / current liabilities at the end of the period.	The quick liquidity ratio defines the Dino Polska Group's potential ability to repay its current liabilities with highly liquid assets.
Days receivable	The Dino Polska Group defines and calculates the days receivable ratio as receivables in days (365 x trade and other receivables/sales revenues).	The days receivable ratio makes it possible to analyze the payment of the receivables by the Dino Polska Group's buyers.
Days inventory	The Dino Polska Group defines and calculates the days inventory ratio as inventories in days (365 x inventories/cost of sales).	The days inventory ratio makes it possible to analyze the renewability of the Dino Polska Group's inventories for realized sales.
Days payable	The Dino Polska Group defines and calculates the days payable ratio as payables in days (365 x trade and other payables/cost of sales).	The days payable ratio makes it possible to analyze the period required for the Dino Group to repay its current trade payables.
Capex (thousands of PLN)	The Dino Polska Group defines and calculates the Capex ratio as the sum of purchases of property, plant and equipment (Note 14. Property, plant and equipment of the Consolidated Financial Statements) and purchases of intangible assets (Note 16. Intangible assets of the Consolidated Financial Statements).	The ratio constitutes the basic measure of the Dino Polska Group's expenditures on purchase of property, plant and equipment and intangible assets, mainly for expansion of the store network, and thus makes it possible to determine the scale of development of the Dino Polska Group's operations.
OCF / (CAPEX + financial expenses)	The Dino Polska Group defines and calculates the OCF / (Capex + financial expenses) ratio as net cash from operating activity / sum of Capex and financial expenses.	The ratio makes it possible to analyze the expenditures on purchase of property, plant and equipment, intangible assets and financial expenses by cash flow from operating activities.

Name of the Alternative
Performance Measurement

Definition

Justification for application of the
given Alternative Performance
Measurement

¹ At the beginning of 2018, the Company's Management Board decided to discontinue the publication of the following ratios: i) "Transport costs as a percentage of sales revenues (%)" . The Company continues the strategy where one of the assumptions is an increase in operational and financial efficiency of the Dino Group's transportation infrastructure. One of the key initiatives in this respect include the reduction of logistic routes (between distribution centers and stores) among others by building new distribution centers. The above ratio does show the relative level of transport costs, however, since it is heavily influenced by the costs of fuel, which fluctuate significantly, it does not fully reflect the actual efficiency of the transport area in the Dino Group. ii) "Marketing expenses as a percentage of sales revenues (%)" – the Company does not plan to change its marketing policy, which is based on the main premise that a Dino store is in itself a marketing tool. This eliminates the need to incur significant expenditures for costly campaigns in the mass media. This ratio is maintained at a very low level (less than 0.2% of revenue) and should not increase in the foreseeable future.

² The Dino Polska Group defines and calculates the average value of property, plant and equipment as the value of property, plant and equipment at the beginning of the period + value of the property, plant and equipment at the end of the period)/2.

³ The Dino Polska Group defines and calculates the average value of net working capital as the average inventories for the reporting period + average trade and other receivables for the reporting period – average trade and other payables for the reporting period. The averages for individual items were calculated as (value at the beginning of the period + value at the end of the period)/2.

5.9. Financial risk management

The main financial instruments used by Dino Polska and the Dino Polska Group include bank loans, bonds, finance lease and hire-purchase agreements, cash and short-term deposits. In addition, in 2017, Dino Polska established a bond issue program up to PLN 500 million under which, in October 2017, bonds with the nominal value of PLN 100 million were issued. The main objective of these instruments is to raise funding for Dino Polska Group's activities.

According to the policy applied by the Dino Group in 2017, the Dino Polska Group currently does not trade in financial instruments. The Company does not hold and does not issue any financial derivatives held for trading.

The main types of risk arising from the Dino Polska Group's financial instruments include interest rate risk, liquidity risk, FX risk and credit risk. The Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

Interest rate risk

The Dino Polska Group's exposure to the risk arising from changes in interest rates refers primarily to non-current financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments.

Interest rate risk - sensitivity to changes

The table below presents sensitivity of the profit (loss) before tax to the reasonably possible changes in interest rates, assuming that the other factors do not change (in connection with floating interest rate liabilities). The impact on Dino Polska Group's equity or total comprehensive income is not presented.

	Increase/decrease percentage points	byImpact on profit or loss before tax (PLN thousand) (audited)
Year ended 31 December 2017		
PLN	+1	(6,892)
PLN	-1	6,892
Year ended 31 December 2016		
PLN	+1	(5,299)
PLN	-1	5,299
Year ended 31 December 2015		
PLN	+1	(5,078)
PLN	-1	5,078
Year ended 31 December 2014		
PLN	+1	(4,475)
PLN	-1	4,475

Source: Consolidated Financial Statements.

Credit risk

Transactions effected by the Dino Group are settled mainly in cash. Credit risk pertains to the only franchisee, with whom the Group has been cooperating for many years, and supplier distribution support transactions. Since distribution support services pertain to entities who are at the same time the Dino Polska Group's suppliers and buyers, the credit risk is insignificant.

Liquidity risk

The Dino Polska Group monitors its financial liquidity using a periodic liquidity monitoring tool. A schedule of funds, together with maturity dates (cash, receivables, other financial assets) and regular repayment of liabilities, makes it possible to forecast cash flows.

To maintain continuity of payments the Dino Polska Group flexibly uses different sources of financing, such as bank loans, including long-term financing and overdraft facilities, bonds and finance leases.

5.10. Significant agreements, loans, borrowings, guarantees and sureties

Significant agreements

Significant agreements are defined as agreements whose value exceeds 10% of the Company's equity. The significant agreements entered into by Dino Polska and the Dino Group in 2017 were only financial agreements. To the Company's best knowledge, there are no agreements that are significant for the issuer's operations concluded between the Company's shareholders.

In 2017, the Company entered into two loan agreements with BGŻ BNP Paribas S.A. for the total amount of PLN 95 million. One of the agreement pertains to a current account overdraft facility and its value is PLN 15 million. It bears interest at a variable interest rate WIBOR 1M + margin. The maturity date is 19 March 2019. The other agreement is a non-revolving facility agreement for PLN 80 million with the maturity date of 19 March 2027, bearing interest at a variable interest rate WIBOR 1M + margin.

Agreement with Krot-Invest

The most significant transactions concluded by the Dino Group, both in terms of value and significance for the Dino Polska Group's operations and its further organic growth, include the construction contracts for the construction of new stores operating under the Dino brand entered into with Krot Invest and Krot Invest KR Inżynieria sp. z o.o. S.K.A. The construction contracts are entered into in accordance with the standard model and comprise, among others, a contractual penalty for both parties for withdrawal, in full or in part, from performance of the agreement in the amount of 10% of the contract value.

On 27 February 2017, the Company's Supervisory Board approved a new model of the framework construction contract and gave consent to the Company and other Group Companies to enter into construction contracts in accordance with the new model. The new contract has been prepared, in principle, on the basis of the previous contract and comprises similar provisions. The new contract was entered into for a definite term till 30 June 2020. The contract also defines the rate per square meter of development space and does not have an indexation mechanism. The rate per square meter of development space remained unchanged in relation to the rate from the previous contract. On 3 March 2017, Dino entered into a contract with Krot-Invest based on the new model.

Loans and borrowings

Except for the aforementioned agreements with BGŻ BNP Paribas S.A., neither Dino Polska nor its Subsidiaries entered into any other loan agreements in 2017.

In 2017, the Company terminated the agreement with Alior Bank S.A. for a PLN 50 million investment loan, with a maturity date of 20 October 2021, bearing interest at a variable interest rate WIBOR 1M + margin.

Information about the other loan agreements entered into before 2017 is presented in Note 23 to the Consolidated Financial Statements.

In 2017, Dino Polska entered into 24 agreements with Subsidiaries under which it granted loans to them for the total amount of PLN 12.4 million. The loans were aimed to finance the Subsidiaries' strategic operations, in particular purchase of land for construction of Dino stores. All agreements were entered into for 12 months (all agreements mature in 2018). All the agreements bear interest at a fixed interest rate of 4%.

Sureties, guarantees and off-balance sheet agreements

In 2017 Dino Polska did not grant any sureties.

In 2017 Dino Polska received the following sureties from its Subsidiaries:

- 1) A civil law surety up to PLN 120 million from CWN, CWN1, CWN2, CWN3, CWN4, CWN5, CWN6, collateralizing the loan agreement with BGŻ BNP Paribas for PLN 80 million for 120 months of the date of the agreement.
- 2) Promissory note surety from CWN1, CWN2, CWN3, CWN4, CWN5, CWN6, Agro-Rydzyna, Dino Krotoszyn, collateralizing the loan agreement with ING Bank Śląski S.A. for PLN 50 million, signed on 15 April 2016, for two borrowers: Dino Polska and CWN.
- 3) Surety for a maximum amount of PLN 150 million from: CWN, CWN1, CWN2, CWN3, CWN4, CWN5, CWN6, Dino Krotoszyn, Agro-Rydzyna collateralizing 100,000 bonds issued by Dino

Polska in 2017 with the nominal value of PLN 1,000 each and total nominal value of PLN 100 million. The bond redemption date was set for 13 October 2020.

Dino Polska did not receive any guarantees in 2017. On 9 March 2017, Dino Polska granted a performance bond for PLN 10 thousand for Totalizator Sportowy Sp. z o. o. The bond is valid till 16 April 2018.

As at 31 December 2017, the Group undertook to incur expenditures under concluded preliminary agreements for the purchase of land in the amount of PLN 174.1 million (as at 31 December 2016: PLN 103.1 million).

5.11. Transactions with related parties

Neither the Company nor its subsidiaries entered into transactions with related parties that deviated from arm's length basis. Detailed information about transactions with related parties is presented in Note 40 to the Company's Consolidated Financial Statements for the year ended 31 December 2017, and in Note 29 to the Consolidated Financial Statements for the year ended 31 December 2017 prepared in accordance with the International Financial Reporting Standards approved for application in the EU.

5.12. Legal proceedings

As at 31 December 2017 and 31 December 2016, Dino Polska and certain Subsidiaries were parties to several legal actions which, in the Company's opinion, did not cause any major claims to be paid or to be received by the Group. According to the Company's best knowledge, as at 31 December 2017 and the Report Date, there were no pending proceedings pertaining to liabilities and/or receivables of the Company or its subsidiaries whose value would exceed 10% of the Company's equity.

5.13. Auditor

Pursuant to § 20 Sec. 1 Item 6 of Dino Polska's Articles of Association, selection of the statutory auditor to audit the financial statements of Dino and the Dino Group is within the powers of the Dino Polska S.A. Supervisory Board. The Supervisory Board selects the statutory auditor on the basis of the opinion and recommendation of the Audit Committee.

On 26 November 2014, the Company entered into an agreement with Ernst & Young Audyt Polska spółka z ograniczoną odpowiedzialnością sp. k. pertaining to, among others, an audit of the standalone financial statements for 2014-2016 prepared on the basis of the Accounting Act and an audit of the consolidated financial statements for the same period prepared on the basis of the International Financial Reporting Standards.

On 20 June 2017, the Company entered into an agreement with Ernst & Young Audyt Polska sp. z o.o. sp. k., with its registered office in Warsaw, Rondo ONZ 1, entered in the list of entities authorized to audit financial statements kept by the National Chamber of Statutory Auditors under file number 130, to review the interim H1 financial statements of Dino Polska and interim H1 consolidated financial statements of the Dino Polska Group, and to audit the standalone financial statements of Dino Polska and consolidated financial statements of the Dino Polska Group for 2017.

The table below presents the fees charged by the entity authorized to audit the financial statements paid or due for the years ended 31 December 2017 and 2016, by type of service.

<i>Type of services</i>	<i>Year ended 31 December 2017</i>	<i>Year ended 31 December 2016</i>
Mandatory audit of the standalone and consolidated financial statements	154	115
Other attestation services*	414	414
Other services**	177	157
Tax consulting services	0	0
Total	745	686

** pertains to the attestation services associated with preparation of the initial public offering of the Company's Shares and review of the interim financial statements*

*** pertains to audit of the financial statements of the subsidiaries*

5.14. Other information

Due to the profile of the conducted activities, the Dino Polska Group has not adopted a research and development strategy and does not fund research and development activities.

The Company does not publish financial forecasts.

6. RISKS AND THREATS

Some of the risks are described in the section “Non-financial report of Dino Polska and the Dino Polska Group – Risks”.

Risk associated with macroeconomic conditions

Changes to the general economic situation, which are beyond Dino Polska Group’s control, may result in a decline of the consumer demand, which may have adverse impact on the Dino Polska Group’s activities

The Dino Polska Group conducts activity in the grocery retail market in Poland, which depends on the demand generated by consumers. The demand generated by consumers is the derivative of a number of factors being beyond Dino Polska Group’s control, in particular the macroeconomic situation and political conditions. Change of the economic factors in the market in Poland, in the EU or globally, including changes in the GDP growth rates, total inflation, deflation of food prices, increase of the unemployment rate, decline of salaries or decrease of expenditures on consumption and investments, may have an adverse impact on the Dino Group or the sector in which the Dino Polska Group operates, including the sales revenues generated by the Dino Group or its costs. In addition, the economic situation in Poland or in other markets may be less favorable in the future, compared to previous years.

Deterioration of the general economic situation in Poland and Europe as a result of the aforementioned economic factors or for political reasons or downgrading of Poland’s rating, which have occurred in the past, may have an adverse impact on the activities of the Dino Polska Group, its financial standing, results or prospects and the Share price. The above factors may result in, among others, decline of demand for the Dino Polska Group’s products, limited access to external financing, difficulties on the part of suppliers, customers and other entities with which the Dino Polska Group cooperates, which, in turn, may translate into difficulties or inability to perform their obligations towards the Dino Polska Group and thus have negative impact on the activities of the Dino Polska Group, its financial standing, results or prospects and the Share price.

Risks associated with continuation of the organic store rollout

Historical operating and financial results are no indication of future operating and financial results of the Dino Polska Group

The Dino Polska Group may not guarantee that it will be able to continue fast organic store rollout and that it will manage to maintain the increase in sales volumes and the operating result, which may have an adverse impact on the activities, financial standing and results of the Dino Polska Group and the Share price. Consequently, historical operating and financial results of the Dino Polska Group may not be treated as an indication of its future operating and financial results.

The Dino Polska Group may not be able to implement its store rollout strategy

Dino Polska Group’s strategy provides for, among others, further growth through continuation of fast organic growth of the store network and the accompanying logistic infrastructure. Successful implementation of the Dino Polska Group’s development strategy depends, among others, on the economic conditions, access to external financing, absence of unfavorable changes in the regulatory

environment, finding and acquisition (or to a lesser, supplementary extent, lease or rental) of real estate on acceptable commercial terms which satisfy the requirements set by the Dino Group, efficient construction and launch of new stores, employment, training and retention of store personnel, and integration of the new stores with the supply chain operating in the Dino Polska Group in a manner ensuring high profitability.

In 2016-2017, the Dino Polska Group was able to finance its capital needs primarily from operating cash flows, bank loans, bonds and finance leases. If the operating cash flows drop below the assumed levels or new financing is not available to the Dino Polska Group (for reasons attributable to the Dino Polska Group or the debt market in general), the Dino Polska Group may not be able to implement its development plans, which may have an adverse impact on the activities, financial standing and results of the Dino Polska Group or prospects and the Share price. Slowdown of the Dino Polska Group's expansion may also impact the ability to continue to improve the negotiated terms with suppliers and increase the profit margin which the Dino Polska Group currently benefits from thanks to the fast growth rate.

Even if the Dino Polska Group manages to open new stores in line with the adopted strategy, the newly opened stores may not break even within the originally assumed timelines or at all, or the increase in sales revenues or sales revenue in the existing store network (LFL) may turn out lower than assumed by the Management Board, and the Dino Polska Group may be exposed to incurring additional, unexpected costs associated with opening new stores. In addition, the analysis carried out by the Dino Group before opening a given store may turn out incorrect among others due to lower than expected customer traffic in the vicinity of the store or unexpected circumstances. Additionally, if the Dino Polska Group opens new stores in areas where it already conducts activities, it is possible that the revenues generated by the stores opened in the area earlier will drop.

Occurrence of the aforementioned circumstances may have a negative impact on the activities, financial standing and results of the Dino Polska Group or prospects and the Share price.

Possible delays in construction of new stores or increase in store construction costs

Over the past three years the Dino Polska Group opened on average 120 new stores per annum. Approx. 86% of all Dino Polska Group stores (as at 31 December 2017) have been built by the Dino Group from scratch on its own land. To build a new store on a property owned by the Dino Group, the Dino Polska Group is obligated to obtain the consents from different administrative bodies. It cannot be ruled out that in the future the time needed to obtain the administrative permits may be extended. If the Dino Polska Group is not able to finalize the administrative proceedings as efficiently as in the past, in particular in the case of protests of the local communities or owners of the properties neighboring with the properties owned by the Dino Polska Group, it is possible that there will be delays which affect the whole new store launch process in the future. Obtaining the permits is associated with the requirement to furnish administrative bodies with a large number of documents, which, if it is not possible for the Dino Group to collect them at the required time, may result in extending the duration of the proceedings. In addition, the decisions issued by administrative bodies may be sued, which may additionally delay the investment process, as it has happened in the past. As a result of the above, the planned opening of a new store may be delayed or cancelled.

In addition, as the Dino Polska Group continues to expand its network through opening new stores, the Dino Polska Group together with the general contractors of its stores, will be obligated to simultaneously monitor a large number of construction sites, which, in turn, may impact the effectiveness of construction quality control.

Also the average construction cost of a new store may increase, e.g. in the event of increase of the prices of construction materials used to construct the stores or change of applicable construction standards.

More frequent than assumed occurrence of such circumstances may have an adverse impact on the Dino Polska Group's ability to implement its strategy and may have an adverse impact on the activities of the Dino Polska Group, its financial standing, results or prospects and the Share price.

The dynamic growth of the number of stores may require significant commitment of financial and operating resources of the Dino Polska Group and managers thus limiting the ability to further develop the operating activities of the Dino Polska Group

Fast growth of the scale of business may, among others, increase the complexity of the processes associated with managing such activities, result in the necessity to increase the headcount, expand and adapt the distribution system, require improvement of the IT systems, and as a consequence result in significant increase of the burden of the Dino Group managers.

Consequently, in the event of further development of the Dino Polska Group, ensuring its operating efficiency may require, among others, constant development of the financial, operating and management systems, intensification of marketing activities and employment and training of new personnel (including executive staff). It will be necessary to maintain further close cooperation between the logistic, technical, accounting, financial, marketing and sales personnel. The Dino Group's failure to attain any of the aforementioned objectives may have an adverse impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

As a result of development of its activity, Dino Polska Group may face operational challenges regarding recruitment, training and retention of appropriate personnel, effective analysis of the results achieved by employees, logistics and IT infrastructure, as well as financial and internal control procedures in relation to the increased scale of business. If, in light of the aforementioned factors, the Dino Polska Group does not manage to continue to effectively manage the growing enterprise in a manner ensuring its profitability, the Dino Polska Group's planned growth may end in a failure or may have negative impact on the Dino Polska Group's existing position, which may have an adverse impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

The market on which the Dino Polska Group conducts operations is characterized by high competition, and the pressure from the competitors may have an adverse impact on the margins or growth prospects

The market on which the Dino Polska Group conducts operations is characterized by high competition due to the presence and constant growth of big organized retail chains, including supermarkets, discount stores and convenience stores. Changing consumer preferences towards shopping in stores located near the place of residence and increasing consumer demand spur many players to develop a network of smaller grocery stores located near the consumers' place of residence, which increases the competition in the market segment where the Dino Polska Group operates.

The Dino Polska Group competes in particular with discount chains, convenience stores and proximity supermarkets operated by both local and international grocery retailers having an extensive store network in Poland and frequently having a much bigger scale of business than the scale of the Dino Polska Group's operations. There is no certainty that the Dino Polska Group will be able to effectively compete with its existing or future competitors.

Players conducting competitive activity may have higher purchasing power and financial, distribution, technical, personal or marketing resources, giving them competitive advantage over the Dino Polska Group. Retail chains compete mainly in terms of location, prices and quality of the products and services and diversity of the product assortment. Dino Polska Group's ability to compete with other players depends partly on the continuing attractiveness of the store format and development of new stores in attractive locations, which is the area where the Dino Polska Group faces increasing competition.

Players conducting competitive activity develop their business, inter alia, based on the franchise model, which supports store rollout with significantly lower capital expenditures than the development model adopted by the Dino Polska Group and allows them to incorporate into the network existing stores that have their own customer base. One cannot rule out that in the future development of the franchise chains will significantly increase the competitiveness of the existing stores in the locations in which the Dino Polska Group will want to grow, which will limit the ability to grow and may have an adverse impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

The competitive pressures resulting from the aforementioned or other factors, including the competitors' possible decision to change the format of their stores to a format similar to the one used by the Dino Group, may lead to weakening the Dino Polska Group's growth rate, stagnation or reduction of the Dino Polska Group's market share and reduction of its profitability, which may have an adverse impact on the activities, financial standing and results of the Dino Polska Group and the share price.

The retail grocery market in Poland is fragmented, and a large number of retail sellers have a relatively small market share. Mergers and acquisitions in this market lead to consolidation of the sector. In the case of consolidation of the Dino Polska Group's competitors which will allow them to leverage the economies of scale in their operations, there may be a stagnation or loss of the Dino Polska Group's shares in the market (in absolute or relative terms) in favor of entities participating in such consolidation. Increased competition from bigger competitors who have stronger bargaining power with suppliers and higher financial resources may also lead to decrease and stagnation of the Dino Polska Group's growth rate or decrease of its profitability, which may have an adverse impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

Risks associated with cooperation with related parties

In construction of most new stores the Dino Polska Group cooperates with contractors controlled by the Company's majority shareholder ("Contractors").

Contractors have been responsible for building most of the newly opened stores in 2016-2017 operated by the Dino Group and thus have significant know-how and expertise regarding execution of construction projects in accordance with the specification prepared by the Dino Group.

If the Contractors fail to meet the quality standards prevailing in the Dino Polska Group or fail to perform the commissioned work on time, the Management Board's readiness to take any legal steps against the Contractors may be limited.

Dino Polska Group's cooperation with the Contractors, as general contractors in construction of new stores, entails the risk that if the Contractors for any reason are not able to perform the construction services to the Dino Polska Group at all or only to a limited extent or their services provided to the Dino Polska Group are not of the same quality in the future, or the Contractors demand termination of the contracts or change the commercial terms of their services to the Dino Polska Group's disadvantage, the Dino Polska Group may be forced to employ a different contractor or contractors or accept the new unfavorable commercial terms of the contracts with the Contractors, which may have an adverse impact on the activities, financial standing and results or prospects of the Dino Polska Group and the Share price.

If the aforementioned circumstances occur, there may a shortage of qualified contractors, other than the Contractors, who would be able to build new stores within the specified timelines originally agreed by the Dino Group and in accordance with its expectations, which could have material adverse impact on the new store construction and opening schedule assumed by the Company or significantly increase the cost of their construction. A new contractor may not satisfy the Dino Polska Group's requirements regarding quality standards, in particular if the new contractor does not have experience in construction of stores for the Dino Polska Group in accordance with the specification developed by the Dino Group.

As a result of occurrence of the aforementioned factors the Dino Polska Group may not attain the intended objectives, which may have a negative impact on the activities, financial standing and results of the Dino Polska Group or prospects and the Share price.

Disposal of the Company's shares or loss of his support for the Company in the future may have an adverse impact on the activities, financial standing and results of the Dino Polska Group

The Main Shareholder, as the founder of the Company, has extensive professional experience and know-how associated with the Dino Group and the industry in which the Dino Polska Group operates and, being the Supervisory Board chairman, he shares his experience with the Management Board.

In addition, some of the loan agreements to which certain Dino Polska Group Companies are parties, comprise change of control provisions which enter into force when the Main Shareholder's shareholding in the Company drops below a specified level.

If the Main Shareholder ceases, for any reason (including fortuitous), to support the Dino Group, its related parties cease to provide services to the Dino Polska Group or when the Main Shareholder decides to sell all or some of his shares in the Company, these factors may have a negative impact on the activities, financial standing and results of the Dino Polska Group and the share price.

Risks factors related to the activity of the Group

The Dino Polska Group's IT systems playing a key role in the activities conducted by the Company may fail, may turn out insufficiently secure or insufficient to satisfy the needs of the Dino Polska Group

The Dino Polska Group manages its stores, including the sales process, inventories, logistic operations, and financial instruments and accounting instruments through different solutions

provided by the information technology. These activities depend on the efficient and uninterrupted operation of the IT systems supporting their execution. As a consequence, the Dino Polska Group may carry out analyses and manage the orders for all Dino Polska Group stores, optimizing them and limiting potential losses and lost revenues – in the event of exhaustion of the inventories or failure to supply the commodities to the stores on time. The aforementioned systems also make it possible to track on an ongoing basis the profitability of each store and enable the Dino Polska Group to quickly respond in all emergency situations. In addition, the IT systems support the distribution of products to each store in accordance with the guidelines and plans prepared by the Company's head office.

Considering the above circumstances, the activity of the Dino Polska Group and its development depends on efficient and uninterrupted operation of the IT systems. Hence it is key to ensure a correct maintenance process for the existing IT systems, their security, including the data constituting trade secret or personal data, and deploy optimum solutions at the right time which will ensure stable and uninterrupted operation of these systems. The Company may not guarantee that in the future it will be able to ensure efficient operation of the IT systems, including through their improvement, which may threaten the Dino Polska Group's ability to manage the store network roll-out, including provision of inventories management services or product supply services for the stores, which may result in disruptions in their ongoing activities.

The Dino Polska Group's operating systems may be susceptible to damages and disruptions as a result of actions associated with cybercrime, human error, natural disasters, power cuts, computer viruses, refusal to provide services, breach of security principles, limitation of access to the internet or similar events. In addition, third parties or employees may try to obtain access to the Dino Polska Group's systems to its detriment and the Dino Polska Group may not have the possibility to protect its systems against all attacks. If such attacks occur, the problems that the Dino Polska Group will have to face include theft or destruction of data, in particular commercial, financial and product information, which may be harmful to the Dino Polska Group in commercial terms and may result in loss of reputation.

System failures and the related delays may also cause unexpected sales disruptions, loss of inventories, reduced level of services and, as a consequence, affect customer satisfaction and harm Dino Polska Group's reputation.

The aforementioned circumstances may have material a negative impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

The Dino Polska Group may lose the legal title to the leased properties in which it operates some of the stores and one distribution center, or may not renew the lease agreements on commercially viable terms

As at 31 December 2017, 663 Dino stores were owned by the Dino Polska Group and 99 stores were leased. Additionally, the Dino Polska Group operates, under a lease agreement, one of the three distribution centers used in the course of its activities, located in Piotrków Trybunalski and as at 31 December 2017 it supplied 244 stores operated by the Dino Group. The lease agreements were executed for a definite and indefinite term. Agreements executed for an indefinite term on average provide for a 3-months' termination notice period. Store lease agreements are concluded customarily for 10 years, mostly with an option to renew the lease for the next 10 years.

As a result, the Dino Polska Group's legal title to use some of the material real properties is not permanent and may expire as result of elapse of the term for which the agreement was executed or its termination. The Dino Polska Group may not guarantee that after elapse of the term of the agreements it will be able to renew such agreements or find other convenient locations for its stores or distribution centers. If the Dino Polska Group does not manage to renew the lease agreements on commercially viable terms or at all, or lease other attractive locations on commercially viable terms or if the existing leases are terminated for any reason or their terms are changed to the disadvantage of the Dino Polska Group, such circumstances may have an adverse impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

Additionally, in the case of disposal of the real estate that the Dino Polska Group uses under lease agreements to a third party other than a Company from the Dino Polska Group, the purchaser may be entitled to terminate the agreement with statutory termination notice periods, even if the agreement has been concluded for a definite term. Loss of the legal title to use any of the material real properties, especially the distribution center in Piotrków Trybunalski, may have a material negative impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

Change of the terms of purchase of the goods offered by the Dino Group may have a material adverse impact on the activity of the Dino Polska Group

The prices of the goods purchased by the Dino Group and then offered to clients, in particular fresh products, are subject to regular changes and are the biggest part of the Dino Polska Group's cost of sales. The prices of the goods may increase significantly as a result of local or global events beyond the control of the Dino Polska Group, including unfavorable weather conditions (including poor crops or animal diseases), demand and supply growth rate, disruptions in trade or other factors.

Although the Dino Polska Group has a diversified supplier base, one cannot rule out that some suppliers, as a result of higher production costs or to increase their profits, will decide to increase the prices of the goods sold to the Dino Polska Group. The Dino Polska Group, in turn, may try to pass these higher purchase prices in full or in part on to its customers to maintain the margin of its gross profit on sales. However, increase of the retail prices by the Dino Group to cover the increase of the costs may turn out impossible, especially if, due to economic conditions, the Dino Polska Group's customers are not able or do not want to incur the cost of such increases or if the Dino Polska Group's main competitors decide not to introduce such price increases or decide to reduce their prices. As the competition in the Polish grocery retail market grows, unilateral price increases or failure to keep up or slow reaction to price reductions as compared to competitors may lead to decline of sales, reduction of customer traffic, loss of market share or other unfavorable effects. As a result, the Dino Polska Group may be significantly limited as regards its pricing policy by the actions taken by its competitors, and thus an increase of the prices by suppliers or their reduction by the competitors may have a material adverse impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

The Dino Polska Group sources most goods directly from producers or their main representatives. The large and constantly growing volumes of orders placed with suppliers accrue benefits in the form of economies of scale. They enable the Dino Polska Group to make purchases on favorable terms that may should improve steadily as the Dino Polska Group's sales network expands.

The loss of good relations with numerous suppliers of the Dino Polska Group, termination of the supply agreements by the suppliers of the Dino Polska Group or change of the commercial terms on which the goods are supplied to the Dino Polska Group to less favorable ones could reduce the competitiveness of the Dino Polska Group in terms of the prices offered and the product assortment and have an adverse impact on the profitability of the Dino Polska Group, which may have a negative impact on the activities, financial standing and results of the Dino Polska Group and the Share price.

Distribution of the products to the Dino Polska Group's stores may be disrupted

The products offered in the stores operated by the Dino Group are currently supplied by three distribution centers in: Krotoszyn, Piotrków Trybunalski and Jastrowie. Fresh groceries, including meat products (coming from the meat processing plant run by Agro-Rydzyna), are supplied to shops daily (except for Sundays), and the revenues from fresh groceries accounted for 37% of the Dino Polska Group's sales revenues in 2017. Dry groceries and beverages and non-grocery products are delivered on average two or three times a week, depending on the turnover of the store.

Any interruptions in the activity of the distribution centers may result in disruption of the operation of the Dino Polska Group's supply chain or may cause significant losses. In the event of disruption of one or more distribution centers as a result of events being largely beyond the control of the Dino Polska Group, in particular due to weather conditions, occurrence of events of chance, such as natural disasters, strikes or acts of terror or other acts of god, e.g. fire, as well as lack of deliveries or delays in supply of electricity or raw materials, which may be caused among others by occurrence of events of chance, a significant disruption of the functioning of the Dino Polska Group's supply chain is possible, in particular lack of deliveries of fresh products, and incurring significant losses.

Potential technical failures or software errors in any distribution center may negatively affect the Dino Polska Group's profitability and directly affect its financial results. There is a risk that the Dino Polska Group will be not able to resume or restart its operations due to the aforementioned circumstances sufficiently quick, and its insurance cover may be insufficient to cover the losses in assets or revenues incurred. Thus, the Dino Polska Group's core business is directly exposed to the operational risk resulting from the need for the Dino Polska Group's distribution centers to ensure continuity of deliveries, a steady stream of goods and highly efficient management of crisis situations resulting from technical and software failures. In addition, there is no certainty that the security systems in place in the Dino Polska Group and prevailing prevention measures comprising all organizational and technological levels, including occupational safety and health and protection against failure, will completely eliminate the risk of failure and ensure continuity of the distribution processes.

All of the aforementioned events resulting in short- or long-term breaks in the activities of the Dino Polska Group due to the necessity to carry out repairs or rectify their effects, such as technical failures or software failures in any of the Dino Polska Group's distribution centers, may have a negative impact on the activities, financial standing, results or prospects of the Dino Polska Group and the Share price.

Transactions with related parties executed by the Company and other Dino Polska Group companies between themselves and with the Company's shareholders or their related parties may be subject to inspection by tax authorities

The Company and other Dino Polska Group Companies enter into transactions with related parties in the Dino Polska Group. The transactions with related parties concluded by and between: (i) the Company and other Dino Polska Group Companies pertain primarily to purchase of products, logistic services, store space lease agreements and license fees; (ii) transactions concluded between the Dino Polska Group Companies, including the Company, with the Main Shareholder or any of its related party, pertain mainly to construction of a significant majority of the Dino Polska Group's stores.

Due to the specific nature of related party transactions, the complexity and ambiguity of the legal provisions applicable to the methods used to assess the prices used and the difficulty in identifying comparable transactions to be used as reference, there can be no assurance that the Company or other Dino Polska Group companies will not be inspected or subjected to other supervisory activities undertaken by tax authorities or tax inspection authorities. If the methods for defining the market terms for these transactions are challenged then this may have a material adverse effect on the activities, financial standing and results of the Dino Polska Group and on the share price.

Dino Polska Group may not be able to efficiently manage its inventories

The Dino Group conducts retail sales and accordingly it must secure frequent deliveries of products to its chain of stores. Accordingly, the Dino Polska Group is required to maintain a certain level of inventories at its distribution centers in order to effectively secure the supply of products to the entire store network without significant delays.

The Dino Polska Group maintains inventories for the purposes of deliveries to its stores based on the experience of its relevant supply teams that have a broad range of IT solutions at their disposal. However, the Dino Polska Group cannot rule out a possibility that, a result of an incorrect assessment by a supply team, a failure of the IT system, a sudden change in consumer preferences or other factors beyond control of the Dino Polska Group, the level of deliveries will be insufficient or excessive and the Dino Polska Group will not be able to sell its surplus stocks.

Consequently, the Dino Polska Group may not be able to secure sufficient quantities of the products that are offered in its stores or, in case of surplus inventories, to sell its products, which may adversely affect the Dino Polska Group's revenue or increase the level of its losses, which may in turn have an adverse effect on the activities, financial standing and results of the Dino Polska Group and on the Share price.

Ineffective identification and failure to satisfy consumer preferences may have a negative effect on the activities of the Dino Polska Group

Consumer demand for stores in the format adopted by the Dino Group and offering a similar product range results from consumer trends, consumer needs and preferences. Consumer preferences on the market and in the geographical area where the Dino Polska Group operates or intends to operate may change and the store format adopted by the Dino Polska Group or the products it offers will no longer be attractive to consumers, for example as a result of changes in lifestyles and dietary preferences or as a result of national or local economic conditions. Also, local conditions may result in customer preferences varying from region to region as the Dino Polska Group continues to expand

into new areas. Customers can make most of their purchases on the Internet, which is a sales channel not currently used by the Dino Group. Changes in customer preferences may adversely affect traffic and purchases in the Dino Polska Group stores. If the Dino Group's management fails to identify and adapt to changes in consumer preferences quickly and efficiently, which includes Internet sales, the revenues and profitability of the Dino Polska Group may decline, which in turn may adversely affect the activities, financial standing and results of the Dino Polska Group and the Share price.

An increase in costs could have a material adverse effect on the activity of the Dino Polska Group

Although the Dino Polska Group determines its planned costs partly on the basis of expected future revenues on sales, a significant part of the costs by type is fixed or may increase and cannot be adjusted quickly if the future revenues of the Dino Polska Group prove to be lower than expected or if the increase in costs is faster than the increase in revenues or if unexpected costs arise. Accordingly, if revenues from sales of the Dino Polska Group in any period are significantly lower than expected, it may not be possible to adjust the main costs by type in an appropriate proportion and quickly enough, which may reduce the profitability of the Dino Polska Group.

In addition to the cost of goods and materials sold, which is the largest cost item by type in Dino Polska Group, the Group's operating and financial results are also affected by other material costs, the most important of which are costs related to: consumption of materials and energy, employee benefits and external services.

The increase in the costs of the Dino Polska Group described above depends largely on factors beyond the control of the Dino Polska Group. The factors that may boost the Dino Polska Group's costs by type or capital expenditures for real estate purchases and new store construction include among others: inflation, changes in the fiscal system (especially higher taxes), transport costs, higher oil prices, increases in minimum wages (which will affect the average cost of labor in the Dino Polska Group and may affect the cost of services provided by third parties), changes in government policies, changes in the Labour Code and other laws and regulations.

An increase in costs may have a direct impact on the results and financial standing of the Dino Polska Group. The Dino Polska Group cannot give an assurance that it will be possible to cover higher costs with higher revenues from sales. If it proves impossible then it may have an adverse effect on the activities, financial standing and results of the Dino Polska Group and the Share price.

Dino Polska Group may be exposed to interest rate risk, which may adversely affect its variable-rate debt.

The Dino Polska Group is exposed to risk of changes in interest rates. Changes in interest rates and other financial market parameters may affect the future activity of the Dino Polska Group. As interest rates decreased from 2014 to 2017, the increase in Dino Polska Group's debt (as at 31 December 2017 its under interest-bearing loans and borrowings, outstanding bonds and under finance lease liabilities was PLN 688 million, compared to PLN 563 million as at 31 December 2016) did not result in any significant increase in financial expenses of the Dino Polska Group, which amounted to PLN 38 million in 2017 as compared to PLN 30 million in 2016. Most of the Dino Polska Group's financial indebtedness on the Report Date bears a variable rate of interest. As a result, any increase in interest rates may result in an increase in Dino Polska Group's financial expenses, especially in connection with the increasing indebtedness of the Dino Polska Group.

Interest rates are largely influenced by changes in many factors, in particular global and domestic economic and political conditions, as well as other factors beyond control of the Dino Polska Group. Variations in interest rates may lead to an increase in financial expenses.

As at the Report Date, the Dino Polska Group does not hedge its investments or liabilities by using derivative financial instruments. We cannot rule out that future changes in interest rates may have a negative impact on the Dino Group, which may adversely affect the activities, financial standing and results of the Dino Polska Group and the Share price.

Dino Polska Group may not be able to repay its financial debt, provide financing on favorable terms, or lose strategic assets if it defaults on the terms of financing

To finance its activity, the Dino Polska Group uses, among others, external funding that consists of loans and borrowings from financial institutions, bonds issued and finance leases. In 2017, the value of Dino Polska Group's debt (under loans and borrowings, bonds issued and finance lease liabilities) amounted to PLN 688 million. The Management Board cannot guarantee that the Dino Polska Group will be able to finance its operations on favourable terms and, once it has obtained funding, that it will be able to pay interest and principal or perform other obligations under the financing agreements. If the Dino Polska Group is unable to obtain additional funding in accordance with its expectations, it may be forced to change its strategy, limit growth, and as a result the pace of achieving its strategic objectives may be slower than expected.

The implementation of the Dino Polska Group's strategic decision to acquire land on which, in the most instances, its stores are subsequently built (rather than leased) involves significant capital expenditures as the Dino Group continues to pursue its strategy of rapid organic growth in the number of stores. As at 31 December 2017, 663 buildings, in which the Dino Polska Group's stores operated, were owned by the Group.

In the past, the Dino Polska Group financed its capital expenditures using mainly the resources generated on operating activities, from bank loans and finance leases. If the net cash flows from operating activity drop below the planned levels or the Dino Polska Group fails to secure new financing (for reasons attributable to the Dino Polska Group or the market in general), the Dino Polska Group may not be able to implement its development plans, which may adversely affect the activities of the Dino Polska Group, its financial standing and results or prospects and the Share price. Slower growth of the Dino Polska Group may also affect its ability to further improve the commercial terms of cooperation that it negotiates with its suppliers and, consequently, the financial standing of the Dino Polska Group.

Additionally, the property, plant and equipment of the Dino Polska Group, including the properties on which it operates its stores and those intended for the construction of new stores, as well as the properties on which the distribution centers are located, have been encumbered with numerous security interests (e.g. mortgages). In the event that the Dino Polska Group is unable to pay its liabilities under its financing agreements, the lenders will be able to satisfy themselves from its assets, which will result in the loss of the assets on which the security interests are created. In the case of the properties intended for the construction of new shops, this may result in an inability to open new stores and in the case of the properties on which the stores are already built, it will result in the loss of existing stores.

Moreover, the financing agreements concluded by the Dino Group contain many standard obligations, including covenants to maintain certain financial ratios, not to allow third party rights to be established on assets, cross-default clauses or change of business clauses. A breach of covenants, in particular as a result of a change in accounting policies or any other obligation, may result in a default on financing agreements, a negative change in the terms of financing granted or, if a proper waiver of any covenant is not obtained from the financing entities, they may refuse to continue the financing and may demand repayment of the extended loans, declare them due and payable or satisfy themselves from Dino Polska Group's assets, which will be lost.

Each of the above events may have a negative impact on the activities of the Dino Polska Group, its financial standing and results or prospects and the Share price.

Dino Polska Group's insurance cover for its operations may not be sufficient or available.

The Dino Polska Group's insurance policies may not cover all the losses that the Dino Polska Group may incur in the course of its business, and certain insurance policies may not be available on economically justified terms.

The Dino Polska Group's insurance cover may not be sufficient to cover its losses or to satisfy claims raised against the Group. Insurance cover may also not be unavailable in this respect. Additionally, the insurer may, in situations specified in the relevant insurance agreements, refuse to satisfy claims against the Dino Polska Group or cover the losses it suffered. There may also be risks that are not insurable or where insurance is not economically justified or, in the opinion of Dino Polska Group, the proposed terms and limits of insurance are not sufficient to minimize the possible high loss coverage costs. Therefore, the Dino Polska Group may not be fully indemnified under its business loss insurance contracts and the insurance cover may be insufficient.

In addition, the insurance policies held by the Dino Group are subject to limits on the amount of insured claims. Therefore, the compensation paid under these policies may be insufficient to cover all the damages incurred by the Dino Group in full. If any loss occurs that is not covered by insurance or exceeds the insurance limits, the Dino Polska Group will have to cover the loss in whole, or in the part exceeding the insurance limit, with its own resources. There can be no assurance that in the future there will be no such material losses not covered by insurance or exceeding the insurance limit.

In addition, the premiums paid by the Dino Group for its insurance policies may increase significantly, for example following significant insured losses and subsequent changes in the historical claims data of the Dino Polska Group or generally of the market sectors where the Group operates. It also cannot be ruled out that in the future the Dino Polska Group may not be able to obtain insurance cover at the current level or on satisfactory terms.

As a result, the Dino Polska Group may have insufficient protection against losses that it could suffer in the course of its business. Any uninsured loss or loss exceeding the sums insured may have an adverse effect on the activities, financial standing and results of the Dino Polska Group and on the share price.

Extraordinary events beyond control of the Dino Polska Group could adversely affect the operations, financial standing, results, prospects of the Dino Polska Group and the Share price.

Risks that are beyond control of the Dino Polska Group, such as terrorist attacks, pandemics, acts of war, disasters or other extraordinary events, and their consequences may result in significant disruptions of the Polish economy or political situation, increased uncertainty in the financial markets, which may disrupt the operations of the Dino Polska Group and cause a decline in revenues generated by the Dino Group. These events and losses are difficult to predict and may be related to real properties, financial assets or key employees. If the plans made by the Dino Polska Group fail to fully address the prevention or remediation of effects of the events described above, or if implementation of these plans is not possible in the given circumstances, the losses may be significant. Unexpected events may also cause additional operating expenses, such as higher insurance premiums and the implementation of additional contingency plans. Insurance cover for certain risks may also not be available, which will increase the risk for the Dino Polska Group. If the Dino Polska Group is unable to manage these risks effectively, this could have an adverse effect on the activities, financial standing, results or prospects of the Dino Polska Group and on the Share price.

Risks related to regulatory environment

Dino Polska Group could be required to pay interest calculated in accordance with the Act on Payment Terms in Commercial Transactions

According to the Act on Payment Terms in Commercial Transactions, if parties to a commercial transaction have provided for a payment term longer than 30 days in their contract then the creditor may demand statutory interest after the elapse of 30 days, the interest being calculated from the 31st day of making its non-monetary performance and delivery of an invoice or receipt to the obligor, until the date of payment. If the payment term is not specified in the contract, the creditor, without being summoned, is entitled to statutory interest for the period from the 31st day of making its non-monetary performance until the date of payment. Since the Dino Polska Group enters into a large number of commercial transactions, mainly with suppliers of goods, and it cannot be ruled out that the creditors of the Dino Polska Group might demand interest calculated on the basis of the provisions of the Act on Payment Terms in Commercial Transactions. Any such requests could increase the financial expenses of the Dino Polska Group and could have a material adverse effect on the activities, financial standing and results of the Dino Polska Group and on the Share price.

Consideration, especially for the provision of services related to distribution and cash bonuses received by the Dino Group from its suppliers may be considered to be illegal additional fees

Pursuant to the Act on Combating Unfair Competition, charging fees for accepting goods for sale, other than trade margin, is prohibited and constitutes an act of unfair competition that hinders access of businesses to the market. The interests of those who are threatened or harmed by the imposition of such prohibited fees may require, inter alia, that those fees cease to be collected and that any fees already paid be refunded to them.

Some agreements with suppliers concluded by the Dino Group contain provisions for the payment of additional consideration by suppliers, in particular for the provision of services related to the distribution of goods, as well as cash bonuses for the distribution of goods supplied by these suppliers.

It cannot be ruled out that in the future Dino Polska Group suppliers or other authorized entities (e.g. a bankruptcy administrator of a previous supplier) could question the legality of such fees in court proceedings and demand compensation, as has been the case in the past. If a competent court awards such consideration then the Dino Polska Group may not be able to require suppliers to pay consideration for the provision of distribution services or cash bonuses on goods in the future, and may be required to pay consideration to a supplier or a group of suppliers, which could have a material adverse effect on the activities, financial standing and results of the Dino Polska Group and on the Share price.

Collective disputes with employees and negotiations with trade unions may have a material adverse effect on the activity of the Dino Polska Group

As at the Report Date, two trade unions operated in the Dino Polska Group. Even though as at 31 December 2017, only 188 out of 13,129 employees of the Dino Polska Group were unionized, which was slightly more than 1% of all the Dino Polska Group employees, the Group cannot guarantee that the number of unionized employees will not increase. The position of trade unions in Poland is relatively strong. In connection with the membership of its employees in the trade unions, the Dino Polska Group may be involved in collective disputes which, if prolonged, could result in strikes, interruptions of work or other unforeseeable consequences, for example if the Dino Polska Group companies were to take steps to reduce the workforce or the range of employee benefits, optimize personnel costs or introduce a restructuring program, or if employees demand salary increases. The position of the trade unions is connected with the risk of wage costs rising in the future as a result of employee demands. Dino Polska Group companies may also be required to coordinate or consult certain activities (including any measures involving employee dismissals) with the trade unions, which may cause delays or even prevent such activities and may result in collective disputes involving strikes or other employee protests. Such circumstances, if they occur, may have a negative effect on the activities, financial standing, results and prospects of the Dino Polska Group and the Share price.

Expiration of licences to sell alcohol may adversely affect the revenue of the Dino Polska Group

Alcoholic beverages is one of the main categories of products offered by the Dino Group. The Dino Polska Group sells alcoholic beverages in Dino stores on the basis of its licences. The permits were issued for a limited period of time, usually from 4 to 10 years.

According to the Act on Upbringing in Sobriety and Counteracting Alcoholism, entities conducting the alcoholic beverage selling activity are required to hold a permit to sell these products. The permit may be obtained after many conditions are satisfied. Since such permits are issued for a definite period of time, every entity selling alcoholic beverages must reapply for the permit after it expires. Additionally, during the period of validity of the permit, the entity holding the permit must satisfy numerous requirements and obligations, which include checking the capacity of its customers to purchase alcoholic beverages. It cannot be ruled out that the authority issuing permits to sell alcoholic beverages could refuse to grant such a permit on the grounds that any of the Dino Polska Group companies fails to meet any of the conditions set forth in the applicable laws or will refuse to grant such a license again. Violation of any of the terms of a permit during its period of validity may result in its expiry or revocation. Additionally, an entrepreneur, whose permit has been withdrawn may apply for a new permit to sell alcoholic beverages no earlier than three years after the date of the decision to withdraw such a permit.

Accordingly, if any of the Dino Group's permits to sell alcoholic beverages is revoked or the Dino Polska Group is unable to reapply for the permit, this could result in a decline in sales of alcoholic beverages or prevent the sale of alcoholic beverages in general, which could have a material adverse effect on Dino Polska Group's activities, financial standing and results and on the share price.

Unclear interpretation of Polish law or change of law may adversely affect the Dino Group.

The activities of the Dino Polska Group are subject to various regulations in Poland (among others in respect to food production, fire and safety regulations, provisions of labor law and environmental law) These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations.

Also, a significant number of laws and regulations relevant to the activities of the Dino Polska Group have been changed and may change in the future (such as e.g. restrictions on the sale of tobacco products). Accordingly, there is no assurance that the regulations applicable to the activities of the Dino Polska Group, in particular the environmental, health and safety rules or trade restrictions in Poland and the EU, will not become more stringent. In particular, in the past, Poland was considering introduction of regulations that would restrict trade on Sundays in stores such as those operated by the Dino Group. Although in 2017 Sunday was the day with the lowest contribution to the Dino Polska Group's weekly revenues, such restrictions, if introduced in Poland, may result in a significant reduction of Dino Polska Group's revenues and demand, which would not be offset by the possible reduction in operating expenses (including employment costs) and a possible increase in demand on the remaining days of the week.

Since there is no clarity as to future regulations, in the future the Dino Polska Group may be obligated to incur significant costs or capital expenditures to adapt the existing installations of the stores, distribution centers or the meat processing plant operated by Agro-Rydzyna to the new requirements. Additionally, the facilities operated by the Dino Group may be subject to inspections that are more stringent than the current ones.

Instability of the legal system and regulatory environment increases the risk of incurring significant additional and unforeseen costs, as well as the costs of adjusting the operations to the changing legal environment in the context of the activities conducted by the Dino Polska Group, which may adversely affect the Dino Polska Group's activities, financial standing, growth prospects and results or the market price of the Shares.

Implementation of the retail sales tax may adversely affect the Dino Group

Introduction of a retail sales tax has been considered in Poland in the past. On 1 September 2016, the Act of 6 July 2016 on Retail Sales Tax ("**Retail Sales Tax Act**") came into force in Poland. Under the Retail Sales Tax Act, the Company was required to pay retail tax of 0.8% of its monthly revenues in excess of PLN 17 million and up to 170 million, and 1.4% of monthly revenues above PLN 170 million.

On 19 September 2016, the European Commission issued an injunction suspending Poland's collection of this retail tax, which was found to breach the EU state aid rules as it gives small retailers a selective advantage over their competitors. As a result of the above, the Act of 15 November 2016

Amending the Retail Sales Tax Act postponed the application of the Retail Sales Tax Act, which will be applicable to the revenue from retail sales generated as of 1 January 2019.

Even though, as of the Report Date, the retail tax is not applicable to any of the Dino Polska Group companies, in 2019 it may, in particular, result in a significant increase in the tax costs of the Dino Polska Group or decrease its profitability, which may have an adverse effect on the Dino Polska Group's activities, financial standing, growth prospects and results, or on the market price of Shares.

Changes in the tax law applicable to the operations of the Dino Polska Group or its interpretation, as well as changes in individual tax rulings may adversely affect the Dino Group.

The regulations of Polish tax law are complicated and change frequently. The practice of applying tax law by tax authorities is not homogenous, while the jurisprudence of administrative courts on this subject often exhibits material differences. There can be no assurance that the tax authorities will not issue a different tax ruling in regard to the tax regulations applied by the Company or Dino Polska Group companies, which could be unfavourable to the Company or Dino Polska Group companies. In particular, the Dino Polska Group cannot give an assurance that, as tax avoidance provisions are introduced that use general clauses and the interpretation and application of which will be developed in practice by the tax authorities and the jurisprudence of the administrative courts, the tax authorities will assess the tax effects of operations conducted by the Company or by the Dino Polska Group companies differently than the Group does. This may apply in particular to restructuring transactions, which generate a tax advantage for the taxpayer, after the regulations containing a tax avoidance clause become effective. Also, there can be no assurance that the individual tax rulings obtained and applied by the Company or the Dino Polska Group companies will not change or be rendered inoperative for the same reason. The legislative practice also shows a tendency to enact legal acts in the field of tax law that may have retroactive effect, which may influence the amount of tax settlements.

There is also a risk that, as new regulations and the new retail sales tax are implemented or VAT increases, the Company or the Dino Polska Group companies will have to undertake adaptive efforts, caused by the circumstances, which may lead to considerable expenses of adaptation to the new regulations or possibly to a decrease in the level of sales and revenues of the Dino Polska Group (if VAT increases). On account of the above, there is no assurance that the tax authorities will not challenge the correctness of tax settlements made by the Company or the Dino Polska Group companies in respect of tax liabilities for which the period of limitation has not expired and the determination of tax arrears of these entities, which may have an adverse effect on the activities, financial standing, results of the Dino Polska Group and on the Share price.

Risks related to the shareholder structure

Majority shareholder could make decisions which may be contrary to the interests of other shareholders or which may have other adverse effect on the Dino Group

The Main Shareholder, as the majority shareholder of the Company, may exercise independent control over the Company, among others through decisive influence on matters that must be approved by the Shareholder Meeting. This may allow him, among other things, to determine the Company's policy and strategy, directions for its development, elect the Company's Supervisory

Board and Management Board members and of other Dino Polska Group companies and influence all the other decisions that require a resolution by the Shareholder Meeting.

In particular, he will be able to exert significant influence on the decisions of the Shareholder Meeting concerning the payment of dividend and its amount and even decide not to pay dividends in the individual financial years, or decide not to pay more than recommended by the Management Board, which may stand in contradiction to the interests and expectations of other shareholders or the Management Board. The interests of the Main Shareholder and those of other shareholders of the Company may be divergent.

These circumstances may have a material adverse effect on the activities, financial standing and results of the Dino Polska Group and on the Share price.

7. CORPORATE GOVERNANCE

7.1. Representation on the application of corporate governance

Dino as a company listed on the regulated market run by the Warsaw Stock Exchange is subject to the corporate governance principles defined in the document entitled Best Practices of WSE Listed Companies 2016. This document is available on the Stock Exchange's website (<http://www.gpw.pl>) in the section devoted to issues concerning corporate governance in listed companies.

The Best Practice of WSE Listed Companies 2016 is a set of recommendations and rules of proceeding concerning in particular the governing bodies of listed companies and their shareholders. If a principle is not permanently implemented by a listed company or it has been incidentally breached, the listed company is obligated to notify that fact in the form of the current report. Moreover, a listed company is obliged to attach to the annual report a report containing information on the scope of its application of the Best Practice of WSE Listed Companies 2016 in a given financial year.

Dino observes most of the recommendations and standards included in the Best Practice of WSE Listed Companies 2016, except for the following:

- Detailed standard I.Z.1.3. – to the extent it refers to the division of duties and responsibilities among members of the management board drawn up according to standard II.Z.1.
The standard is not applied in connection with the fact that the Company does not apply detailed standard II.Z.1.
- Detailed standard I.Z.1.8. – to the extent it refers to the tables containing the company's financial highlights for the most recent 5 years of business in a format facilitating data processing by the recipients thereof,
Dino intends to present the data for the last 5 years of its operation in a format facilitating data processing by the recipients thereof, however due to the restatement of the consolidated financial statements into IFRS-compliant in 2016, as a result of which the financial statements are no longer prepared in accordance with the Polish Accounting Standards, in the initial period financial data for all the available years will be posted on the Company's website, however for a period shorter than 5 years, in accordance with the Consolidated Financial Statements.
- Detailed standard I.Z.1.20 – to the extent it refers to an audio or video recording of the shareholder meeting.
The Company notes that if the shareholders: (i) show interest in audio or video recordings of the Shareholder Meeting, and (ii) notify the Company of such interest then the Company will comply with the shareholders' expectations in this respect and will publish an audio or video recording of the shareholder meeting on its website.
- Recommendation II.R.2 – to the extent it refers to diversity of the corporate bodies in terms of gender.
The Company does not ensure an equal participation of women and men in the Management Board or the Supervisory Board. As at the Report Date, the Management Board consists of two people and the Supervisory Board consists of six people and none of them are women. The Company supports this recommendation and has a policy in place under which the Company employs competent, creative individuals with appropriate professional experience and education. At the same time, the Company has no effect on the composition of its corporate bodies.
- Detailed standard II.Z.1. – to the extent it refers to the internal division of responsibilities for individual areas of the company's operation among members of the management board.
The Company does not have in place a formal division of duties and responsibilities among Management Board members. The Company believes that such a solution is appropriate and adequate

to the current stage of development and scale of the Company's operations and ensures effective management.

- Recommendation IV.R.2. - to the extent that it refers to shareholders' participation in shareholder meetings using IT tools, in particular bilateral mutual real-time communication, participating in discussions during the meeting for shareholders who are physically absent at the venue of the shareholder meeting.

The Company points out that providing the necessary technical infrastructure will require costs and other resources of the Company that are disproportionate to the potential interest of its shareholders. Therefore, the Company does not plan to conduct a shareholder meeting using electronic means of communication.

- IV.Z.2. - to the extent it relates to the provision of publicly available broadcasts of shareholder meetings in real time.

The Company does not plan to broadcast the shareholder meeting in real time because of the additional costs and organizational resources it would have to devote to this undertaking. Nevertheless, the Company will consider transmitting the Shareholder Meeting in real time, if this is requested in the future by the shareholders.

Furthermore, in reference to recommendation I.R.2. Dino reports that it does not conduct any sponsoring activity. Charitable activity is conducted by the Dino Najbliżej Ciebie Foundation, which as of October 2015 holds the status of a public benefit organization. The Foundation's objective is to provide selfless assistance especially to the needy, in particular sick people and children.

A formal diversity policy does not function in the Company. The Shareholder Meeting and the Supervisory Board select members of the Supervisory Board and of the Management Board, respectively, based on their skills and experience, regardless of age, gender, education and other attributes. The Management Board is guided by these very same criteria when it makes staffing decisions concerning key managers. The Company does its utmost to ensure that all employees have equal opportunities in terms of professional development and promotions.

7.2. The internal control and risk management systems in the process of preparing financial statements

The parent company's separate financial statements are prepared in accordance with:

- Accounting Act of 29 September 1994 (consolidated version: Journal of Laws of 2017, item 2342, as amended),
- internal accounting procedures based on the accounting policies in effect in Dino Polska S.A.,
- applicable law and provisions of the articles of association of Dino Polska S.A.

The consolidated financial statements are prepared in accordance with the International Financial Reporting Standards as endorsed by the European Union – they include adjustments that are not recognized in the accounting ledgers of all the Dino Polska S.A. Group companies, which are made in order to restate the separate financial data of the Parent Company and Dino Polska S.A. Group Subsidiaries to ensure compliance with the IFRS.

The process of preparing the financial statements is subject to an internal control system and a risk management system, which contributes to maintaining the credibility and integrity of financial reporting as well as compliance with legal regulations and internal regulations. The internal control system entails:

- control activities performed by employees of the Dino Polska S.A. Group companies as part of their tasks and duties (the current allocation of duties rules out the possibility of one employee performing activities related to the execution and documentation of business operations from the beginning to the end)
- functional control performed by employees in managerial positions who oversee the organizational cells reporting to them,

Risk management in the process of preparing financial statements relies on identifying and assessing risk while defining and taking actions to mitigate them or to eliminate them in their entirety. The Chief Accountant and the Management Board Member responsible for Finance to whom the financial and accounting teams report oversee the process of preparing the financial statements of the Parent Company and the consolidated financial statements of the Dino Polska S.A. Group. The risk management process commences at the lowest levels in the Group so as to ensure the fulfilment of the intended objectives. Risk management in the Dino Polska S.A. Group is a process overseen by the Management Board and key managerial personnel.

The correctness of preparing financial statements is also checked by Supervisory Board members within the framework of the Audit Committee's tasks entrusted to the Supervisory Board. To confirm the compliance of the data set forth in the financial statements with the facts and the records in the accounting ledgers kept by the Company, the financial statements are audited by an independent statutory accountant who issues opinions on this subject. All the efforts undertaken by the Company aim to ensure compliance with the requirements of the law and the facts as well as the appropriately early identification and elimination of potential risks so as for them not to affect the integrity and correctness of the presented financial data.

7.3. Share capital, shares and shareholders of Dino Polska

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The shares are not preferred shares in terms of voting rights, dividend rights or rights to the distribution of assets in the event of winding up the Company. There are no Shares in the Company with special control powers attached. Nor are there any limitations concerning the exercise of voting rights and the transfer of ownership of Dino shares (except for the lock-up obligations described below and undertaken under the Company's IPO). As of the Report Date:

- there are no Shares that do not represent the Company's share capital (do not represent a stake in the share capital),
- The Company does not hold Treasury Shares, nor does any Subsidiary hold Shares, nor does any third party acting on behalf or in favor of the Company,
- neither the Company nor any of its Subsidiaries acquired treasury shares (of Dino Polska) in 2017,
- neither the capital of the Company, nor the capital of any of its Subsidiaries is the object of an option, nor has it been agreed, conditionally or unconditionally, that the capital of any of these entities will become the object of an option,
- there are no convertible securities or securities exchangeable into the Company's securities (including its Shares) or securities with warrants issued by the Company, and
- The Articles of Association do not contain any clauses pertaining to authorizing the Management Board to raise the Company's share capital under authorized capital.

Dino Polska S.A.'s shareholder structure as at the end of 2017

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary ¹	50,103,000	51.10%
Other shareholders	47,937,000	48.90%

In March and April 2017, the IPO of Dino Shares was held (in accordance with the prospectus approved by the Polish Financial Supervision Authority (KNF) on 17 March 2017), as a result of which the shareholder Polish Sigma Group S.à r.l. sold all the Shares it held, representing 49% of the Company's share capital and 49% of the total number of votes at the Shareholder Meeting. The Company did not issue any new shares in the IPO.

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

At the Report Date, Szymon Piduch, President of the Management Board, held 141,000 shares. Michał Krauze, a Management Board Member, held 30,000 Company shares as at the Report Date.

Among the Supervisory Board members, as at the Report Date Dino shares were held by: Tomasz Biernacki (Supervisory Board Chairman) as detailed in the table above and Eryk Bajer – 9,582 shares and Sławomir Jakszuk – 1,600 shares.

On 20 March 2017, in connection with the public offering of shares, Mr. Tomasz Biernacki incurred an obligation not to sell the 51% of Dino Polska shares held by him before the public offering until the expiry of the 720-day period after the first listing of shares on the Warsaw Stock Exchange, which happened on 19 April 2017. Furthermore, the Company undertook to refrain from issuing and offering shares until the end of the period of 360 days from the date of the first listing of Dino Shares on the Warsaw Stock Exchange. In accordance with the provisions of the applicable incentive programs, those Members of the Company's Management Board who acquired Dino Shares in the performance of their obligation to acquire the Shares specified in these programs, are required to refrain from selling those Shares for a period of two years after their acquisition. The detailed provisions of the said obligations are described in the Company's prospectus, as approved by KNF on 17 March 2017.

The Company does not have an employee share program; accordingly, it does not have a system to control employee share programs.

The Company is not familiar with any agreements as a result of which changes may take place in the percentages of Shares held by the shareholders.

No other changes to the share capital took place in 2017 or up to the Report Date.

¹ BT Kapitał Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 103 thousand Company shares

7.4. Dino Polska bonds

On 21 September 2017, the Management Board of Dino Polska adopted a resolution to establish a program for the Company to issue bonds up to the amount of PLN 500 million ("Program"). Under the Program the Company may conduct multiple issues of secured bearer bonds in electronic form (not in paper form) denominated in Polish zloty. The bonds issued under the Program will be offered for purchase pursuant to art. 33 item 2 of the Bond Act of 15 January 2015 (Journal of Laws of 2015, Item 238 as amended).

Decisions regarding the launch of further issues under the Program and their amounts will be made based on the Company's current funding needs. Detailed parameters of bond issue will be determined before the issue of a given bond series. The various series of bonds issued under the Program may contemplate registration of the bonds in the securities depository run by Krajowy Depozyt Papierów Wartościowych S.A. and of introducing the bonds to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. or BondSpot S.A.

This Program's objective is to diversify the sources of funding and optimize the Company's operating expenses. The Program will not affect the Company's current targets regarding the overall level of net debt to EBITDA.

The cash funds obtained through the Program will be allocated to develop the Company's operations under its current growth strategy entailing in particular the roll-out of its own store network with distribution centers and logistic network.

On 13 February 2017, as part of the Program, the Company issued 100,000 series 1/2017 secured bearer bonds with a nominal value of PLN 1,000 each and a total nominal value of PLN 100 million ("Bonds"). Proceeds from the Bond issue were used by the Company in accordance with the specified purpose.

The Bonds are secured by sureties of selected Dino Polska Group companies. The issue price of the Bonds was equal to their par value. The Bonds were offered for purchase in a private offering (pursuant to Article 33 Item 2 of the Bond Act of 15 January 2015 (Journal of Laws of 2015, Item 238, as amended)) and bore interest at the variable interest rate – WIBOR 3M plus a fixed margin of 1.30 percentage points per annum.

The Bonds were registered in the securities depository run by the National Depository for Securities (KDPW S.A.) and introduced to be traded in the alternative trading system run by Warsaw Stock Exchange (GPW S.A.) or BondSpot S.A. The final maturity of the Bonds is 13 October 2020.

The tables below present information on bonds issued in the Group.

The following table shows details of the active bond issue program for the bonds issued by the Company in favor of Pol-Food.

Bond series	Issuer	Buyer	Number of bonds as at 31.12.2017	Bond type	Issue date	Nominal value/issue price	Interest rate	Maturity date	Redemption amount (principal)
O	Company	Pol-Food	16,100,000	Bearer	25 April 2016	PLN 1 / PLN 1	4% per year	26 April 2020	PLN 16,100,000.00
P	Company	Pol-Food	38,000,000	Bearer	10 April 2017	PLN 1 / PLN 1	3% per year	10 April 2020	PLN 38,000,000.00

The bonds may be redeemed before maturity, provided that the early redemption is reported to the bondholder no less than 3 days before the option is exercised.

The table below presents details of CWN bonds held by Dino Polska.

Bond series	Issuer	Buyer	Number of bonds as at 31.12.2017	Bond type	Issue date	Nominal value/issue price	Interest rate	Maturity date	Redemption amount (principal)
A	CWN	Company	1,957,728	Bearer	15 May 2014	PLN 10 / PLN 10	8.1% per annum	26 May 2018	PLN 19,577,280.00
B	CWN	Company	883,200	Bearer	8 December 2014	PLN 1 / PLN 1	8.1% per annum	15 December 2018	PLN 883,200.00
C	CWN	Company	165,750	Bearer	7 December 2015	PLN 10 / PLN 10	8.1% per annum	15 December 2019	PLN 1,657,500.00

The bonds may be redeemed before maturity, provided that the early redemption is reported to the bondholder no less than 3 days before the option is exercised.

7.5. Management Board of Dino Polska

Members of the Management Board are appointed for a joint term of three years. The mandate of a member of the Management Board expires no later than on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year of serving as a member of the Management Board.

Composition of the Management Board

The Management Board comprises of between one and five persons. The number of members of the Management Board of a given term is set by the Supervisory Board.

Management Board Members, including the President of the Management Board, are appointed and dismissed by the Supervisory Board. Each Management Board member may be dismissed by the Supervisory Board at any time both for cause and without cause. The Supervisory Board may suspend some or all of the members of the Management Board due to important reasons. A Management Board member may also be dismissed or suspended in performance of his/her duties by a resolution adopted by the Shareholder Meeting.

Powers of the Management Board

The Management Board manages the Company's operations and assets and represents the Company externally before courts, authorities and third parties. The Management Board makes decisions in all the matters that are not reserved by the law or the Articles of Association as exclusive powers of the Supervisory Board or the Shareholder Meeting. Management Board Members do not have the power to decide on share issues or buyouts. All of the Management Board members are obligated and entitled to manage the Company's business jointly. Two Management Board members acting jointly or one Management Board member acting jointly with a general proxy are authorized to submit representations of will and sign on behalf of the Company.

Management Board Members

At the end of 2017 and as at the Report Date, the Management Board is comprised of two members. No other changes in the composition of the Management Board took place in 2017 and up to the Report Date.

Full name	Age	Position	Date of assuming the function in the current term of office	Date of elapse of the current term of office
Szymon Piduch.....	46	President of the Management Board	26.11.2015	26.11.2018
Michał Krauze	35	Management Board Member	26.11.2015	26.11.2018

The mandates of the Management Board members expire upon elapse of three years after the date of appointment, i.e. 26 November 2018. Szymon Piduch and Michał Krauze have been employees of the Dino Polska Group since 2002.

From 2002 to December 2009 Szymon Piduch served as the CFO, among other roles. In March 2010 he was appointed to be the CEO. He is in charge of areas of expansion, investment and operations in the Company.

In 2002-2007, Michał Krauze was an accountant, then, in 2007-2011, an independent accountant, and then, in 2011-2016, a financial controller. He was appointed to the Management Board in May 2014, and since July 2016 he has also been discharging the function of Chief Financial Officer. In the Company, he is in charge of finance.

Compensation and terms of employment contracts of Management Board members

Compensation and rules for compensating Management Board members and rules governing the employment of Management Board members

Contracts between Management Board members and the Company

Management Board members are employed under employment contracts. Such contracts contain the fundamental provisions required by the provisions of labor law, including the job description and the amount of employee compensation. Existing contracts with the Management Board members have been entered into for an indefinite term and may be terminated with three months' notice. Moreover, these contract contain confidentiality clauses applicable to the Management Board members.

The employment contracts signed with Szymon Piduch and Michał Krauze require these Management Board members to refrain from involvement in any business competitive to that of the Company or the Subsidiaries during the employment relationship and for a period of 12 months following the expiration or termination of the employment contract for any reason. In particular, the Management Board members must not: (i) enter into any employment contracts, management contracts, consulting contracts or any other contracts or mandate arrangements with any entity running a business competitive to that of the Company or the Subsidiaries, accept positions in governing authorities of any such entity or render any services in its favor; (ii) be involved in any business of a competitive nature to that of the Company or the Subsidiaries, run on a self-employed basis; (iii) become a shareholder or establish a joint venture or have any other financial interest in a company running any business competitive to that of the Company or the Subsidiaries, except for the acquisition of shares in entities that are available on a public market in a quantity that entitles the holder to no more than 0.25% of the total number of votes at the shareholder meeting of the company in question. Throughout the non-competition period, the Management Board members are required to notify the Company in writing of undertaking any business or work, irrespective of the legal basis, which might be considered to constitute any business competitive to that of the Company or the Subsidiaries. Business competitive to that of the Company or the Subsidiaries is any business

whose subject matter or any equity share overlaps, in whole or in part, with the extent of business operated currently or in the future by the Company in Poland. A contractual penalty is provided for a breach of the non-competition clause during the term of the employment contract, equal to 6 times the average monthly compensation obtained by the pertinent Management Board member prior to the cessation of the employment relationship, with an option allowing for the Company's pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. A contractual penalty is provided for a breach of the non-competition clause after the termination of the employment contract, equal to twice the amount obtained by the pertinent Management Board member as compensation for refraining from involvement in competitive activity, with an option allowing for the pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. Each Management Board member is entitled to (lump-sum) compensation for adherence to the non-competition clause after the termination of the employment relationship in an amount equivalent to 12 times the average monthly compensation obtained by the relevant Management Board member prior to such termination. The said compensation is payable in twelve monthly installments.

Moreover, in accordance with the terms of their employment contracts, the Management Board members are entitled to the use of a mobile phone and a portable computer for business-related purposes and Szymon Piduch is additionally entitled to the use of a company car.

The Management Board members also receive discretionary bonuses from the Company granted by way of Supervisory Board resolutions based on the rules governing the granting of bonuses for the achievement of targets set beforehand by the Supervisory Board.

Furthermore, the Management Board members may not, without the consent of the Supervisory Board, accept the function of a member of the management board or supervisory board in any company unrelated to Dino Polska.

Contracts between Management Board members and the Subsidiaries

In addition to the employment contract with the Company, Szymon Piduch has entered into mandate agreements with CWN, Agro-Rydzyna and Pol-Food under which he performs activities related to the discharge of the function of a management board member in these companies.

The agreements entered into by and between Szymon Piduch and the Subsidiaries contain confidentiality clauses and the requirement to refrain from the conduct of any competitive business during the term of the agreements and for 12 months following their expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from the involvement in any business competitive to that run by the Subsidiaries.

In addition to the employment contract with the Company, Michał Krauze has entered into a mandate agreement with Agro-Rydzyna under which he performs activities related to the discharge of the function of a management board member in Agro-Rydzyna. Agro-Rydzyna may grant Michał Krauze a discretionary bonus.

His agreement with Agro-Rydzyna contains provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12

months following its expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from the involvement in any business competitive to that run by Agro-Rydzyna. The Management Board members also obtain discretionary bonuses from the Subsidiaries.

Amounts of compensation and other benefits due the Management Board members from the Company and the Subsidiaries

The following table shows the amounts of compensation and other benefits payable or paid to each Management Board member by the Company and the Subsidiaries in 2017

	Compensations received from the Company		Compensations received from the Subsidiaries	
	Base compensation under the employment contract	Additional compensation in the form of discretionary bonuses	Base compensation under civil law agreements	Additional compensation in the form of discretionary bonuses
Full name	(PLN thousand)			
Szymon Piduch	221.6	569.6	306.6	-
Michał Krauze	155.6	189.9	118.8	-

The Management Board members are covered by third party liability insurance.

The contracts between the Management Board members and the Company do not provide for any compensation (other than those described above) in the event of a Management Board members' resignation or dismissal without a significant reason or if such dismissal results from the Company's merger with another entity by way of an acquisition.

Other than the benefits described above, as at the end of 2017 the Management Board members were not covered by any contingent or deferred benefits granted by the Company or the Subsidiaries.

There are no contracts between the Management Board members and the Company or the Subsidiaries providing for any benefits payable upon termination of the employment relationship. There are no liabilities arising from pension obligations or similar benefits payable to former members of management, supervisors or former members of administrative bodies.

In addition to the benefits described above, the Dino Polska's key managers received the one-off benefits specified in the agreements governing the terms of membership in the Company's incentive program and in the incentive program established by Polish Sigma Group S.à r.l. in Luxembourg, which was the Company's shareholder at the end of 2016, payments under which were conditional on the success of the IPO of Dino Polska. According to the terms of the programs, the Management Board members were obligated to purchase Dino Polska shares in the Company's IPO for almost 50% of the benefits received (after income tax). The detailed provisions of the these programs have been presented in the Company's prospectus, as approved by KNF on 17 March 2017, and in the Company's financial statements for 2016. Michał Krauze received PLN 1,300 thousand and Szymon Piduch PLN 6,200 thousand under the incentive program. The total amount awarded to the Management Board members by Polish Sigma Group S.à r.l. was PLN 7,500 thousand (out of which 17.33% was paid to Michał Krauze and 82.67% to Szymon Piduch).

7.6. Shareholder Meeting and rights vested in the shareholders

A Shareholder Meeting is convened by way of an announcement published on the Company's website and in the manner provided for in the Commercial Company Code as well as in compliance with the Public Offering Act. Such an announcement should be published at least 26 days prior to the date of the Shareholder Meeting. Shareholder Meetings are held in the Company's registered seat or in Warsaw or in some other venue in Poland designated by the Company in the announcement regarding the convening of the Shareholder Meeting.

A Shareholder Meeting is convened by the Management Board. The Supervisory Board may convene an ordinary Shareholder Meeting if the Management Board fails to convene it within the prescribed time limit and may convene an extraordinary Shareholder Meeting if the Supervisory Board considers it expedient. The right to convene an extraordinary Shareholder Meeting is also vested in Company's shareholders representing at least half of the Company's share capital or at least half of all votes in the Company. In such a case, the Company's shareholders have the right to appoint the chairperson of the Shareholder Meeting.

Moreover, a shareholder or shareholders representing at least one-twentieth of the Company's share capital may request that an extraordinary Shareholder Meeting be convened and that specified items be placed in the agenda of the Shareholder Meeting. Such a request to convene an extraordinary Shareholder Meeting must be submitted to the Management Board in writing or in electronic form. If, within two weeks from the date of submission of the request to the Management Board, the latter fails to convene the extraordinary Shareholder Meeting, the court of registration may authorize the Company's shareholders who have submitted the request to convene the extraordinary Shareholder Meeting themselves. In such a case, the court appoints the chairperson of the Shareholder Meeting.

The right to participate in the Shareholder Meeting is vested only in those persons who are the Company's shareholders sixteen days prior to the date of the Shareholder Meeting (date of registration of participants). The shareholders have the right to participate in the Shareholder Meeting and exercise their voting rights in person or by proxy. Furthermore, each shareholder is entitled to have a say on the matters included in the agenda. A detailed description of the procedures governing participation in Shareholder Meetings and the exercise of voting rights is always provided along with the announcement on convening a Shareholder Meeting.

The Shareholder Meeting is the body authorized to make decisions concerning issues related to the organization and operations of the Company, except for the cases specified in the Commercial Company Code and the Articles of Association.

The rights of the shareholders and the method of exercising them at the Shareholder Meeting are specified in the Commercial Company Code and the Articles of Association. In accordance with the Articles of Association, the powers of the Shareholder Meeting include:

- appointing and dismissing Supervisory Board members;
- defining the rules for compensating Supervisory Board members and setting the amounts of such compensations,

- establishing, utilizing and dissolving reserve capital and other special-purpose funds as well as utilizing supplementary capital.

An amendment to the Articles of Association requires the adoption of a Shareholder Meeting resolution by a three-fourths majority of votes. An amendment to the Articles of Association materially changing the Company's line of business (Article 416 § 1 of the Commercial Company Code) does not require a buyout of the shares held by the shareholders objecting to such an amendment if the relevant resolution of the Shareholder Meeting is adopted by a $\frac{2}{3}$ (two-thirds) majority of the votes in the presence of shareholders representing at least one half of the share capital.

7.7. Supervisory Board and its committees

The Supervisory Board exercises regular supervision over the Company's operations in all areas of its activity. Members of the Supervisory Board are appointed for a joint term of three years. The mandates of the members of the Supervisory Board expire, at the latest, on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year during which they held the position of a Supervisory Board member.

The Supervisory Board consists of five to eight members.

As at the Report Date, according to the Articles of Association, Supervisory Board members are appointed and dismissed in the following manner:

- a) as long as Tomasz Biernacki holds shares representing at least 50% of the overall number of votes at the Shareholder Meeting plus one share, Tomasz Biernacki will be authorized to appoint and dismiss one member of the Supervisory Board who will also serve as the Supervisory Board Chairman, by way of written representation to appoint or dismiss a Supervisory Board member, which becomes effective upon delivery to the Company;
- b) the other Supervisory Board members are appointed and dismissed by the Shareholder Meeting and the Supervisory Board Deputy Chairperson is elected by Supervisory Board members from among themselves.

In the case of voting in separate groups in accordance with the procedure prescribed by Article 385 of the Commercial Company Code, the Supervisory Board will have eight members, however, until the expiry of the powers referred to in item (a) above, Tomasz Biernacki will have the right to appoint the Supervisory Board Chairman from among the Supervisory Board members elected in connection with the voting in by voting in separate groups. If the powers referred to in item (a) above expire, then the Supervisory Board Chairman will be elected by the Supervisory Board members from among themselves.

Supervisory Board members

As at the Report Date, the Supervisory Board consisted of six members. Compared to 31 December 2016, its composition decreased by two persons: on 20 April 2017, Michał Rusiecki and Michał Kędzia tendered their resignations from the functions discharged in the Supervisory Board.

The following table presents basic information on the Supervisory Board members at the end of 2017

Full name	Age	Position	Date of assuming the function in the current term of office	Date of elapse of the current term of office
Tomasz Biernacki.....	44	Supervisory Board Chairman	26 February 2015	19 February 2018
Eryk Bajer.....	49	Supervisory Board member	26 February 2015	19 February 2018
Maciej Polanowski.....	47	Supervisory Board member	26 February 2015	19 February 2018
Pierre Detry.....	57	Supervisory Board member	6 August 2015	19 February 2018
Piotr Nowjalis.....	43	Supervisory Board member	6 August 2015	19 February 2018
Sławomir Jakszuk.....	54	Supervisory Board member	6 August 2015	19 February 2018

The mandates of Supervisory Board members expire, at the latest, on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year during which the Supervisory Board members discharge their functions, i.e. 2017.

Audit Committee

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition complies with the Statutory Auditor Act and the Best Practice of WSE Listed Companies.

The Audit Committee was appointed by a Supervisory Board resolution of 1 December 2016. The following persons sat on the Audit Committee at the end of 2017: Piotr Nowjalis (Chairman of the Audit Committee), Sławomir Jakszuk and Maciej Polanowski. The changes that transpired in 2017 in the composition of the Audit Committee include the following: i) Michał Kędzia resigned from his function; ii) Maciej Polanowski was appointed to the Committee.

Piotr Nowjalis satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies and the criteria for independence within the meaning of art. 86 section 5 of the Statutory Auditor Act and holds qualifications in accounting or financial review. Sławomir Jakszuk satisfies the criteria for independence within the meaning of article 86 section 5 of the Statutory Auditor Act.

Compensation and rules for compensating Supervisory Board members

The table below shows the annual compensation received by the various Supervisory Board members from the Company in 2017. Supervisory Board members do not receive compensation from Subsidiaries.

Full name	Compensation from the Company in 2017 (PLN thousand)
Tomasz Biernacki.....	60.0
Michał Kędzia.....	0.0
Eryk Bajer.....	83.4
Maciej Polanowski.....	85.8
Michał Rusiecki.....	0.0
Pierre Detry.....	120.0
Piotr Nowjalis.....	99.6
Sławomir Jakszuk.....	83.4

The total value of the benefits received from the Company by the aforementioned Supervisory Board members in 2017 was PLN 532.2 thousand (PLN 501.2 thousand in 2016). These benefits included compensation for discharging the function of a Supervisory Board member. Moreover, the benefits for Tomasz Biernacki for 2016 included compensation for advisory services rendered in favor of the Company associated with acting in the capacity of Supervisory Board Chairman. The advisory services provision agreement with Tomasz Biernacki in benefit of the Company was terminated on 15 March 2017 with immediate effect.

8. NON-FINANCIAL REPORT OF DINO POLSKA AND THE DINO POLSKA GROUP

8.1. Business model

The core line of business of Dino Polska is retail sales of food products in the Group's own network of stores operating under the brand name of 'Dino'. The Dino Group's business model combines the advantages of modern medium-sized stores located in the vicinity of customers' homes with the ability to expand the store network quickly and with an attractive product range comprising primarily branded and fresh products at competitive prices.

As at 31 December 2017, Dino Polska operated a network of 775 stores located predominantly in western Poland with a total selling area of 295 thousand square meters. In most cases, Dino Polska or one of the Subsidiaries owns the land and the buildings, in which Dino stores are located. Land and buildings form the main assets of Dino Polska and the Group.

A typical Dino Group store is a free-standing building located in a small or medium-sized town or on the outskirts of a large city, open from 7:00 a.m. to 10:00 p.m. or 11 p.m. Most stores have a sales floor area of approx. 400 square meters and are located on plots of land with a parking lot for 10-30 vehicles. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products. Every Dino store has a traditional fresh meat counter with counter staff. Agro-Rydzyna, a Dino Polska wholly owned subsidiary operating a meat processing plant, supplies its high quality meat and cold cuts to these counters.

Agro-Rydzyna is the sole supplier of high-quality fresh meat and the main supplier of cold cuts to the Dino Group. The whole production of the meat processing plant operated by Agro-Rydzyna is sold through the Dino Group's store network. The meat processing plant operated by Agro-Rydzyna is located in Kłoda in Wielkopolskie voivodship and has a total floor area of 13,179 square meters. Moreover, Agro-Rydzyna supplies Dino stores with poultry products.

The Dino store network is supported by a warehousing and distribution system managed centrally from three distribution centers (located in Krotoszyn, Piotrków Trybunalski and Jastrowie) and by a network of independent transportation companies. As at 31 December 2017, the total warehousing space was 112 thousand square meters.

As at 31 December 2017, the Dino Group had 13,129 staff working under employment contracts, 12,392 of whom were employed by the Company (mainly as store personnel).

The Dino Polska Group is composed of the parent company of Dino Polska S.A. with its registered office in Krotoszyn, Poland ("Company"), and its 16 subsidiaries. The Group's subsidiaries have the following core lines of business: (i) processing and preservation of meat, excluding poultry; (ii) warehousing and storage of merchandise; (iii) buying and selling of own real estate, renting and operating of real estate; (iv) managing of own brands and trademarks. A detailed diagram of the Group and a description of the Subsidiaries are provided in the section entitled "Operations of Dino Polska and the Group".

Dino Polska and the Subsidiaries operate in the Republic of Poland. The Company's registered office is located in Krotoszyn, Poland. Dino Polska has no branches outside of Poland's borders.

Dino Polska S.A. is a joint stock company listed on the Main Market of the Warsaw Stock Exchange since April 2017. As at yearend 2017, Dino Polska shares were included in the WIG and mWIG40 indices calculated by the WSE as well as in several international indices, for instance MSCI Poland and MSCI Emerging Markets published by MSCI Barra.

The Group's strategy assumes further growth by focusing on the following three key areas:

- continuation of rapid organic growth in the number of stores
- continued growth in LFL sales revenue in the existing store network
- consistent improvement in profitability

A detailed description of the Dino Group's strategy is presented in the section entitled "Operations of Dino Polska and the Group".

8.2. Employees

It is the employees of the Dino Polska Group who shape the Group's success, establish good relationships with its business partners and make sure that customer service in the Dino store network is of a high quality. One of the key factors driving the Dino Group's business development in the future, especially its geographic expansion and the execution of its strategy, is having the appropriate number of qualified and committed employees.

To ensure that actions taken in the HR area are consistent with the strategic objectives, Dino Polska and the Dino Group implement a proactive HR policy focused on:

- ensuring the Group's competitiveness on the labor market,
- maintaining effective recruitment and internal promotion mechanisms,
- efficient acquisition of new employees by way of external recruitment,
- developing and increasing the level of employee competence,
- ensuring a friendly and safe working environment,
- respecting workers' rights, ensuring equal opportunities and applying a policy of non-discrimination.

At the foundation of HR policy is the straightforward organizational structure of both the Group as a whole and of its individual company members as well as the well-defined areas of responsibility of each department and employee. All members of Dino Polska and Dino Group staff act on the basis of precisely defined objectives, and the boundaries of their actions, in each of the four main areas: stores, warehouses, meat processing plant and head office, are defined by the fundamental HR procedures. The distinguishing features of the Dino Polska and Dino Group's organizational culture are: efficient execution of business processes, high productivity and low level of bureaucracy.

A key role in the process of HR management at Dino Polska is played by the HR Department, which operates in consultation with the heads of each business area within the Group who are responsible for backing the development of their subordinate staff, transferring knowledge, building a friendly atmosphere and ensuring safe working conditions. The principal framework of Dino Polska's employee policy is rests on the Work Rules and Regulations and the Compensation Rules and Regulations. Additionally, the Company has in place several documents related to its employee policy (in particular: the internal anti-mobbing procedure, a number of HR procedures for employees of stores, warehouses and the head office, rules and regulations for staff employed in the head office,

HR manual for store staff). These documents are made available to employees via the Company's intranet or are provided to them in paper form along with the employment contract.

A significant element of the HR management area in Dino Polska and the Dino Group is short and long-term planning which provides Dino Polska and the Subsidiaries with a great deal of flexibility in the area of internal recruitment and a strong capacity to acquire new staff. As part of the HR management process, Dino Polska has established a compensation committee and a committee for handling, among other things, employment planning. Their meetings are held at least once per month and, in addition to a representative of the HR Department, are attended also by key managers, including the Dino Polska Management Board members. The effects of HR management and the policy in this area are evaluated on an annual basis by the Dino Polska Management Board.

Employment and working conditions

The majority of store personnel are hired under an employment contract providing for a fixed employee compensation and the opportunity to be awarded a monthly bonus for the achievement of specific targets. The Dino Group hires its staff mainly on the basis of employment contracts. As at 31 December 2017, the Dino Group employed a total of 13,129 staff, up by 2,489 (23.4%) persons from yearend 2016. Moreover, as at 31 December 2017, 650 persons were hired by the Dino Group under other civil law agreements, as compared to 174 such persons a year earlier. The Group makes use of forms of employment other than the employment contract to provide store personnel with assistance during seasonal sales peaks.

Temporary workers are hired by the Dino Group only in exceptional situations. During and as at the end of 2017, their number ranged from several to fewer than twenty.

The table below shows information on the number of Dino Group staff hired (on a full-time or part-time basis) under employment contracts as at the dates indicated therein.

Company	As at 31 December			
	2017	2016	2015	2014
Dino Polska	12,392	9,971	8,233	6,861
Dino Krotoszyn	213	229	191	133
Agro-Rydzyna	519	436	342	275
Pol-Food	5	4	4	0
Dino Group total:	13,129	10,640	8,770	7,269

The majority of Dino Group staff are blue collar workers (approx. 88% of all personnel). These are mostly persons employed by the stores, the meat processing plant and the distribution centers.

The table below shows information concerning the headcount structure by type of job as at the end of 2017

	blue-collar employees	white-collar employees
Dino Polska	10,884	1,508
Dino Group total:	11,509	1,620

Staff hired by the Dino Group, depending on the duties entrusted to them, may be subject to a primary, shift-based, task-based or balanced work system. Dino Polska also enables its personnel, especially store personnel, the majority of whom are women, to work on a part-time basis. This also applies to persons employed in warehouses and in the head office. As at the end of 2017, 329 persons were taking advantage of this form of employment.

The table below shows information concerning the headcount structure by employee gender as at the end of 2017

	female	male
Dino Polska	11,301	1,091
<i>percentage of total headcount</i>	91.2%	8.8%
Dino Group total:	11,660	1,469
<i>percentage of total headcount</i>	88.8%	11.2%

Dino Group staff are offered the same social and financial benefits regardless of the type of employment contract or working time. Those members of Dino Group staff who find themselves in a difficult situation may count on assistance from the Dino Najbliżej Ciebie Foundation which has been established, among other purposes, to provide social assistance to those in need, especially to the sick and children. The Dino Najbliżej Ciebie Foundation operates on a voluntary basis. All its members work pro bono and do not receive any compensation for their involvement.

Recruitment and promotions

The essence of Dino Polska's HR policy is to create equal conditions for all employees to be promoted and in internal recruitment processes. People who have previously worked in another Dino store usually become new store managers, as this makes it possible to promote ambitious employees and ensures that trained employees having the appropriate experience will lead the Dino Group's expansion. 814 people were promoted in Dino Polska in 2017. For the sake of comparison, 593 people were promoted in 2016. When it comes to stores, hiring a person from outside the firm to take a managerial position requires special consent from the HR Department, which confirms our focus on internal promotions.

The recruitment process is run by head office employees and dedicated field recruiters who handle recruiting for stores. In the process of recruiting new employees, Dino Polska and the Dino Group utilize a broad spectrum of channels spanning the following in particular: internet media, local and nationwide press, specialized recruiting firms, our own recruitment portal, leaflets, announcements and posters that are hung up in stores, and employee referrals for candidates.

The HR Department assess on an ongoing basis the effectiveness of the recruiting policy, among others, by analyzing unfilled positions, and it also defines plans pertaining to the demand for new employees in subsequent periods. Thanks to that Dino Polska is capable of effectively aligning the level of headcount to the needs of the various departments, ensuing from the Group's rapid growth.

Dino Polska and the Subsidiaries are guided by the principles of equal opportunities and of non-discrimination in the entire process of managing HR and at the stage of recruiting employees. For

years the Dino Group has created conditions to hire disabled persons. At the end of 2017, Dino Polska had 853 disabled employees; at the end of 2016 it had 707 disabled employees. At the Group level, these figures are as follows: 902 disabled employees at the end of 2017 and 751 at the end of 2016. When it comes to hiring for its stores, the Dino Group facilitates the finding of a job and offers the necessary training to young persons and senior citizens and persons with a low level of education. Job offers in stores and warehouses are also given to people without professional experience. They are given the appropriate training and in the course of their employment, care is given to their development.

The table below shows information concerning the headcount structure by employee age as at the end of 2017

	<25	25-34	35-44	45-54	55<
DINO POLSKA S.A.	2,227	4,237	3,579	1,783	566
percentage of total headcount	18.0%	34.2%	28.9%	14.4%	4.6%
Dino Group total	2,385	4,452	3,779	1,885	628
percentage of total headcount	18.2%	33.9%	28.8%	14.4%	4.8%

On account of the Company's strategic decision to open Dino stores in small and medium-sized cities, and also frequently in rural areas, Dino Polska is an important player on the local labor markets offering employment on the basis of an employment contract and significantly enhancing the local community's ability to find a job close to its place of residence.

Training and development

How employees serve clients significantly contributes to client satisfaction. Rapid access to knowledge and sharing it are crucial if employees are to improve their qualification, derive satisfaction from their jobs and improve organizational effectiveness. The Dino Group gives its employees the ability to develop and the appropriate training for a given job. Dino Polska and the Dino Group make efforts to ensure that all the employees have the same development opportunities.

Prior to opening a new store its employees undergo introductory training that lasts several weeks and is delivered in other Dino stores. During the first several weeks of operation of a new store, new employees also receive support from the Dino Group's trainers whose task is to prepare, train and oversee their work. Employees are encouraged to share their work in a team. Training sessions in the Dino Group are run chiefly by experienced internal trainers. In addition, administrative employees and others requiring specialist knowledge benefit from external training sessions. They also use subscriptions and access to professional internet portals.

In 2017 Dino Polska employees participated in a total of roughly 136 thousand person hours of training, or 12.5 hours per employee on average (calculated using the average headcount during the year). The training policy calls for employing different types of activities and tools, especially ones including the following: i) on the job training involving the operation of specific devices and equipment, ii) training in a training room, iii) multimedia training, including e-learning, iv) self-education based on procedures and manuals available on our internal portal, v) job rotation and participation in various types of projects. On top of sales and product training, or training required by

law, e.g. Occupational Safety and Health (OSH), training is also delivered in the form of coaching, focused on bolstering selected employee competences.

Compensation policy

The compensation system functioning in the Company is predicated on fixed and variable compensation (directly following from the motivation system). The motivational portion takes the form of bonuses that are paid in monthly intervals.

A compensation committee is held regularly in the company to perform the following tasks: (i) overview of the level of compensation for various positions; (ii) examination of applications to change the level of compensation for various positions.

Under variable compensation employees may also receive a bonus to support the motivation to work among outstanding employees giving consideration to the model fulfillment of employee duties, the demonstration of initiative in work and improvement in productivity and quality.

No material changes were made to the compensation policy in the last financial year. When conducting an overview of the level of compensation in the Company, the Company's Management Board decided to grant pay raises to specific job positions. According to the Company's Management Board, the compensation system functioning in the Company is aligned to its operating profile and long-term growth strategy.

Diversity

The Dino Group implements a policy in accordance with which it employs competent and creative individuals who have the appropriate professional experience and education. Women hold 67% of the managerial and directorial positions in the Company's head office (58% in the Group). In addition, the Company rules out any and all forms of discrimination against employees. The differentiation in Dino Polska's team in respect of age, education, competences, experience and gender lends dynamism to it while cultivating creativity and it consequently translates into the Dino Polska and Dino Group's rapid growth, attractive product offering, robust relations with business partners and high level of client service.

No formal diversity policy is in operation in the Company with respect to the managing and administering bodies. The Company does not have any influence over the composition of its corporate bodies. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and experience, notwithstanding their age, gender, education and other attributes. The Company's Management Board is guided by these very same criteria when it makes staffing decisions pertaining to key managers. The Company does its utmost for all employees to have equal opportunities for professional development and promotion.

The table below shows information concerning the employment of men and women in Dino Polska as at the end of 2017

type of job	female	male
cashiers and blue-collar employees	8,737	818
office employees	459	155
lower level* management	2,026	77
medium and upper level** management	79	39
Company's Management Board	0	2
Supervisory Board	0	6

* chiefly store managers and deputy managers

** chiefly directors and department heads in the head office

The table below shows information concerning the employment of men and women in the Dino Group as at the end of 2017

type of job	female	male
cashiers and blue-collar employees	9,023	1,161
office employees	470	190
lower level* management	2,028	86
medium and upper level** management	98	70

* chiefly store managers and deputy managers

** chiefly directors and department heads in the head office

Safety in the workplace

The Dino Group's activity in terms of safety in the workplace is concentrated on the following aspects: prevention, building a risk awareness and adherence to safety procedures.

The occupational safety and health (OSH) actions are regulated in Dino Polska and in the Subsidiaries in procedures and instructions dedicated to specific operating areas that discuss the fundamental issues of occupational safety and health, fire prevention and training activity. The Company has a separate cell dealing with OSH that is responsible for the compliance of Dino Polska's actions with the overall issue of safety in the workplace and in particular with the legal regulations in this area. This cell is responsible, among other things, for improving the safety of employees, monitoring and registering work accidents as well as for taking any possible corrective measures in areas featuring an excessive number of events. Under prevention measures whose purpose is to curtail the number of accidents in the workplace, the Dino Group companies deliver OSH training and they conduct regular audits on the application of OSH procedures. Employees working at specific positions are allocated protective clothing. An attachment to the Work Rules and Regulations prescribe the standards of allocation. The Dino Group has distinct OSH procedures and staff dedicated to stores, distribution centers and the meat processing plant.

477 accidents took place in Dino Polska in 2017. There were 416 the year before. They were chiefly minor injuries. However, no grave or fatal accidents occurred. In the Dino Group these statistics are as follows: 501 in 2017 and 435 in 2016 (there were no severe or fatal accidents). The rise in the number of accidents is the outcome of the rapid growth in the Dino supermarket network and its logistics system and the growth in headcount accompanying the above from 10,640 employees at the end of 2016 to 13,129 employees at the end of 2017. On a per employee basis, the accident frequency rate in the Dino Group fell from 4.09 in 2016 to 3.82 in 2017 (number of accidents per 100 employees).

Other information

On 31 December 2017 there were two trade unions operating in Dino Polska and in total they had 188 members, less than 2% of the total headcount. On 31 December 2016 the trade unions had a total of 150 members. Dialogue with the trade unions is conducted through a standing, 3-person team of Dino Polska representatives. This team takes part in regular meetings with persons representing the trade unions. Dino Polska does not have any collective bargaining agreements. No group layoffs have transpired in the past.

Dino Polska has regulations in place to ensure respect for employee rights. They following are counted among them: anti-mobbing policy on whose basis in 2017 the Company once again conducted a survey among the employees working in stores on the occurrence of mobbing. In addition, Dino Polska has a mechanism for employees to lodge complaints. They may be transmitted to a dedicated e-mail address. Each complaint is reviewed on an individual basis and the employee receives a reply. If the complaint is considered justified, corrective action is taken. The corresponding system is in operation in Agro-Rydzyna where employees may submit complaints through a dedicated e-mail account or directly to the HR department.

According to its policy to date, Dino Polska did not employ any minor employees (under 18 years of age) in 2017.

Internal communication with employees is facilitated using the internal intranet network through which employees have access to the binding procedures, and to current information of importance from the firm's point of view. Internal communication is also conducted by using e-mail and directly (through immediate supervisors). Key information may also be conveyed to employees by hanging this information on dedicated information boards.

8.3. Natural environment

Dino Polska and Dino Group companies pursue an environmental policy focused on gradual attenuation of the impact their operations exert on the natural environment, especially in areas such as the emission of harmful substances into the atmosphere, electricity consumption, water consumption, fuel consumption and the quantity of waste produced. The purpose of every cell responsible for the foregoing issues is to enhance constantly the efficiency of utilization of energy, water and fuel and minimize waste and product spoilage. Dino Polska additionally strives to raise the environmental awareness of its employees and clients. The internal regulations obligate the employees of Dino Polska and the Dino Group to conserve electrical energy and water and drive

company cars economically. Waste separation is conducted in the Group's companies. Plastic and paper waste is recycled. In addition, Dino Polska conducts a constant collection of used batteries which Dino clients can toss into containers located in each store especially for this purpose.

The environmental audits conducted by independent entities to date show that the Company's operations do not pose a material threat to the environment. No incidents or environmental accidents have occurred in the Company's business to date. Nor has the environmental activity of the Dino Group Companies been the subject matter of any inspections (or penalties) in recent years on the part of administrative bodies.

The Company satisfies all environmental and social standards imposed by national law and it holds all the requisite environmental approvals and licences required in its operations. In addition, we monitor on a regular basis to ensure that the operations of Dino Polska and the Dino Group and their internal procedures are compliant with the law.

Electricity consumption

The goal of the Dino Polska Group is to enhance with consistency the energy efficiency of the machinery and equipment used in all the areas of the Group's operations (stores, distribution centers, meat processing plant, offices) and thereby to reduce the demand for electricity. In 2017, an energy audit was administered in Dino Polska and Agro-Rydzyna by an independent entity specializing in these types of audits. The purpose was to define the energy balances of the various companies and their departments, to survey the current status of installations and present recommendations to reduce the business's energy intensity.

The key actions the Company implemented in 2017 and on which it will focus in future periods include the following:

- Gradual replacement of existing lighting with more environmentally friendly lighting
- Gradual replacement of existing refrigerating equipment with more environmentally friendly refrigerating equipment
- Installation of photovoltaic equipment
- Installation of heat recovery equipment
- Installation of recuperation equipment
- Automated energy management system

An important element from the viewpoint of energy conservation is to engage in regular modernization and streamlining for the purpose of curtailing energy consumption in the Group (in owned and leased facilities). Modernization of this type may include, for example, replacing lighting with energy efficient lighting. In more than 98% of our locations, the lighting has already been switched to LED lighting. New buildings (stores and distribution centers) are equipped with lighting in this technology at the time when they are commissioned. The distribution center in Jastrowie was commissioned in Q3 2016 and was wholly outfitted with modern, energy-efficient lighting fixtures. LED lighting is also being steadily installed in the Agro-Rydzyna meat processing plant. In 2018 the Company and the Group will continue the process of replacing lighting with energy efficient lighting.

In 2018 the Company commenced a project to outfit distribution centers and selected stores with sophisticated photovoltaic panels to use electricity for the company's own needs. For this purpose

the Company applied for co-funding under the Greater Poland Regional Operational Program for 2014-2020. Under this project whose execution hinges on the final financial parameters, the plan is to build photovoltaic installations with a joint capacity of 1.99 MW on the warehouse facilities in Krotoszyn and Jastrowie and on selected commercial facilities in the Greater Poland region (Wielkopolska).

In addition, the Company's plans call for installing a remote electricity reading system in the store network. At the end of 2017 the Company had 775 stores. The remote reading system will make it possible to monitor the consumption of utilities in real time and manage electricity consumption effectively, while in the event of an outage, this fact will be reported automatically.

In all the Group's new warehouse facilities, LED lighting is being installed with an integrated DALI control system. This solution makes it possible to control individually the intensity of lighting from the LED fixtures in the system. The system has the capacity to adjust the intensity of the lighting from the fixtures to external lighting conditions, i.e. to maintain a constant intensity of lighting within the sensor's field of vision. The second function is turning on lighting after the presence sensor detects movement. This provides for a significant reduction in energy consumption and enhanced comfort in the use of lighting.

W 2017 Dino Polska's energy consumption was 103.3 GWh. The increase versus 2016 (86.1 GWh) is an effect of the rapid growth of the Dino supermarket network from 628 stores at the end of 2016 to 775 at the end of 2017, the opening of a third central warehouse (in Jastrowie) in Q3 2016 and the expansion of the central warehouses in Krotoszyn and Jastrowie in 2017. Dino Polska's energy consumption per PLN 1 million of revenue fell in 2017 by 10.5% compared to 2016 (from 25.7 MWh to 23.0 MWh).

In 2017 the Dino Polska Group's energy consumption was 109.1 GWh. The increase versus 2016 (91.3 GWh) is an effect of the factors described in the foregoing paragraph pertaining to Dino Polska and additionally the increase in the production capacity of the Agro-Rydzyna meat processing plant.

The Dino Polska Group's energy consumption per PLN 1 million of revenue fell in 2017 by 10.8% compared to 2016 (from 27.1 MWh to 24.2 MWh).

The table below shows information relating to electricity consumption

MWh	2017	2016
Dino Polska	103,343	86,133
converted into PLN 1 million of revenue	23.0	25.7
Dino Group total:	109,065	91,277
converted into PLN 1 million of revenue	24.2	27.1

Fuel consumption and CO₂ emissions

The Dino Group constantly strives to reduce its adverse environmental impact. Dino Polska and the Group are pursuing a number of initiatives to curtail the emissions of harmful substances into the atmosphere, including in particular carbon dioxide (CO₂). They comprise measures to reduce the demand for electrical energy (described in the item entitled "Electricity Consumption") as well as

measures promoting an environmentally-friendly attitude among the employees and clients of the Dino stores (e.g. bicycle stands have been installed in front of the Company's offices and stores). Additionally, the projects described below are in progress and they directly reduce the emission of harmful substances into the atmosphere.

The Dino and Dino Group's car fleet consists mainly of passenger vehicles and light trucks powered by diesel fuel. 77% of the fleet of 272 passenger vehicles and light trucks used by Dino Polska satisfies the EURO 6 vehicle emission standard. The other vehicles satisfy the EURO 5 standard (or EURO 4 in the case of 4 vehicles). Starting in 2018 the company intends to replace the passenger car fleet gradually with new ones powered with gasoline (meeting the EURO 6 standard). The vehicles meeting the EURO 4 and 5 standard will be replaced first.

Dino Polska uses a fleet management system entailing solutions that allow it to measure and manage its environmental impact. The reports generated make it possible to calculate fuel consumption and monitor vehicle mileage. For vehicles purchased starting from 2018 it is possible to obtain a detailed assessment of drivers' style of driving. The firm has a policy of using company vehicles that obliges drivers to drive economically, safely and in accordance with driving regulations.

The Dino Group utilizes the services of tens of companies rendering transport services. These firms render merchandise transport services from the meat processing plant and the Group's central warehouses to the Dino stores using their own tractors and trailers. The Dino Group's delivery vehicle fleet has more than 300 vehicles. In addition, the Dino Polska Group is the owner of 132 trailers as at 31 December 2017 (it had 60 trailers at the end of 2016), thereby augmenting its flexibility in reference to managing the distribution of products. These are new trailers (manufactured in 2014-2017) utilizing modern refrigeration equipment that satisfies high environmental standards.

More than 97% of the Dino Group's delivery vehicles satisfy the EURO 5 or EURO 6 vehicle emission standard, while the rolling stock is gradually being replaced with vehicles satisfying the EURO 6 standard. Dino Polska supports its business partners in this area.

The Dino Polska Group manages the entire logistics process. In conjunction with the Dino store network roll-out the Group is steadily investing in new distribution centers thereby contributing to shortening the logistics routes, enhancing the effectiveness of the overall transportation system, fuel consumption and thereby reducing the quantity of harmful substances emitted into the atmosphere. In 2017 the fuel consumption of the Dino Group's supply vehicles per PLN 1 million of revenue fell by roughly 9% compared to 2016, chiefly as a result of launching the third distribution center in Q3 2016.

Other initiatives serving to cut the emission of harmful substances into the atmosphere include the following, inter alia: the gradual liquidation of oil and gas furnaces used to heat a small portion of the stores and their replacement with electrical devices, the installation of photovoltaic panels, as well as other projects to reduce energy losses and the general decrease in the demand for energy as enumerated in the item entitled "electricity consumption". Most Dino stores (more than 97%) are heated using heat pumps (air-air) that when in operation they do not emit harmful substances into the atmosphere.

Dino Polska and the Group Companies monitor the emission of harmful substances into the atmosphere for select facilities / initiatives. According to the legal requirements, they remit

environmental fees related to the volumes of consumed energy and the resulting harmful substances emitted into the atmosphere.

Water consumption

Water is supplied to the Dino Group Companies and to various stores from municipal water supply systems operating in a given municipality. On top of enhancing employee awareness (internal procedures oblige them to conserve water), the Group employs solutions conducive to reducing water consumption. Some of the Group's facilities are equipped with sanitary equipment and fixtures and fittings that are controlled through contactless technology. In addition, roughly 99% of the facilities have installed single lever taps to reduce the time needed to adjust the appropriate stream of water and its temperature, which considerably contributes to curtailing water consumption.

The Dino Group produces mainly sanitary sewage that is discharged into the sewer system. Additionally, the Agro-Rydzyna meat processing plant produces industrial waste that are collected by specialized firms after preliminary treatment in the fat separator and then transported to a dump station. After that, it makes its way to the waste treatment plant operated by the municipal water and sewer system company.

Management of waste and recyclable raw materials

Dino Polska and Dino Group companies strive to reduce the quantity of produced waste, and whenever possible they recycle it. The waste generated by Dino Polska mainly includes the following: communal waste, paper and cardboard, plastics and past due food products or ones that are not fit for consumption as well as side products of animal origin (in the meat processing plant). Waste separation rules are in force in Dino Polska and the Dino Group companies. According to them, paper and cardboard and plastics are recycled in full. Solutions to reduce the quantity of communal waste are being introduced with determination in the Dino store network, such as, for instance, selective collection of rotten fruit and vegetables and other selected categories of products not fit for consumption and their turnover to specialized companies for composting (organic recycling).

Due to vertical integration with the meat processing plant that is responsible for stocking all the Dino stores with meat and cold cuts, the Company is capable of managing very effectively the process of production and logistics to stores, thereby contributing to curtailing product spoilage. According to Dino Polska, vertical integration with the meat processing plant constitutes one of the Group's important competitive advantages and contributes to the relatively low level of overall product spoilage in the Dino network. In addition, the Company applies financial mechanisms to motivate employees to manage the fresh products in the store as best as possible so as to minimize their spoilage.

All the waste produced in the Agro-Rydzyna meat processing plant is handed over on the basis of "Waste Handover Sheets" to be neutralized or recovered to specialized businesses holding permits from the competent authorities to take receipt thereof. Records are kept on an ongoing basis of the waste produced. The plant selectively collects communal waste.

Agro-Rydzyna utilizes the following methods of preventing the production of waste or of limiting the quantity of waste and its adverse environmental impact.

- employee training on waste management

- optimization in the consumption of raw materials during the technological process
- handover of the largest quantities and types of waste for recovery
- maintenance of the machine fleet and means of transport in a technical state of good wear and tear,
- continuous modernization of the equipment and installation infrastructure – machinery and equipment.

8.4. Social impact

Dino Polska and the Dino Polska Group have an extensive social impact, in particular through the following: i) high level of employment – at the end of 2017 the Group had 13,129 employees; ii) the extensive Dino store network – at the end of 2017 the network numbered 775 stores located chiefly in small and medium cities and in rural areas; iii) product offering that consists of roughly 5 thousand products with emphasis placed on fresh products; iv) own meat processing plant that stocks all the Dino stores with fresh meat and cold cuts produced in-house.

Products

Dino Polska sells food in its own Dino store network. Its product offering consisting of 5,000 stock keeping units (SKUs) is constantly being adapted to consumer preferences. Using internal methods the Dino Group regularly monitors client satisfaction. Its marketing policy is mainly based on coherent, transparent and non-invasive communication with clients. Dino stores have a uniform internal and external appearance. New items and products on promotion are advertised in its in-store flyers and on billboards placed in front of most Dino stores. The Company does not use radio or television advertising.

Dino Polska attaches great attention to the fresh products category as these products accounted for 37% of the Dino Group's revenue in 2017, nearly 1% more than a year ago. Consumers' growing interest in healthy food constitutes a material potential for the Group's ongoing business development. The fresh products category consisting in particular of fruit and vegetables, fresh meat and cold cuts and dairy is constantly being developed with new items.

The products offered in the Dino stores, on top of fresh food (37% of sales in 2017) are as follows: dry groceries, water, juices and beverages, alcohol, cigarettes (in total 51% of sales) and non-food articles (12%), consisting mainly of cleaning agents, sanitary articles and small household appliances, toys and newspapers. The clear majority of products offered in the Dino network are branded products originating from Polish suppliers. The Dino Polska Group has also adopted a policy of closely cooperating with the producers of regional brands to give clients a less expensive alternative to the leading domestic and global brands.

In 2017 private label products, just as in the previous year, represented only less than 2% of revenue (net of Agro-Rydzyna's products). The Dino Group does not plan to develop private label products materially.

To ensure the highest standards of safety and quality of food, the Dino store network and the Agro-Rydzyna meat processing plant function on the basis of the HACCP quality management system (Hazard Analysis and Critical Control Point System), which is made up of a number of procedures and measures procuring the safety of the food produced and sold by the Dino Polska Group, in particular

by identifying and estimating the scale of the hazards from the viewpoint of the health requirements for food, risk analysis and measures to eliminate and prevent hazards.

Meat and cold cuts produced by Agro-Rydzyna, the meat processing plant in the Dino Polska Group

Agro-Rydzyna runs a meat processing plant in the Dino Group that produces cold cuts and fresh meat. The main raw material processed by Agro-Rydzyna are pig half carcasses coming from Polish suppliers – mainly large entities with an entrenched market position guaranteeing the high quality of the products. All of Agro-Rydzyna's output is sold in the Dino store network. Additionally, Agro-Rydzyna is engaged with sourcing poultry meat from Polish suppliers that is subsequently sold in the Dino store network.

The quality of the cold cuts produced by Agro-Rydzyna has been appreciated by the Greater Poland Association for Quality Research and Monitoring, which has awarded this plant its Top Quality Certificate. The following products received awards in the Show Your Appreciation for Polish Products competition: Frankfurter hot dogs, Superb Raw Smoked Ham, Exquisite Ham and Dinisie Hot Dogs. This program is supported by the Ministry of Agriculture and Rural Development that promotes top quality Polish products.

Agro-Rydzyna does not use mechanically separated meat (MSM) and palm oil in its products.

To procure the health safety of the food produced by Agro-Rydzyna in its plant, the HACCP quality management system is used (Hazard Analysis and Critical Control Point System) whose aim is to implement Good Hygienic Practice and Good Manufacturing Practice. The internal Quality Department watches over the safety and quality of the products produced by Agro-Rydzyna. It works on a three-shift system thereby facilitating full supervision over all processes and production areas. The Quality Department holds training for employees to discuss the quality and safety of food and health.

The Quality Department supervises the quality of the raw material supplied to the plant and the correctness of actions in accordance with the procedures and nutrition law regulations at every stage of the technological process, starting from the receipt of the raw material until the product is packaged. The finished product is inspected in warehouses according to FIFO (first in, first out) thanks to which the best before dates of products are correctly dispensed from the warehouse.

The plant is under constant (every day) control by veterinarians posted by the County Veterinary Inspectorate. Veterinarians check the correctness of actions in respect of the procedures prescribing the rules of conduct at every stage of the technological process of producing food. Documentation is inspected, as is the state of health in the space, and the health of the production processes is also checked. At least once a quarter there is a large-scale inspection of the plant conducted by the County Veterinary Inspector.

Agro-Rydzyna has modern equipment supporting the process of improving food quality and safety. The following equipment is counted among them: i) survey of the meat content of half carcasses to ensure standardization of meat at a given level; ii) measurement of the fat content to preserve the ability to produce the product on a recurring basis in production runs; iii) survey of the nutritional value. On top of internal analytical surveys of the chemical composition of products, samples of the products produced by Agro-Rydzyna are constantly being sent for microbiological tests conducted by external accredited laboratories.

Investments

For years Dino Polska has been pursuing a large-scale investment program whereby it contributes to accelerating economic growth and cutting unemployment in Poland. Dino Polska's investments chiefly include the construction of new stores and the distribution centers to support them logistically, as well as the expansion of the Agro-Rydzyna meat processing plant. In 2017, the Dino Polska Group's capital expenditures were PLN 457 million. For comparison, in 2016 it was PLN 382 million and one year earlier it was PLN 278 million. Dino Polska estimates that in 2018 its capital expenditures will amount to approximately PLN 650 million.

The Dino Polska Group's investments to a large degree are realized in areas of Poland characterized by a lower degree of urbanization. According to the adopted strategy, Dino stores are located above all in small and medium communities as well as in rural areas. As a result of this investment policy, Dino Polska is becoming an important player on the local labor markets offering employment on the basis of an employment contract and significantly enhancing the local community's ability to find a job close to its place of residence. Moreover, for many clients the Dino stores are becoming stores of first choice where they can fully satisfy their needs to do their grocery shopping because of the wide product assortment and competitive prices. The rapidly growing Dino store network (at the end of 2017 it numbered 775, i.e. 664 more than at the end of 2010) shortens the distance for many residents of Poland to a modern, organized grocery retail network enabling them to save time and save on the costs associated with traveling to more distant stores.

The typical Dino Polska Group store is a free-standing building open from 7:00 a.m. to 10:00 or 11:00 p.m. Most stores have a sales floor area of approx. 400 square meters and are located on plots of approx. 3,000 square meters with a parking lot for 10-30 vehicles and a bicycle stand.

Dino's investments are not realized in valuable natural habitat areas. Having regard for the small area of the plots of land on which stores are built and that they are in sites with a large intensity of footfall or automobile traffic, and having regard for the well-designed and standardized store format, Dino Polska's investments do not pose a threat to the natural environment, nor are they onerous to local residents. Frequently, Dino Polska's investments involve modernization or construction of local infrastructure, such as, for instance, sidewalks.

8.5. Respecting human rights

In Q1 2018 the Company has undertaken efforts to devise a Code of Ethics that after its adoption by Dino Polska (which is expected to transpire in Q2 2018) will be implemented in the Group's other companies (in 2018). The Code of Ethics will be a higher-ranking document than other policies and procedures that are already in existence or that will be devised as needed. The Code of Ethics is to structure Dino Polska's current approach to human rights issues as expressed by acting with respect for human dignity and totally rejecting acceptance for discrimination of employees, job candidates and clients on account of gender, age, origin, race, religion or denomination, sexual orientation, family status, state of health, convictions, trade union membership or any other reason. Dino Polska and Dino Polska Group companies oppose any and all forms of forced and slave labor.

The anti-mobbing policy on whose basis the Company conducts an investigation every year in terms of the occurrence of mobbing should above all be counted among the internal regulations established to date by Dino Polska to procure respect for human rights. In addition, Dino Polska and Dino Polska Group companies have a mechanism for employees to lodge complaints and have them examined. According to its policy to date, Dino Polska did not employ any minor employees (under 18 years of age) in 2017. The Dino Polska Group is engaged in an extensive program of hiring disabled persons

who at the end of 2017 represented nearly 7% of all the employees. Dino Polska implements initiatives that contribute to building good relations, mutual respect and understanding between persons employed in various positions and in various business areas of the Group. The issues pertaining to respecting human rights in reference to Group employees are described more extensively in the chapter entitled “**Employees**”.

The Dino Polska Group collaborates with many suppliers from the FMCG industry. Above all, they are producers and their main representatives who are responsible for Poland. Considering the fact that most of the products offered by the Dino stores are Polish products and considering the fact that the Dino Group collaborates chiefly with the following: i) well-known and reputable international concerns; ii) large Polish producers with high brand recognition; iii) Polish regional producers with lower brand recognition subject to Polish and European Union regulations, the risk of unethical phenomena violating human rights or labor standards in Dino Polska’s supply chain is low.

8.6. Combating corruption

The employees of Dino Polska and the Dino Polska Group companies cannot engage in any deceitful or unfair activities that are illegal, including ones that pertain to Dino Polska and Group companies, its clients, suppliers, contractors, business partners or other persons with whom it has established contacts or with whom it conducts commercial activity. The violation of the foregoing rule constitutes grounds for disciplinary action, including dismissal, and in special cases, it may also constitute grounds for prosecution under criminal liability.

Dino Polska is of the opinion that the methods for identifying the areas of operations at risk of corruption and bribery devised to date by the Dino Polska Group and the mechanisms for preventing them effectively curtail the risk of their occurrence. In the operation to date of Dino Polska and the Dino Group, there have been no cases of corruption or bribery that would put the organization’s reputation, or its brand, in jeopardy.

In Q1 2018 the Company has undertaken efforts to devise a Code of Ethics that after its adoption by Dino Polska (which is expected to transpire in Q2 2018) will be implemented in the Group’s other companies (in 2018). The Code of Ethics and lower-ranking procedures will systematize Dino Polska’s approach to corruption and bribery, as well as issues related to conflicts of interests between employees and issues related to cooperation with business partners and public institutions.

8.7. Risks

Demanding situation on the labor market may unfavorably affect the Dino Group’s operations

The Dino Group operates in a sector characterized by relatively high employee turnover. In the face of the declining level of unemployment in Poland, which is accompanied by a high level of competition for store employees between entities operating in the retail trade sector, the Group may not be able to secure new employees having sufficient experience and qualifications. This may also lead to additional pressure on higher costs of compensation.

The occurrence of the aforementioned circumstances may have an adverse impact on the quality of client service and Dino Group’s business, and as a consequence, on the Company’s financial standing, results or prospects and the Share price. The Dino Group strives to counteract such a risk chiefly by

constantly monitoring the labor market situation and analyzing the competitiveness of the Group companies in this area. The HR department and the departments responsible for training and development are being strengthened, inter alia by hiring additional employees.

Loss of the Dino Polska Group's key employees or the inability to hire a sufficient number of qualified employees may exert an adverse impact on the Dino Polska Group's operations and its development in the future.

One of the key factors driving the Dino Polska Group's business development in the future, especially its ongoing growth, geographic expansion and the execution of its strategy is having the appropriate number of qualified and committed employees. Many people acting in managerial functions in the Dino Polska Group have many years of work experience in the Dino Polska Group and in the retail grocery market. There is a risk that in connection with its development the Dino Polska Group will not manage to retain key employees, source key personnel to fill vacancies or staff newly-created positions with employees holding the appropriate qualifications and experience and may be compelled to incur considerable costs to hire and train them. In particular, the Dino Polska Group may not be able to ensure that in connection with the planned continuation of the organic growth in the number of stores it will be able to obtain a sufficient number of qualified people to work in the expansion department that is responsible for looking for the most suitable locations for the Dino Polska Group's future stores. Moreover, the Dino Polska Group cannot rule out that its competitors or other entities operating on the retail grocery market will offer prospective employees better conditions of employment or that in certain areas of Poland prospective employees will not be interested in taking employment in the Dino Polska Group, inter alia, on account of the social support they receive from the state. Staff shortages and the loss of key employees may unfavorably affect the Dino Polska Group's further business development.

In addition, there are risks related to the dependence of the Dino Polska Group on persons acting in key functions, especially at the level of the Management Board and in development, distribution and finance. The Dino Polska Group's key employees may tender their resignation at any time. These resignations may considerably affect the Group's ability to continue developing and execute its strategy. The loss of managers or employees discharging key functions may lead to the loss of know-how or, in certain circumstances, the acquisition of know-how by the competition.

The occurrence of one or several of the above risk factors may have a material adverse effect on the Dino Polska Group's activities, financial standing and results, as well as on its share price.

Risk of claims being lodged against the Dino Group on account of work accidents

936 light accidents in the workplace transpired in the period from 2016 to 2017 (there were no severe or fatal accidents). As at the Report Date, none of the Dino Group Companies is a party to material proceedings involving work accidents, which does not rule out this risk in the future. The occurrence of work accidents, including fatal accidents may put the Dino Group in jeopardy of claims from employees or other eligible parties, which may exert an adverse impact on its capacity to source new employees, activities, financial standing, results or prospects, and its share price

The production of fresh meat and processed meat products coming from a single supplier may be disrupted

Agro-Rydzyna produces products from fresh meat while Dino Polska sells food products and accordingly they are subject to many regulations pertaining to health protection and sanitary

regulations that are applicable to the production of food. Giving consideration to the complexity of the food production process, there is a risk that Agro-Rydzyňa in particular may fail to meet all the sanitary requirements and procedures, including the ones pertaining to health and safety, and also monitoring and conducting laboratory analyses of the quality of raw materials and finished products. If the meat processing plant run by Agro-Rydzyňa fails to meet the qualitative requirements and the ones pertaining to health protection and the sanitary requirements ensuing from the relative regulations, the production of goods using fresh meat may be curtailed or even interrupted.

The occurrence of the aforementioned circumstances may have an adverse impact on Dino Polska's brand and reputation, and as a consequence, on the Company's financial standing, results or prospects and the Share price. The Group counteracts this risk by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Client complaints, product liability claims, procedures for retracting products from sale, OSH issues, negative advertisement, litigation or other factors may lead to a decline in the value of the Dino brand

The Dino Group's success is partially dependent on brand recognition and the company's value related to it, while Dino's brand and trademarks constitute key assets in the Dino Group's operations. Preparing, packing, transporting, storing and selling perishables and products other than groceries carry the risk of product contamination or poisoning, quality deterioration or defects that may potentially lead to retracting products from sale, claims for damages or negative advertisement, and may also entail costs ensuing from the foregoing events. Food and non-food products may contain substances that in certain cases may induce disease, bodily injury or death. The sale (or allegations concerning an alleged sale) of contaminated products, of lower quality or defective products may lead to product liability claims or the retraction of products from sale. The risk of product liability claims or obligations to retract a product from sale are particularly material in the context of the sales conducted by the Dino Group of fresh food products.

All client complaints, product liability claims, cases of retracting products from sale, OSH issues, negative advertisement, litigation or other factors reducing the value of the Dino brand may lead to damage to its reputation and unfavorably affect the Dino Group's activities, financial standing and results as well as its share price.

In addition, the Dino Group, as a producer of food, is obligated to adhere to specific requirements ensuing from prevailing regulations, while its activities and the products it produces are subject to supervision and inspection by many public supervision authorities, in particular, in terms of adhering to the rules pertaining to the procedures for producing food to ensure that food products are safe for consumers.

Accordingly, the Dino Group is obligated to adhere to many sanitary requirements and procedures, in particular requirements and procedures pertaining to health and safety, and also to monitor and conduct laboratory analyses of the quality of raw materials and finished products.

The occurrence of any of the above risk factors may have a material adverse effect on the Dino Group's reputation, activities, financial standing and results. The Dino Group counteracts the foregoing risks by diligently selecting the suppliers of raw materials and products and by monitoring

adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Changes to legal regulations, among others, pertaining to the production of food, fire protection and safety, employment law and environmental protection regulations and insufficient efforts in these areas may adversely affect the Dino Group.

The activities of the Dino Polska Group are subject to various regulations in Poland (among others in respect to food production, fire and safety regulations, provisions of labor law and environmental law) These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations. In addition, actions are increasingly more frequently expected to be taken by entities conducting business in the foregoing areas transcending legal requirements.

Since there is no clarity as to future regulations, in the future the Dino Polska Group may be obligated to incur significant costs or capital expenditures to adapt the existing installations of the stores, distribution centers or the meat processing plant operated by Agro-Rydzyna to meet the new requirements or social expectations. Otherwise, it may be the subject of more rigorous inspections leading to financial penalties, its brand may be in jeopardy, which may adversely affect the Dino Polska Group's activities, financial standing, growth prospects and results and the market price of its Shares. The Dino Polska Group prevents these risks by submitting to internal procedures and legal regulations and by monitoring its environmental impact and by pursuing environmentally-friendly projects.

9. DINO POLSKA MANAGEMENT BOARD'S REPRESENTATIONS

Management Board's representations

The Management Board of Dino Polska S.A. represents that the entity authorized to audit financial statements conducting the audit of the Financial Statements of Dino Polska for the year ended 31 December 2017 and the Consolidated Financial Statements of the Dino Polska S.A. Group for the year ended 31 December 2017 was selected in accordance with the legal regulations. The entity and the statutory auditors conducting the audit satisfied the conditions for issuing an impartial and independent opinion on the consolidated financial statements in accordance with the prevailing regulations and professional standards.

Szymon Piduch

Michał Krauze

President of the Management Board

Management Board Member

Krotoszyn, 16 March 2018

Management Board's representations

According to its best knowledge, the Dino Polska S.A. Management Board ("Company") represents that:

- the Financial Statements of Dino Polska S.A. for the year ended 31 December 2017 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of Dino Polska S.A. and its financial result,
- the Consolidated Financial Statements of the Dino Polska S.A. Group for the year ended 31 December 2017 have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the Dino Polska S.A. Group and its financial result,
- the Management Board's Report on the Activity of the Company and the Dino Polska S.A. Group in 2017 contains a true picture of the development, accomplishments and situation of the Company and Group, including the description of the fundamental threats and risks.

Szymon Piduch

Michał Krauze

President of the Management Board

Management Board Member

Krotoszyn, 16 March 2018

SIGNATURES OF THE MANAGEMENT BOARD MEMBERS

Szymon Piduch – President of the Management Board

Michał Krauze – Management Board Member

Krotoszyn, 16 March 2018